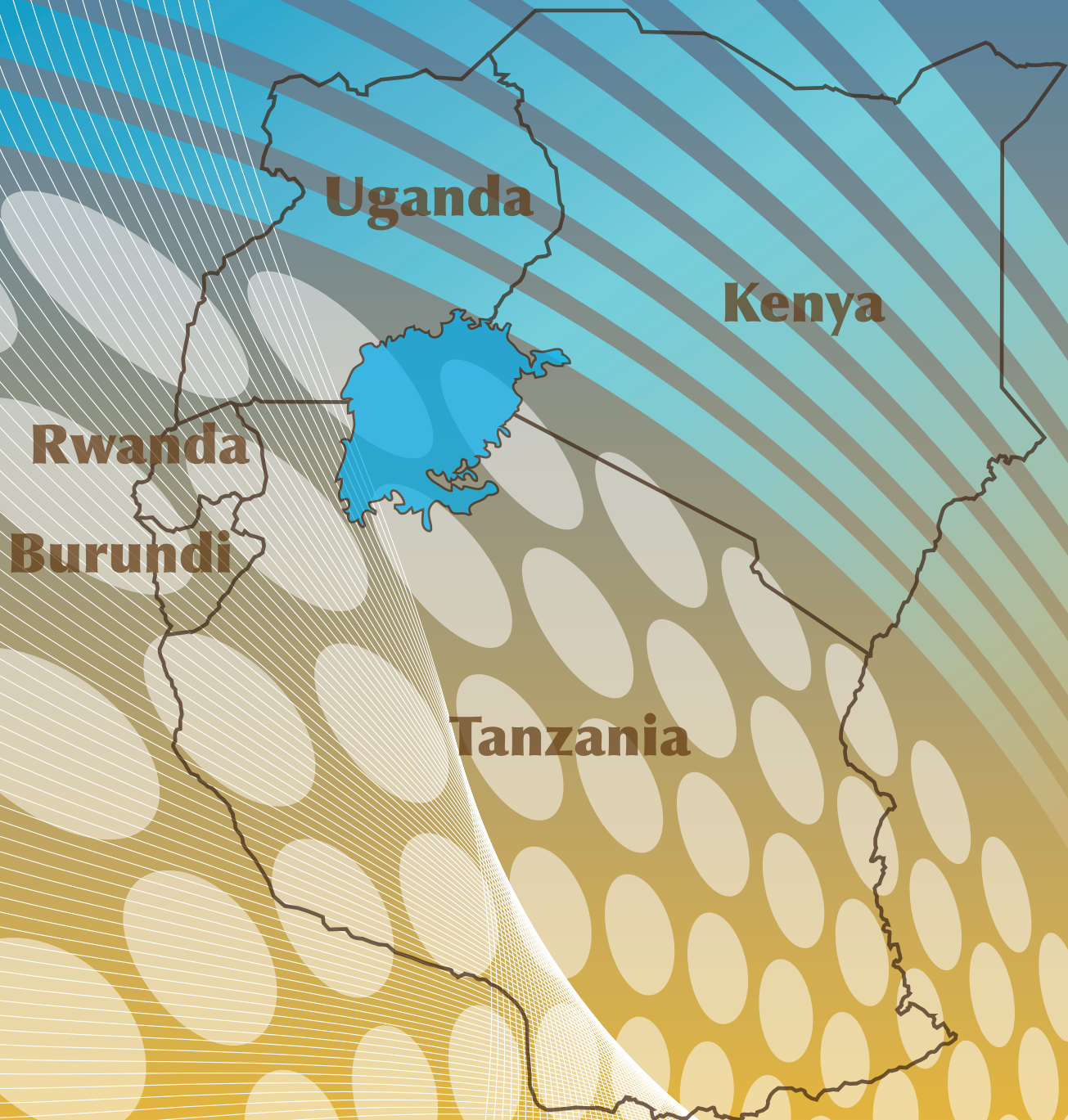




# EAC INVESTMENT GUIDEBOOK



OCTOBER 2013



# **EAST AFRICAN COMMUNITY (EAC)**

## **INVESTMENT GUIDEBOOK**

**OCTOBER 2013**

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**East Africa's founding presidents (from left) Julius Nyerere (Tanzania), Milton Obote (Uganda) and Jomo Kenyatta (Kenya). The three agreed to form the EAC in Arusha in 1967**

#### **MEMORABLE QUOTES**

"My generation led Africa to political freedom. The current generation of leaders and peoples of Africa must pick up the flickering torch of African freedom, refuel it with their enthusiasm and determination, and carry forward Africa's integration."

MWALIMU JULIUS NYERERE

"Geography has made us neighbors. History has made us friends. Economics has made us partners, and necessity has made us allies. Those whom God has so joined together, let no man put asunder."

JOHN F. KENNEDY

## FOREWORD

Regional economic integration is essential to spur growth, particularly for small and fragmented economies to realize their full development potential, by enhancing their competitiveness through better connectivity and access to larger markets. During the last decade, the East African Community (EAC), comprising of Burundi, Kenya, Rwanda, Tanzania and Uganda, has become one of the most integrated regional markets in Africa, consisting of a Customs Union and a Common Market

The EAC as a region has also shown other remarkable achievements: It is the fastest growing region in Sub-Saharan Africa with an average GDP growth of 5.8% during the last decade. It is one of the largest regional economic blocs in the African continent with a total population of 145 million and a total combined GDP of USD 98 billion. The total FDI inflow in the EAC region has tripled from USD 1.3 billion in 2005 to USD 3.8 billion in 2012.

Against this backdrop of significant socioeconomic change in the region, including a growing middle class, larger consumer markets, improved business environment, and an integration process underway, the EAC Partner States present ample investment opportunities in various sectors from agriculture to manufacturing, tourism, financial services and ICT.

Dynamic, inclusive private sector-led growth creates jobs for the majority and is critical for harnessing economic opportunities. The Treaty establishing EAC recognizes the role of the Private Sector in the integration process. To this end, Partner States are fully committed towards providing an investment-conducive environment by continuously improving their business environment and a private sector led integration process as part of their quest to establish a free market system as per Treaty aspirations. This initiative aims at integrating the Community into the global economy, thus, building a better future for the citizens of East Africa, while enhancing stability and security in the region.

As a catalytic development financier, partner and advisor, the AfDB leverages all its resources and expertise to support private sector led growth in the continent. The Bank's Private Sector Development Strategy (2013-2017) underscores the centrality of supporting the private sector to enhance its role as a partner in addressing the poverty alleviation agenda. Over the last five years, the Bank has witnessed a dramatic increase in the volume and number of non-sovereign transactions. Accordingly, the Bank's private sector investment operations have increased almost tenfold from US\$250 million in 2005 to US\$2 billion in 2012, and this trend will continue.

We are pleased to present this investment guidebook for potential investors with timely and relevant information. The Guidebook is intended to help investors unleash the region's full productive potential towards its structural transformation and competitiveness while at the same time serve as a blueprint that markets the Community as a single investment destination

Amb. Dr. Richard Sezibera  
Secretary General  
East African Community

Gabriel NEGATU  
Regional Director  
Eastern African Regional Resource Center  
African Development Bank

# THE EAST AFRICAN COMMUNITY (EAC)

## History

In the past, Kenya, Tanzania and Uganda have enjoyed a long history of cooperation under successive regional integration arrangements. These have included the Customs Union between Kenya and Uganda in 1917, which the then Tanganyika later joined in 1927; the East African High Commission (1948-1961); the East African Common Services Organisation (1961-1967); the East African Community (1967-1977) and the East African Cooperation (1993-2000). Following the dissolution of the former East African Community in 1997, the Member States negotiated a Mediation Agreement for the Division of Assets and Liabilities, which they signed in 1984.

## Introduction

The East African Community (EAC) is the regional intergovernmental organization of the Republics of Burundi, Kenya, Rwanda, Tanzania and Uganda, with its headquarters in Arusha, Tanzania. The Treaty for Establishment of the East African Community was signed on 30th November 1999 and entered into force on 7th July 2000 following its ratification by the Original 3 Partner States – Kenya, Uganda and Tanzania. The Republic of Rwanda and the Republic of Burundi acceded to the EAC Treaty on 18th June 2007 and became full Members of the Community with effect from 1st July 2007.

## Aims and Objectives

The EAC aims at widening and deepening co-operation among the Partner States in political, economic and social fields for their mutual benefit. To this extent, the EAC countries established a Customs Union in 2005 and are working towards the establishment of a Common Market by 2010, a Monetary Union by 2012 and ultimately a Political Federation of the East African States.

## The EAC Treaty

The Treaty establishing the East African Community was signed on 30 November 1999 and came into force on 7 July 2000 upon ratification by the three partner states: Kenya, Tanzania and Uganda. Burundi and Rwanda applied for membership in the Community in 2002.

## The EAC Secretariat

The EAC Secretariat is the executive arm of the Community. Its key offices are the Secretary General, four Deputy Secretaries General and the Counsel (the principal legal adviser) to the Community. The functions of the Secretariat include initiating, receiving and submitting recommendations to the Council; forwarding bills to the Assembly through the Co-ordination Committee; initiating studies and research; and implementing and monitoring programmes that contribute to achieving Community objectives. The Secretariat is also the custodian of Community property.

## I. EAST AFRICAN COMMUNITY

### EAC at a Glance

| EAC at a Glance              |                                                                                                                                                                                                 |
|------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Member countries             | Burundi, Kenya, Rwanda, Tanzania and Uganda                                                                                                                                                     |
| Heads of State               | Burundi - President Pierre Nkurunziza<br>Kenya - President Uhuru Kenyatta<br>Rwanda - President Paul Kagame<br>Tanzania - President Jakaya Kikwete<br>Uganda - President Yoweri Kaguta Museveni |
| Secretary General of the EAC | Amb. Dr. Richard Sezibera                                                                                                                                                                       |
| Surface area (incl. water)   | 1.85 million sq. km                                                                                                                                                                             |
| Population                   | 145.million (2012)                                                                                                                                                                              |
| Official language            | English, Kiswahili, and French (Rwanda & Burundi)                                                                                                                                               |
| Total GDP                    | USD 97.6 billion (2012)                                                                                                                                                                         |
| Av. GDP per capita           | USD 588 (2012)                                                                                                                                                                                  |
| Av. Annual GDP growth        | 5.78% (2012)                                                                                                                                                                                    |
| Int'l trade volume           | USD 33 billion (2010)                                                                                                                                                                           |
| Intra-EAC trade volume       | USD 3.8 billion (2010)                                                                                                                                                                          |
| Total exports volumes        | USD 11 billion (2010)                                                                                                                                                                           |
| Total import volumes         | USD 26 billion (2010)                                                                                                                                                                           |
| Total investment flow        | USD 1.7 billion (2010)                                                                                                                                                                          |

Source: CIA, World Bank, and EAC

#### Why Invest in EAC?

- The second largest single market in Africa with population of 135 million
- Growing middle class and demand for fairly sophisticated products
- Diversified economy offering a variety of business and investment opportunities
- Business-friendly environment: world's fastest reforming region
- Stable economic and political environment
- Harmonized tariff within the EAC
- Great market access to EAC, Africa, Middle East and Asia
- Preferential market access to the U.S, E.U and some other developed countries
- English as an official business language
- Relatively large pool of educated and skilled workers

## Regional Economic Outlook

- The East African Community (EAC) is an inter-governmental organization comprising of five neighboring countries, namely Kenya, Tanzania, Uganda, Rwanda and Burundi. The EAC aims to deepen economic, social and political integration and enhance the region's competitiveness through enhanced value chain, trade and investments.
- The EAC region has been the second fastest growing economic blocs in the world with an average annual growth of 5.8% from 2001 to 2009, following ASEAN at 6.1%<sup>1</sup> as well as the best in the sub-Saharan Africa since the 1970s<sup>2</sup>. Tanzania, Uganda, and Rwanda showed a robust annual growth of over 7% from 2002 to 2010 while Kenya and Burundi grew at a more modest level with annual growth of 3 and 4% respectively during the same period. Over the past decade, EAC countries in general have strengthened their macroeconomic management, improved trade openness and business environment, as well as substantially reduced debt levels<sup>3</sup>. Between 2003 and 2008, all countries kept their overall deficits including grants below 5% of GDP. By the debt ratios in all EAC countries had dropped to 50% of GDP or less, down from more than 60% of GDP in 2003 (even from more than 100% of GDP in Burundi, Rwanda, and Uganda).

| Real GDP Growth (%) |             |             |             |             |             |             |
|---------------------|-------------|-------------|-------------|-------------|-------------|-------------|
|                     | 2003-07     | 2008        | 2009        | 2010        | 2011(e)     | 2012(p)     |
| Burundi             | 2.6         | 4.5         | 3.5         | 3.9         | 4.0         | 4.8         |
| Kenya               | 5.5         | 1.5         | 2.6         | 5.6         | 4.5         | 5.2         |
| Rwanda              | 7.2         | 11.5        | 6.0         | 7.2         | 8.6         | 7.6         |
| Tanzania            | 7.2         | 7.4         | 6.0         | 7.0         | 6.4         | 6.8         |
| Uganda              | 7.4         | 10.4        | 4.2         | 6.1         | 4.1         | 4.5         |
| <b>EAC</b>          | <b>5.98</b> | <b>7.06</b> | <b>4.46</b> | <b>5.96</b> | <b>5.52</b> | <b>5.78</b> |
| <b>Africa</b>       | <b>6.0</b>  | <b>5.6</b>  | <b>3.1</b>  | <b>5.0</b>  | <b>3.4</b>  | <b>4.5</b>  |

Source: African Development Bank, African Economic Outlook

- The EAC region has shown strong resilience against the global financial crisis. It can be explained partly by the weak linkage to international financial markets as well as an increase in cross-border trade and investment. Over the last 15 years, tariffs in the EAC region have been reduced from 26.1% in 1994 to an estimated 9.2% in 2011. This substantial tariff reduction has contributed to boost intra-regional trade within the EAC<sup>4</sup>.
- Since the 1990s, all five countries have undertaken a range of pro-market economic reforms. These included comprehensive reforms in financial and foreign exchange markets, trade policies, taxation, and institutions towards economic liberalization. As a result, all four countries, except for Burundi, have liberalized their foreign exchange market and government no longer controls securities market and interest rates.

<sup>1</sup>IMF(2012), Special Focus: Deepening Kenya's Integration in the East African Community (EAC)

<sup>2</sup> IMF(2012), The East African Community: Prospects for Sustained Growth, wp/12/272

<sup>3</sup> IMF (2012), The East African Community After Ten Years – Deepening Integration

<sup>4</sup>Ronald Inyangala, EAC: Next Frontier of Investment and Growth?, Jumuiya, Ministry of the East Africa Community- Kenya, issue 27, January 2013

- The EAC market is one of the largest single markets in Africa. The region has reached a total population of 145 million and a total GDP of USD 98 billion in 2012 (AfDB). A majority of the population still lives in rural areas and agriculture still is the biggest economic sector, contributing 80% to the total employment and 35% to the total GDP. However, population has been growing at a rate of close to 3% per year over the last two decades and a so-called middle class is emerging with stable, secure, well-paid jobs, and higher levels of tertiary education and a process of rapid urbanization is underway.
- Urbanization and growing consumer's purchasing power is driving a strong demand for sophisticated goods and services, especially in construction, telecommunication, ICT and tourism. With growing demand in telecommunication, retail and financial services, consumer markets are rapidly expanding, particularly in the six main cities in the region: Nairobi, Dar es Salaam, Kampala, Kigali, Bujumbura and Mombasa. Infrastructure requirements are rapidly increasing as well and there is a growing need for public-private partnership in urban planning and investment.
- The EAC member countries have diverse economic features; Kenya is the region's largest economy and is a regional trade, finance, communication and manufacturing hub. It contributes approximately 40.6% to the region's GDP, followed by Tanzania and Uganda at 35.1% and 21.5% respectively (2012). Uganda is positioning itself as a region's food basket and distribution hub, taking advantage of its climate and abundance of arable land, and geography linking Eastern and Central Africa. Tanzania has abundant population, agricultural base and natural resources. It has the largest population among the EAC economies, with over 47 million in 2012, followed by Kenya (42 million) and Uganda (35 million).
- Rwanda and Burundi are relatively small economies but are fast growing and undergoing significant reforms. Rwanda, now famous for its zero-tolerance to corruption, has been ranked as one of the fastest growing economies, with an average annual growth rate of 8% for the last five years, and is recognized as one of the most reformed economies in the world, as well as one of the most preferred investment destinations. According the 2013 Baseline Profitability Index by the Foreign Policy Magazine, Rwanda was ranked at the fifth-best destination for investment in the world, while Uganda and Kenya ranked at 15<sup>th</sup> and 67<sup>th</sup> respectively. Burundi has been recovering from a decade-long civil war, is undertaking significant economic reforms and is experiencing rapid growth rates, albeit from a low base.

| EAC Market |                       |                        |                            |                            |                      |
|------------|-----------------------|------------------------|----------------------------|----------------------------|----------------------|
| Country    | Population (mn, 2012) | GDP (2) (bn USD, 2012) | Real GDP growth (% , 2012) | GDP per Capita (USD, 2012) | Inflation (% , 2012) |
| Burundi    | 8.7                   | 1.9                    | 4.8                        | 219                        | 12.4                 |
| Kenya      | 42.7                  | 39.7                   | 5.2                        | 928                        | 7.6                  |
| Rwanda     | 11.2                  | 7.0                    | 7.6                        | 621                        | 6.0                  |
| Tanzania   | 47.6                  | 28.0                   | 6.8                        | 585                        | 9.0                  |
| Uganda     | 35.6                  | 21.0                   | 4.5                        | 587                        | 16.0                 |
| <b>EAC</b> | <b>145.8</b>          | <b>97.6</b>            | <b>5.78</b>                | <b>588</b>                 | <b>10.2</b>          |

Source: African Development Bank, AfDB Socio Economic Database, May 2012 ([www.opendataforafrica.org](http://www.opendataforafrica.org))

- Achieving middle-income status is an aspiration of all EAC five Partner States. All countries have recognized the private sector as an essential growth engine for economic and social development and have introduced favorable policies to attract domestic and foreign investment. Governments are encouraging investment through providing fiscal incentives, establishing Export Processing Zones (EPZs) and industrial parks, setting up export and investment promotion agencies (IPAs), and doing outreach activities. Overall, foreign investors receive national treatment and generous incentives especially when their investment and business plans bring the positive effects of foreign exchange generation, technology transfer, job creation, and skill enhancement in national development priority areas such as value-added agro-processing, manufacturing, tourism and infrastructure.
- Among the main objectives of the 4<sup>th</sup> EAC Development Strategy is the fostering of economic growth by tapping the potential of the private sector. Among the main tasks of various EAC Investment Climate committees is to set up and implement coherent, broad-based regional reform programs to improve the investment climate of the region as a whole and make it an attractive destination for investors. This is also enshrined in the national blueprints of the Partner States as indicated below:

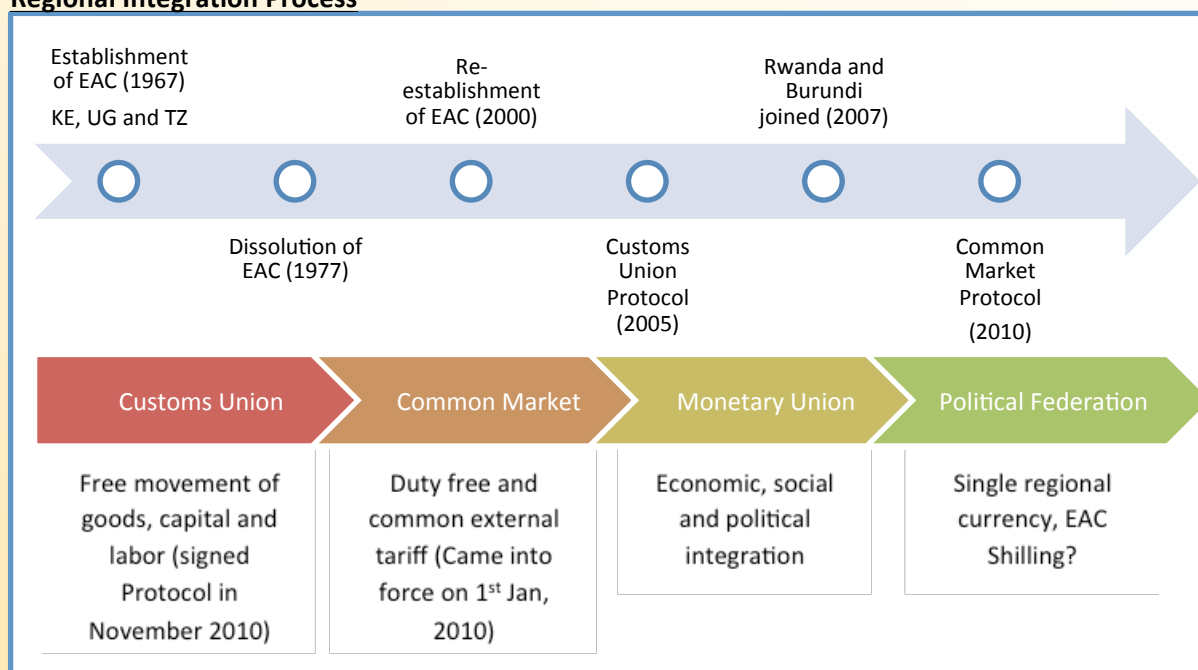
|                             |                                                                                                                                                                                                                                                                                                                                                                                                            |
|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi <b>Vision 2025</b>  | <ul style="list-style-type: none"> <li>▪ Good Governance and Capacity-Building of the State;</li> <li>▪ Human Capital;</li> <li>▪ Economic Growth and the Fight against Poverty;</li> <li>▪ Regional Integration;</li> <li>▪ Demographics;</li> <li>▪ Social Cohesion;</li> <li>▪ Regional Planning and Urbanisation;</li> <li>▪ Partnership.</li> </ul>                                                   |
| Kenya <b>Vision 2030</b>    | <ul style="list-style-type: none"> <li>▪ Economic : Sustained economic growth of 10% per annum</li> <li>▪ Social: A just and cohesive society enjoying equitable social development in a clean and secure environment</li> <li>▪ Political: Issue based, people centered, results oriented and accountable democratic political system.</li> </ul>                                                         |
| Rwanda <b>Vision 2020,</b>  | <ul style="list-style-type: none"> <li>▪ Reconstruction of the nation;</li> <li>▪ Efficient State that unites and mobilizes the people;</li> <li>▪ Human resource development;</li> <li>▪ Development of basic infrastructure;</li> <li>▪ Development of entrepreneurship and the private sector; and,</li> <li>▪ Modernization of agriculture and animal husbandry.</li> </ul>                            |
| Tanzania <b>Vision 2025</b> | <ul style="list-style-type: none"> <li>▪ Achieving macroeconomic stability,</li> <li>▪ Attaining high levels of domestic saving and investment,</li> <li>▪ Broad-based human-resource development, and,</li> <li>▪ Sustainable economic growth.</li> </ul>                                                                                                                                                 |
| Uganda <b>Vision 2040</b>   | <ul style="list-style-type: none"> <li>▪ Independence and sovereignty;</li> <li>▪ Democracy and the rule of law;</li> <li>▪ Stability and peace;</li> <li>▪ Knowledgeable and skilled;</li> <li>▪ Able to exploit and use its resources gainfully and sustainably;</li> <li>▪ In a strong federated East Africa with an effective African Common Market and a strong African Defense Mechanism.</li> </ul> |

- All the EAC countries are strongly committed to addressing the remaining challenges and constraints to investment and establishing conducive business environment. Under the EAC Treaty, the EAC Secretariat and the Partner States are working on promoting the region as 'one single investment destination' by harmonizing and rationalizing investment policies and incentives. The banking sector is playing a crucial role in deepening and widening regional integration by facilitating cross border financial investments<sup>5</sup>.
- The region is projected to continue showing a strong macro-economic performance. According to the World Bank, Rwanda's economy is projected to grow by 7.5% in 2013, Tanzania 6.8%, Uganda 6.2%, Kenya 4.9%, and Burundi 4.3%. The population is forecasted to reach 150 million by 2015 and 237 million by 2030<sup>6</sup>. The EAC is expected to expand its membership to South Sudan and possibly the Democratic Republic of Congo in the near future.

## Regional Integration

- Since its re-inception in 2000, the EAC's integration process has been accelerating based on strong political will, mutual interests and the recognition of potential gains from the integrated economy. In line with trade integration as the core objective of the EAC, the Customs Union was established in 2005<sup>7</sup>, followed by a Common Market in 2010<sup>8</sup>.

### Regional Integration Process



Source: EAC

Duty free access: since a Customs Union Protocol came into effect in 2005, all goods manufactured in one EAC country and sold in another are treated as if they were manufactured locally, by virtue of there being no internal tariffs between partner countries.

<sup>5</sup> Ronald Inyangala, EAC: Next Frontier of Investment and Growth?, Jumuiya, Ministry of the East Africa Community- Kenya, issue 27, January 2013

<sup>6</sup> IMF (2011), Regional Economic Outlook: Sub-Saharan Africa

<sup>7</sup> Protocol was enacted in 2005 and Customs Union came into force on 1<sup>st</sup> January, 2010 after a five-year-transition period

<sup>8</sup> A Common Market Protocol was enacted in July 2010 to allow free movement of goods, capital and labor among within the region.

- Common External Tariff (CET): The same countries also levy a common external tariff for goods entering the EAC, with the aim of promoting local manufacturing and processing of raw materials. Under this scheme, raw materials are imported duty-free, intermediate goods are charged 10 % and finished goods 25 %.
- EAC Heads of State have committed themselves to reforms on removing non-tariff barriers (NTBs) and simplifying regulations to encourage vertical specialization and emergence of regional production chains. The improvements are being made albeit at a slow pace. Negotiations on harmonized customs procedures and regulations have not yet led to an agreement and as a result. The establishment of Monetary Union and Political Federation was originally planned for 2015 but is expected to be delayed. The Draft Monetary Union Protocol is expected to be signed in November 2013 by the Summit of EAC Heads of State.

## Trade

- Gateway of East Africa: The EAC region borders with 8 countries including Ethiopia, Somalia, Sudan, South Sudan, Mozambique, Democratic Republic of Congo, Zambia and Malawi. Five of these are land-locked countries and some countries such as Ethiopia, Sudan and DRC have large populations. This central location of the EAC region presents significant market potential in largely untapped markets, not only in East Africa but also Central and Southern Africa.
- **Intra-regional trade** is growing sharply. The total value of the intra-EAC trade has doubled from \$1.6 billion (7.8% to total trade) in 2006 to \$3.8 billion in 2010 (11.4%). The share of intra EAC exports to total exports has increased from 14% in 2006 to over 20% in 2010, even if the share of intra-EAC imports in total imports remains small, at around 5%<sup>9</sup>.
- Kenya, Uganda and Tanzania are the main intra-regional exporters. Kenya has played a dominant role in the intra-regional trade, exporting manufactured goods, chemicals and machinery to the landlocked countries such as Uganda and Rwanda. Major EAC exports within the region consist of manufactured products (food products, beverage, tobacco, cement) and oil re-exports while EAC exports to other regions mainly consist of commodities.
- The fast-growing intra-regional trade in manufactured goods implies potential growth in manufacturing in the region backed up by the regional demand. Regional trade in manufactured goods (plastics, chemicals, paints, and cosmetics, construction materials and pharmaceuticals) and regional production chains can generate jobs and increase GDP<sup>10</sup>.

<sup>9</sup>Peter N Kiguta (2012), Investment and Trade in the EAC: Progress and Priorities, Presented at the High Level Conference on The East African Community After 10 Years in Arusha, Tanzania

<sup>10</sup> IMF, Special Focus: Deepening Kenya's Integration in the East African Community (EAC), June 2012

| Top commodity exports in Intra-regional trade (by value, 2004-2008 average) |                                                                                                                    |                                                                                                        |                                                                                                                                           |                                                                 |                                                                                    |
|-----------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|------------------------------------------------------------------------------------|
| Destination<br>Origin                                                       | Kenya                                                                                                              | Tanzania                                                                                               | Uganda                                                                                                                                    | Rwanda                                                          | Burundi                                                                            |
| Kenya                                                                       |                                                                                                                    | Soaps/cleansers/<br>Polishes; Articles<br>of apparel,<br>Rolled plated<br>manufactured<br>steel        | Lime/Cement/Co<br>nstruction<br>materials;<br>Petroleum<br>products;<br>Articles of<br>apparel; Rolled<br>plated<br>manufactured<br>steel | Petroleum<br>products,<br>soaps/cleansers<br>/polishes          | Roll plated<br>manufactured<br>steel,<br>petroleum<br>products                     |
| Tanzania                                                                    | Tea and mate,<br>Cotton, Fish,<br>Made-up textile<br>articles, maize<br>except sweet<br>corn                       |                                                                                                        | Elements/oxides<br>/halogen salt,<br>Made-up textile<br>articles                                                                          | Elements/oxide<br>s/halogen salt,<br>maize except<br>sweet corn | Elements/oxid<br>es/ halogen<br>salt, Maize<br>except sweet<br>corn                |
| Uganda                                                                      | Tea and mate,<br>Coffee and<br>mate; Electric<br>current;<br>Tobacco;<br>Vegetables;<br>Maize except<br>sweet corn | Electric current;<br>Maize except<br>sweet corn;<br>Tobacco, rolled<br>plated<br>manufactured<br>steel |                                                                                                                                           | Roll plated<br>manufactured<br>steel;<br>Vegetables             | Maize except<br>sweet corn,<br>Vegetables,<br>Roll plated<br>manufactured<br>steel |
| Rwanda                                                                      | Tea and mate,<br>Hides/Skin,<br>Petroleum<br>products, Coffee<br>and substitutes                                   | Coffee and<br>substitutes; Ores<br>and<br>concentrates of<br>base metal                                | Ores and<br>concentrates of<br>base metal,<br>Petroleum<br>products,<br>Hide/skins ,<br>coffee and<br>coffee<br>substitutes               |                                                                 | Petroleum<br>products                                                              |
| Burundi                                                                     | Gold<br>nonmonetary;<br>Hides/skin;<br>Tea and mate                                                                | Coffee and<br>coffee<br>substitutes; Tea<br>and mate                                                   | Coffee and<br>coffee<br>substitutes                                                                                                       | Sugar/molasses<br>/honey,                                       |                                                                                    |

Source: 4<sup>th</sup> EAC Development Strategy (2011), ComTrade database (2010)

- **Intra-regional trade in services:** Over the last 10 years, the non-oil exporting landlocked EAC countries have exported services at a rate three times higher than goods. The EAC as a whole has shown a strong performance in service exports. Uganda is now exporting education services to East Africa and other regions. Kenya is a leading service provider in business, financial and distribution services in the EAC region. Rwanda also set a development priority to transform the services industry and establish the country as a regional financial hub. It includes financial services, transport and logistics, tourism, education, healthcare and ICT.
- **International trade:** The region's major exports are agricultural products including tea, coffee, flowers, fish, tobacco, and cashews, which account for 36% of the region's total exports. Major imports are petroleum and related products, vehicles and transport equipment, and machinery.

The relatively small share of intra-regional imports to total EAC imports shows how manufacturing in the region has remained under developed even while the demand is growing.

| EAC Countries' Main Trade Items (by value or volume) |                          |                                                              |
|------------------------------------------------------|--------------------------|--------------------------------------------------------------|
|                                                      | Main exports             | Main imports                                                 |
| Burundi                                              | Coffee, Gold, Tea        | Medicaments, Portland cement, Motor vehicles                 |
| Kenya                                                | Tea, Cut Flowers, Coffee | Crude petroleum, Gas and diesel oil, Vegetable oils and fats |
| Rwanda                                               | Tin ores, Coffee, Tea    | Motor vehicles, Petroleum oil, Portland cement               |
| Tanzania                                             | Gold, Tobacco, Cashews   | Transport equipment, Machinery, Food and beverage            |
| Uganda                                               | Coffee, Fish, Cellphones | Petroleum, Road vehicles, Machinery                          |

Source: National bureau of EAC countries and UN ComTrade (2010)

- EU is the region's biggest trading partner accounting for over a quarter of the region's total exports and imports. Coffee, cut flowers, tea, tobacco, fish and vegetables dominate exports to the EU from EAC. Machinery and mechanical appliances, equipment and parts, vehicles and pharmaceutical products dominate imports from the EU into the region.
- COMESA and SADC are among the region's other important export destinations while only SADC accounts for a strong share of EAC imports, which is mainly due to imports from South Africa. Imports from the rest of world are mainly from the Middle East and Asia including India and China.
- Regional import demands range from finished manufactured goods to intermediate and capital goods to support public sector investment, and are on the rise. Export diversification remains critical.
- EAC Partner States have preferential market access to major markets as follows;
  - COMESA (Common Market for Eastern and Southern Africa): The largest trading bloc in Africa, comprised of 19 member states<sup>11</sup> with over 445 million people and a total GDP of USD 510 billion (at current price, 2011).
  - SADC (Southern Africa Development Community): 14 member countries<sup>12</sup>
  - U.S: Under the Generalized System of Preferences (GSP), developing countries have duty-free access to the U.S for up to 5,000 products, mostly manufactured items<sup>13</sup>. Under the African Growth and Opportunity Act (AGOA), Sub-Sahara African (SSA) countries have duty-free access to the U.S for an additional range of 1,800 products that are excluded from the GSP such as most textiles and apparel; watches; and footwear, handbags, and luggage products. The AGOA is to expire in 2015 and the Trade and Investment Partnership Agreement (TIPA) between the EAC and the United States are underway.

<sup>11</sup> Burundi, Comoros, Democratic Republic of the Congo, Djibouti, Egypt, Eritrea, Ethiopia, Kenya, Libya, Madagascar, Malawi, Mauritius, Rwanda, Seychelles, Sudan, Swaziland, Uganda, Zambia, Zimbabwe.

<sup>12</sup> Angola, Botswana, Democratic Republic of the Congo, Lesotho, Malawi, Mauritius, Mozambique, Namibia, Seychelles, South Africa, Swaziland, Tanzania, Zambia and Zimbabwe

<sup>13</sup> minerals and building stone, jewelry, carpets, certain agricultural and fishery products

- EU: an EU-EAC interim Economic Partnership Agreement (EPA) was launched in 2007 and a comprehensive EPA is currently under negotiation. The interim EPA includes duty and quota-free access for EAC imports to the EU, a gradual removal of duties and quotas over a period of 25 years.

- The Grand Free Trade Area among EAC-COMESA-SADC is expected to be launched in 2014, which would cover 26 economies, more than a half of African countries. Benefits are expected from free movement of goods, harmonized and simplification of Rules of Origin, customs procedures, and standards, coordination of competition policies and institutional frameworks.

| Regional memberships |     |        |      | Trade Agreement |     |
|----------------------|-----|--------|------|-----------------|-----|
| Country              | EAC | COMESA | SADC | AGOA            | EPA |
| Burundi              | O   | O      |      | O               | O   |
| Kenya                | O   | O      |      | O               |     |
| Rwanda               | O   | O      |      | O               | O   |
| Tanzania             | O   |        | O    | O               | O   |
| Uganda               | O   | O      |      | O               | O   |

#### □ Regional Stock Exchange Market

Currently, four EAC countries, Kenya, Uganda, Tanzania and Rwanda have a stock market. Integration of the stock exchanges has led to a larger capital market for investment in the region. One of the objectives of the single stock market is to integrate trading, clearing and settlement infrastructures within the EAC to facilitate a faster trading system. A key first step is improving inter-connectedness of the regional securities exchanges. The East African Securities Exchange Association (EASEA), comprising the chief executives of the four exchanges, is coordinating efforts towards the regional bourse. The combined capitalization of the four stock exchanges is equal to an average US\$ 31 billion<sup>14</sup>, the continent's third largest following the Western African Regional Stock Market (BRVM) and the Central African Stock Exchange (BVMAC).

#### □ One Single Tourism Destination

The EAC treaty promotes the region as a single tourism destination in line with implementation of the EAC single visa scheme. The East Africa Tourism Platform was launched in Kigali in July 2012 to reduce obstacles to intra and inter-regional tourism, promote a regional tourism marketing approach and encourage continued human resource development and skills transfer. It also aims at promoting harmonized standards and codes of conduct for tourism facilities and services<sup>15</sup>. Kenyan and Rwandan tour agents partnered in July 2012 to facilitate bilateral tourism promotion in line with the treaty.

<sup>14</sup>East Africa Hopes to Have Regional Stock Exchange in a Year – Experts, Trust Media (London) 09/07/2013

<sup>15</sup>Rwanda, Kenya Tour Agents Partner to Promote Tourism, All Africa, 11 JULY 2013

[http://allafrica.com/stories/201307110843.html?aa\\_source=sptlgt-grid?aa\\_source=sptlgt-grid](http://allafrica.com/stories/201307110843.html?aa_source=sptlgt-grid?aa_source=sptlgt-grid)

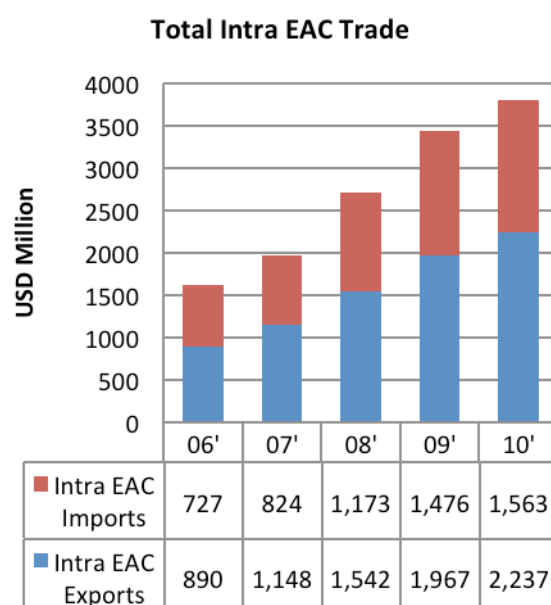
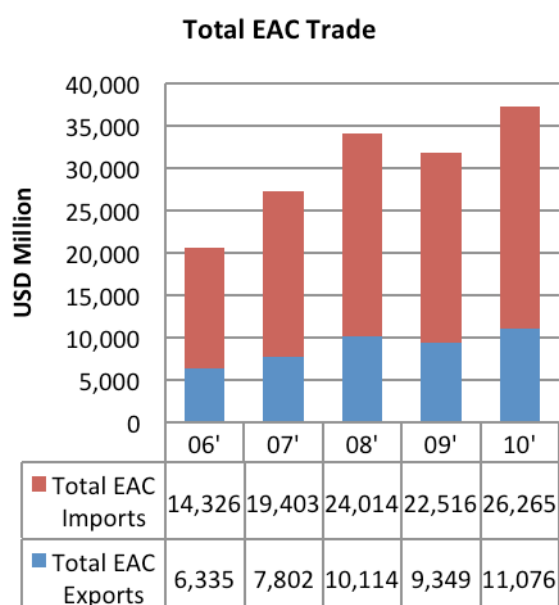
#### □ Opportunities beyond the EAC Region<sup>16</sup>

**South Sudan:** 80% of its land (644,000 square-kilometers) is considered arable with the potential of becoming a breadbasket for the region. By comparison, in Kenya only 14-18 % of its total land (582,000 square-kilometers) is considered arable.

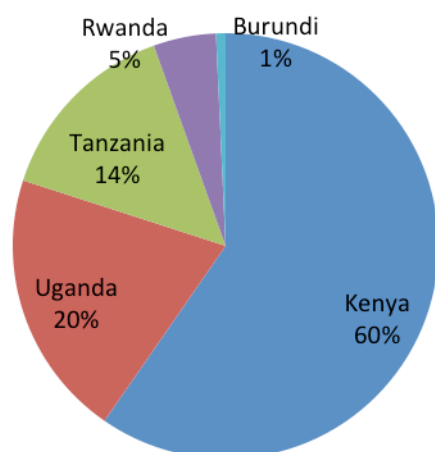
**Ethiopia:** with the region's biggest hydropower reserves Ethiopia is poised to become a leading exporter of electricity in the region where power shortage is one of the biggest challenges. It is expected to complete 500 KV transmission line connecting the Kenyan and Ethiopian grids by the end of 2016. Also Ethiopia is positioning itself as a regional air-hub. Currently Ethiopian Airlines is the second biggest carrier in Africa (handling 4.6 million passengers a year), following South African Airways (8 million passenger per year). Kenya Airways ranks third handling 3 million passengers annually.

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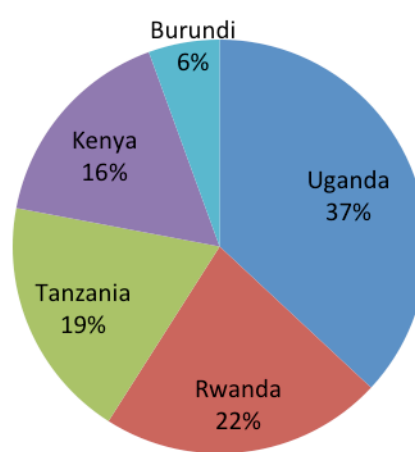
<sup>16</sup>The East African, Juba and Addis: Why the coffee smells so strong in the north, June 29 2013, <http://www.theeastafrican.co.ke/news/East-Africa-s-future-The-pull-of-the-north/-/2558/1898914/-/oij8nsz/-/index.html>



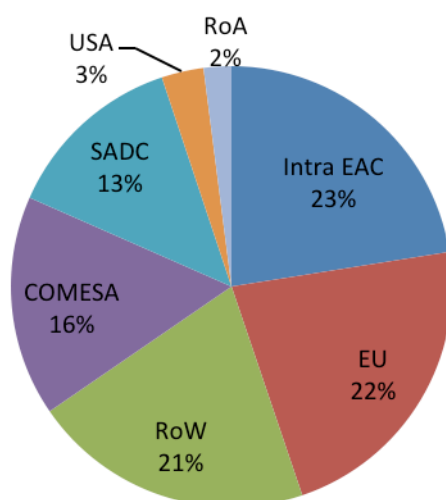
**Intra EAC Export (% ,2010)**



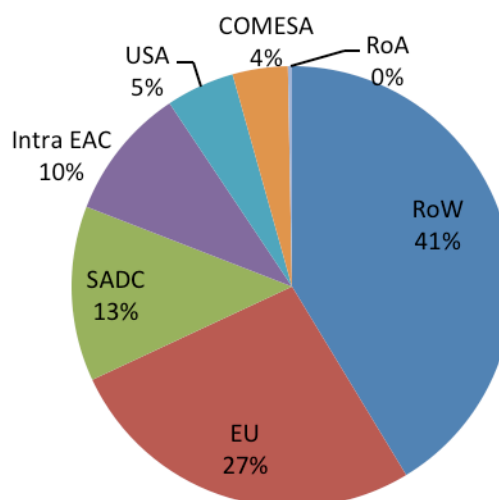
**Intra EAC Imports (% ,2010)**



**Total EAC Exports (% ,2010)**



**Total EAC Imports (% ,2010)**



Source: EAC Statistics

## Investment

- EAC countries offer a variety of business and investment opportunities with a relatively well-educated labor force, unique nature, attractive climate, and relatively well-developed service sector. The economies offer a wide range of investment opportunities in agriculture, horticulture, manufacturing and tourism. Foreign investors' interest in the EAC economies is expected to gain fresh impetus, helped by rising confidence in the region's economy<sup>17</sup>.
- The EAC Industrialization Policy and Strategy (2011), identified six strategic regional industries in which the region has potential comparative advantage, namely:
  - Iron-ore and other mineral processing;
  - Fertilizers and agrochemicals;
  - Pharmaceuticals;
  - Petro-chemicals and gas processing;
  - Agro-processing; and
  - Energy and Bio-fuels.
- The total FDI inflow in the EAC increased from USD 1.3 billion in 2005 to USD 3.8 billion in 2012. Recent natural resource discoveries contributed to the increase in FDI inflows to East Africa, mostly in oil in Uganda and gas reserves in Tanzania<sup>18</sup>. In 2012, Uganda topped the region in attracting FDI, attracting \$1.721 billion, almost double the \$894 million FDI in 2011. Tanzania follows closely by attracting \$1.706 billion in 2012, a 38.81 % increase over the \$1.229 billion FDI in 2011.

| Country  | 2005  | 2006  | 2007  | 2008  | 2009  | 2010  | 2011  | 2012  |
|----------|-------|-------|-------|-------|-------|-------|-------|-------|
| Burundi  | 1     | 0     | 1     | 4     | 0     | 1     | 3     | 1     |
| Kenya    | 21    | 51    | 729   | 96    | 115   | 178   | 335   | 259   |
| Rwanda   | 14    | 31    | 82    | 103   | 119   | 42    | 106   | 160   |
| Tanzania | 936   | 403   | 582   | 1,383 | 953   | 1,813 | 1,229 | 1,706 |
| Uganda   | 380   | 644   | 792   | 729   | 842   | 544   | 894   | 1,721 |
| EAC      | 1,352 | 1,129 | 2,186 | 2,315 | 2,029 | 2,578 | 2,567 | 3,847 |

Source: UNCTAD, World Bank World Development Indicator (WDI), 2013

- Despite its huge potential in investment, Kenya has struggled to attract FDIs because of high political uncertainties, especially after the post-election violence in 2008 and before leading up to the recent elections. The peaceful transition following the 2013 elections is expected to trigger investment in the coming years given Kenya's vibrant private sector, advanced infrastructure and skilled labor. Kenya has attracted FDI in communication, tourism, ICT and manufacturing. Kenya and Uganda received the largest number of Greenfield FDI projects mostly in manufacturing and service sectors. Kenya is an important investor in other EAC countries, especially in wholesale and retail, and service sectors such as insurance and banking. For instance, Kenya Commercial Bank (KCB) is the largest African investor in least developed countries<sup>19</sup>, operating in Kenya, Tanzania, Uganda, Rwanda and South Sudan.

<sup>17</sup> UNCTAD, World Investment Report 2013

<sup>18</sup> UNCTAD, World Investment Report 2013

<sup>19</sup> UNCTAD, World Investment Report 2013

- In Uganda the investment inflows were concentrated in manufacturing (22%) construction (18%), wholesale and retail trade, catering and accommodation services (17%), electricity, gas and water (16%) and transport, communication and storage (9%).

| Main FDI destinations and sectors in EAC |                                                                |
|------------------------------------------|----------------------------------------------------------------|
| Uganda                                   | Manufacturing and construction                                 |
| Tanzania                                 | Tourism, manufacturing and transportation                      |
| Kenya                                    | Communication, tourism, ICT, and manufacturing of retail goods |

- In Tanzania the investment inflows concentrated in tourism (31%), manufacturing (29%), transportation (15%), commercial building (14%) and agriculture (4%).

The other sectors recorded 7%. Tanzania scored the first position worldwide in the investors after care service category awarded by WAIPA (World Association of Investment Promotion Agencies) in 2007<sup>20</sup>.

- Investment inflow into Rwanda rose by 50.94% to \$160 million from \$106 million in 2011, while Burundi attracted \$1 million in 2012, a 66.67 % decrease from \$3 million in 2011.

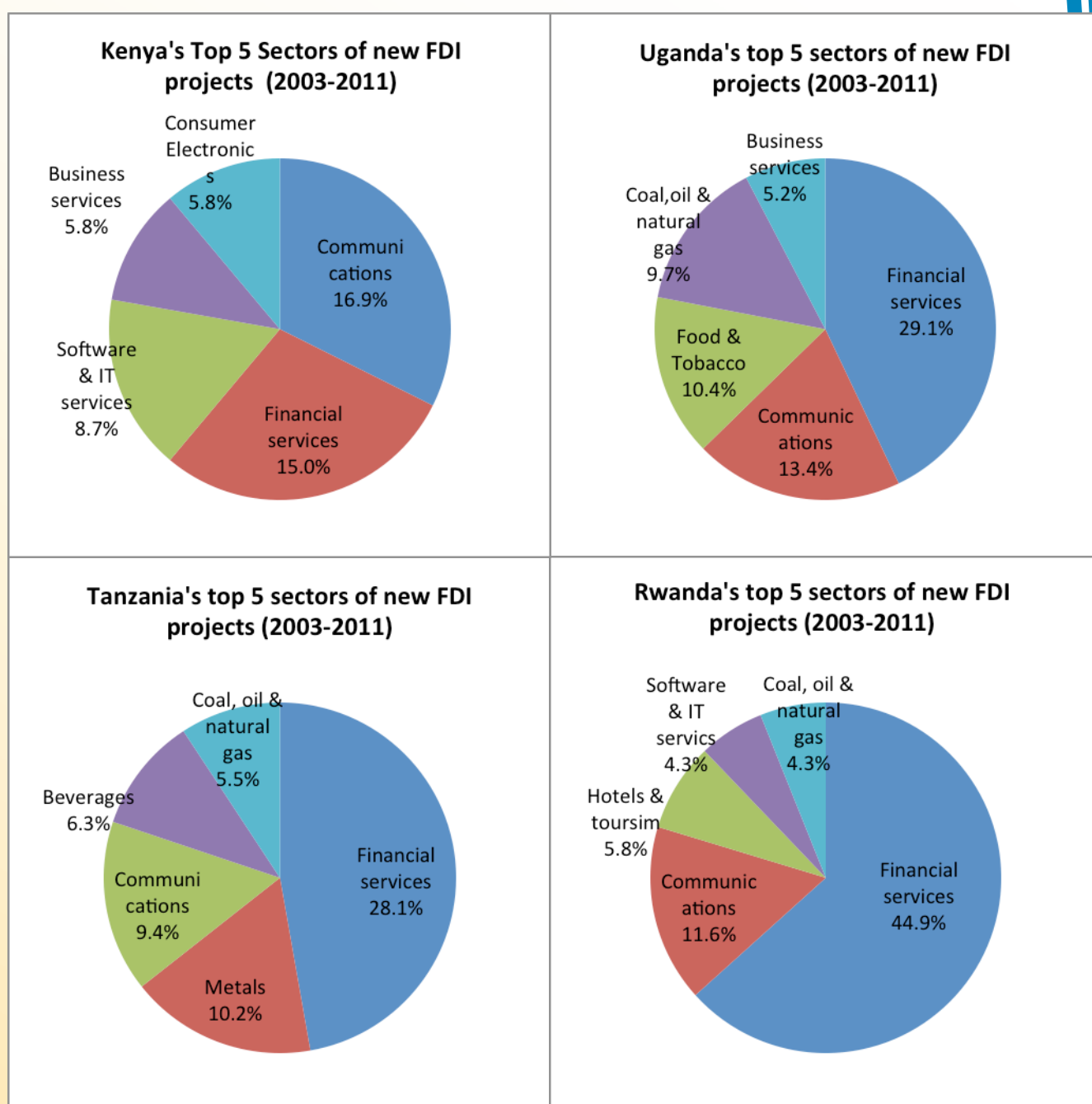
- One notable change in recent years is an increased presence of emerging economies such as China, India and South Africa in the region's investment and trade while the participation of the traditional investors, Europe and the U.S, has been less than expected due to economic downturn. South-south FDI has been mostly in infrastructure projects, communication and financial services. Moreover, the recent discovery of oil and gas has made the region more attractive to China and India due to shorter transport routes to Asia than from the Middle East.

| Top 5 country investors of new FDI project (2003-2011)                 |           |              |              |
|------------------------------------------------------------------------|-----------|--------------|--------------|
| Kenya                                                                  | Rwanda    | Tanzania     | Uganda       |
| U.S                                                                    | Kenya     | U.K          | Kenya        |
| India                                                                  | Nigeria   | India        | U.K          |
| U.K                                                                    | Uganda    | Kenya        | South Africa |
| South Africa                                                           | U.S       | South Africa | India        |
| Japan                                                                  | India     | Canada       | U.A.E        |
| Top 5 country investors of new FDI projects by job created (2003-2011) |           |              |              |
| Kenya                                                                  | Rwanda    | Tanzania     | Uganda       |
| India                                                                  | Kenya     | Canada       | U.K          |
| U.K                                                                    | U.A.E     | U.K          | Kenya        |
| U.S                                                                    | Mauritius | Australia    | South Africa |
| China                                                                  | India     | South Africa | U.S          |
| Spain                                                                  | U.S       | India        | Germany      |

Source: Ernst & Young (2012), Africa Attractiveness Survey

- All EAC Partner States offer investment insurance against non-commercial risk, guaranteed by Multilateral Investment Guarantee Agency (MIGA) and Africa Trade Insurance Agency (ATIA). All have an Investment Promotion Agency (IPA) to promote local and foreign investment.

<sup>20</sup> EAC (2011), The 4<sup>th</sup> EAC Development Strategy



Source: Ernst & Young (2012), Africa Attractiveness Survey

- According to the Doing Business 2013, the EAC countries have significantly improved their business environment, implementing a total number of 74 reforms during 2004-2010. The most notable improvements in ease of doing business were made in Rwanda who became the best reformer not just in the EAC but also in entire Africa. If each of the EAC countries were to adopt its other's good practices (e.g. Rwanda's starting business, Kenya's dealing with construction permits and Uganda's resolving insolvency etc.) according to the Doing Business indicators, the region would be ranked at 26<sup>th</sup> rather than the current 117<sup>th</sup> <sup>21</sup>.

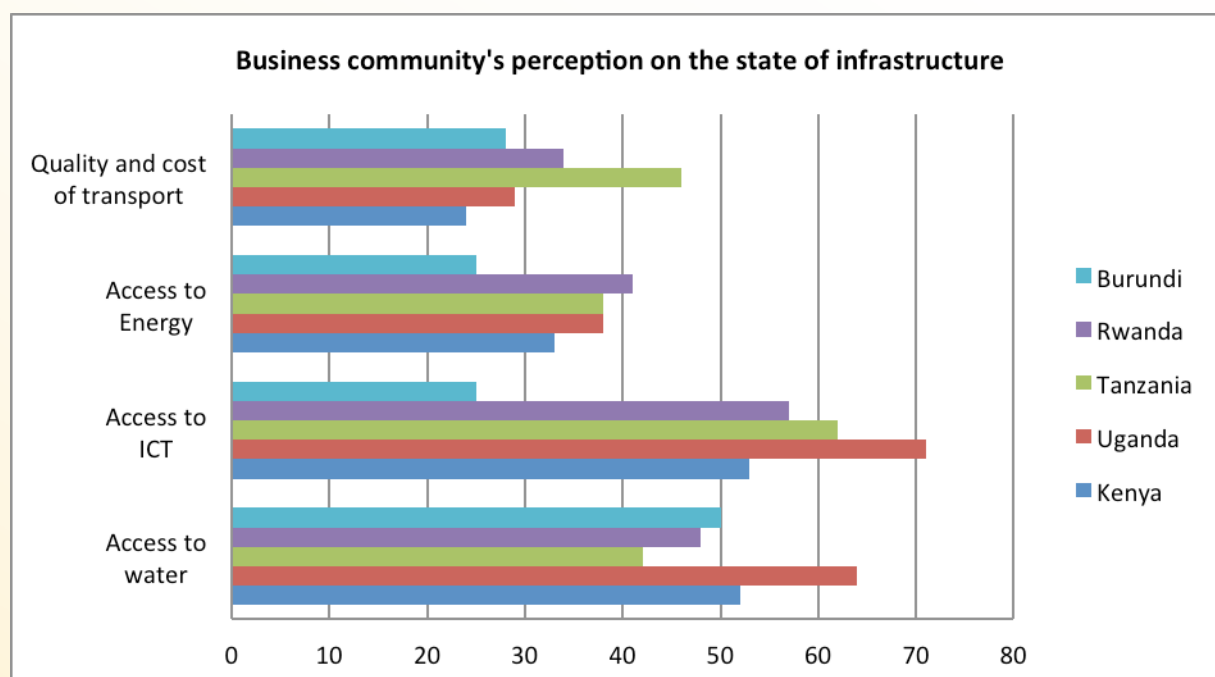
<sup>21</sup> World Bank (2013), Doing Business in EAC

| EAC Doing Business Ranking        |         |           |           |            |            |
|-----------------------------------|---------|-----------|-----------|------------|------------|
|                                   | Burundi | Kenya     | Rwanda    | Tanzania   | Uganda     |
| Starting a business               | 28      | 126       | <b>8</b>  | 113        | 144        |
| Dealing with construction permits | 141     | <b>45</b> | 98        | 174        | 118        |
| Getting electricity               | 164     | 162       | <b>49</b> | 96         | 127        |
| Registering property              | 127     | 161       | <b>63</b> | 137        | 124        |
| Getting credit                    | 167     | <b>12</b> | <b>23</b> | 129        | 40         |
| Protecting investors              | 49      | 100       | <b>32</b> | 100        | 139        |
| Paying taxes                      | 137     | 164       | <b>25</b> | 133        | 93         |
| Trading across borders            | 177     | 148       | 158       | <b>122</b> | 159        |
| Enforcing contracts               | 175     | 149       | 39        | <b>36</b>  | 117        |
| Resolving insolvency              | 161     | 100       | 167       | 129        | <b>69</b>  |
| Ease of Doing Business Rank       | 159     | 121       | 52        | 134        | <b>120</b> |

Source: World Bank, Doing Business 2013

## Regional Infrastructure

- In spite of strong economic growth combined with political stability, open markets and a generally favorable investment climate for foreign investors, the region is not maximizing its potential in trade and investments due to weak infrastructure, insufficient electricity and high-energy costs. The governments have increased public sector investment in infrastructure especially in roads, telecoms, and energy, and are actively seeking private sector partners.
- In November 2012, EAC Heads of State identified and endorsed key infrastructure projects for enhancing regional connectivity, integration and productivity to address constraints to trade and investment as well as the development of regional value chains. The key regional infrastructure projects are to develop or rehabilitate the major ports in the region, build roads across the EAC countries and South Sudan, and to develop hydro power and gas plants, power transmission lines, oil and gas pipelines and refineries. EAC is to develop a 10-year Investment Strategy and Plan for priority projects.
- Given the need for resource mobilization for building or upgrading infrastructure and facilities, multilateral financial institutions including the African Development Bank (AfDB) and the East African Development Bank (EADB), are enhancing their financing role in East Africa. The African Union (AU) and AfDB are leading the Programme for Infrastructure Development in Africa (PIDA) aiming to mobilize USD 80 billion over the next decade to speed up the process of building trans-continental links. In July 2013, the Africa Infrastructure Fund was launched jointly by the AfDB, UNECA and AU to mobilize USD 100 billion.



Source: EABC(2008), 4<sup>th</sup> EAC Development Strategy(2011)

### **The Lamu- Southern Sudan- Ethiopia Transport Corridor (LAPSSET)**

The USD 25 billion mega infrastructure project was launched in March 2012. It encompasses building railways and roads linking Addis Ababa and Juba to Lamu, as well as an oil pipeline from Juba to Lamu where an oil refinery will be constructed. In June 2013, Kenya, Uganda and Rwanda issued a communiqué full of ambitious regional infrastructure projects, among them, the extension of LAPSSET to Uganda, and eventually to Rwanda.

### **PORTS**

To make a major trading bloc, Kenya and Tanzania embarked on several projects to improve ports facilities. The Port of Mombasa and Port of Dar es Salaam will expend their capacity. The digitization of the clearing process and the modernization of weighing of cargo are expected to be realized in near future. Automatic clearing process using a single window system will substantially shorten the delays at the port.

Tanzania also announced Mwambani Port and Railway Corridor (Mwaporc) to be built in Tanga, the region's largest infrastructure project, eclipsing LAPSSET. The proposed \$32 billion Mwaporc will become Tanzania's third corridor after the Tanzania-Zambia Railway Corridor (Tazara) and the Central Corridor, and will consist of a deep sea port as well as a new standard gauge railway that will link the Indian Ocean through Tanzania to Uganda and the Democratic Republic of Congo<sup>22</sup>. Tanzania also plans to build an \$11 billion Bagamoyo port, which will be bigger than the Dar es Salaam and Mombasa ports. Bagamoyo will have the capacity to handle 20 million containers a year and will be ranked as one of the top five ports worldwide.

<sup>22</sup> The East African, Economic rise of China and India make Indian Ocean New Focus of Trade, July 6 2013, <http://www.theeastafrican.co.ke/news/Economic-rise-of-China-India-make-Indian-Ocean-focus-of-trade/-/2558/1906956/-/item/2/-/1rurms/-/index.html>

Collectively, Bagamoyo, Mwaporc, Lamu, the revival of the Mogadishu port, the modernization of Mombasa and Dar es Salaam, and Djibouti's planned five new ports would enhance the regional competitiveness. The coastal region would become a transshipment point from Asia into the Great Lakes region.

## II. COUNTRY PROFILES

### 1. Burundi

#### 1.1. Country Profile

| Country Profile  |                                                |  |
|------------------|------------------------------------------------|-------------------------------------------------------------------------------------|
| Official name    | Republic of Burundi                            |                                                                                     |
| Political system | Parliamentary Democracy                        |                                                                                     |
| Population       | 10,557,259 (2012)                              |                                                                                     |
| Area             | 27,834sq km (landlocked)                       |                                                                                     |
| Climate          | Tropical                                       |                                                                                     |
| Capital          | Bujumbura (UTC+2)                              |                                                                                     |
| Language         | French, Kirundi (official), Swahili (common)   |                                                                                     |
| Religions        | Christianity (80%), Indigenous religions (20%) |                                                                                     |
| Currency         | Burundi Francs (BIF)                           |                                                                                     |
| Exchange rate    | 1 USD =1556 BIF                                |                                                                                     |
| GDP              | USD 2.36 billion (2011)                        |                                                                                     |
| GDP per capita   | USD 271 (2011)                                 |                                                                                     |
| GDP/PPP          | 5.17 billion (2011)                            |                                                                                     |
| Real growth rate | 4.0 % (2011)                                   |                                                                                     |

#### 1.2. Economic Outlook

Burundi is the smallest economy with 10 million people and the lowest GDP per capita among the EAC countries. From independence in 1962 until 1993 when a civil war broke out, Burundi was one of the best economic performers in Africa. The civil war that lasted over 12 years severely hampered almost every sector of the economy. During the last years, however, Burundi has shown signs of slow but steady economic recovery albeit from a low base. The Government has implemented financial and structural reforms to stabilize the economy and revive economic performance. The economy has maintained a real GDP growth rate of over 4% during the last 5 years. Key drivers of the economy are agriculture, mineral and construction. Despite hurdles, Burundi provides unexploited investment potential, especially in the rehabilitation of infrastructure, agriculture, electricity and tourism.

Growth in the coffee and tea subsectors drove economic growth in 2012. Growth in construction (22.7%) and tourism (12.9%) was also strong. Real GDP growth is projected at 4.5% for 2013 and will be driven by industry and services. Moreover, construction of the hydroelectric dam in 2013 and implementation of road transport projects are expected to fuel GDP growth. Expansion in the agriculture sector remains vulnerable to fluctuations in weather conditions and international prices for major exports such as coffee and tea<sup>23</sup>.

<sup>23</sup> AfDB, East Africa Quarterly Bulletin, VOLUME 1, ISSUE 4, FOURTH QUARTER 2012

Economic growth is largely due to improvements in the business regulatory environment especially the reductions in the number of procedures required to start a business, obtain a trade license and the introduction of a fiscal identification number. The Government of Burundi has undertaken bold reforms: according to the Doing Business Survey 2012, Burundi was classified among the top 10 reformers in the world and the 4<sup>th</sup> in Africa and has shown rapid improvement from low base during the last five years.

The government has set up a One-stop window ("guichet unique") in the Burundian Investment Promotion Authority (API), the Commercial Court and the Burundian Revenues Authority (OBR). In terms of activities, API is actively involved in several specific investment promotion activities, including the privatization of the coffee industry and is establishing contacts with investors for investing in hydro-electricity plants, modern passion fruits and pineapple transformation plants; setting up a cassava flour transformation plant in the KUMOSO plain, and tomato processing plants, etc<sup>24</sup>.

Private investment as percentage of GDP increased from 13.5% in 2011 to 14% in 2012, mainly driven by expansion in the tourism sector (hotels). Over 90% of the FDI in 2012 went into the processing industry, information and communications technology, and agro-business. Major investment projects originated from the East African region (Kenya and Uganda), India and China. The most targeted sectors are tourism, energy, agribusiness, transportation, and light assembly plants. Manufacturing sector is underdeveloped but has potential to grow, especially in brewery and household consumer goods. With regional integration, the wholesale and retail sectors are also expected to grow.

As a small landlocked country bordering with Tanzania and Rwanda, Burundi is highly dependent on imported goods. While the total export volume reached 90.8 million in 2011, mainly exporting coffee, tea, sugar, cotton and hides, the total import value was USD 536.6 million with major imports of capital goods, petroleum products, foodstuffs, and human blood. Main trade partners are Switzerland, Germany, Belgium, Thailand, U.S.A, Italy, Japan, Kenya, Tanzania, Uganda, France, Rwanda, and Zambia. The bulk of trade transits through the ports of Mombasa and Dar es Salaam.

The World Bank projects Burundi's economic growth at 4.3% in 2013. The government is heavily investing in renewable energy and transportation infrastructure and continues to improve its business and investment climate.

#### **Why Invest in Burundi?**

- Attractive incentives provided by new Investment Code
- Improving business environment
- Wider market access with regional integration
- On-going reconstruction activities
- Opportunities in agro-processing business, fertilizers, energy infrastructure, transportation infrastructure and tourism

<sup>24</sup> AfDB, East Africa Quarterly Bulletin, VOLUME 1, ISSUE 1, FIRST QUARTER 2012

### 1.3. Investment Climate

#### Investment Policy

- Legal investment framework: the New Investment Code (2008, amended in 2009)
- Burundian Investment and Promotion Authority and one-stop shop for business creation established
- Tax incentives apply uniformly to both domestic and foreign firm
- No explicit discrimination against foreign investors at any stage of the investment process
- No general limits on foreign ownership or control of enterprises
- No restriction on business sectors open to foreign investments, except for arms and military enterprises
- No screening procedures
- Free access to foreign exchange for investment remittances
- Bilateral Investment Treaties with Belgium and Luxembourg, Germany, Mauritius, U.K/ Comoros, Kenya, Netherlands (signed, not yet entry into force)
- Double taxation treaties with EAC countries, COMESA countries, Egypt and France under negotiation

#### Investment Incentives

- Fiscal Incentives
  - Tax exemption for real estate purchases related to new investment
  - Tax reductions for goods used to establish new business
  - Profit-tax breaks for investors employing more than 50 Burundian workers
  - Tax credit on investment at least BIF 100 million that create at least 10 permanent jobs for Burundian citizens
  - Waiving of mutation on the acquisition of property rights and land
- Economic Free Zone (Provisional)
  - Full exemption from corporate tax for the first 10 years of operation and payment of a reduced rate of 15% thereafter;
  - Tax exemption on dividends for an unlimited period;
  - Right to repatriate capital and income;
  - Permission to have foreign currency bank deposits;
  - Flexible labor regulations than the provided in the Labor Code;
  - Imports of businesses are exempt from all duties and taxes, without an import license;
  - Duties on exports

## Taxation

| Type                                                       | Percentage           |
|------------------------------------------------------------|----------------------|
| Income Tax (no distinction between personal and corporate) | 35%                  |
| Corporate tax                                              | 30%                  |
| Custom duties                                              |                      |
| Basic products                                             | 0%                   |
| Building equipment and materials                           | 5%                   |
| Semi-finished products                                     | 15%                  |
| Consumer products                                          | 30%                  |
| Transaction tax                                            | 17-20%               |
| On-account payment on revenue                              | 4%                   |
| Withholding tax                                            | 15%                  |
| Capital gains tax                                          | 35%                  |
| VAT                                                        | 18% (sales tax: 18%) |

## 2. Kenya

### 2.1. Country Profile

| Country Profile        |                                |  |
|------------------------|--------------------------------|------------------------------------------------------------------------------------|
| Official name          | Republic of Kenya              |                                                                                    |
| Government type        | Republic                       |                                                                                    |
| Population             | 43,013,341(2012)               |                                                                                    |
| Area                   | 580,367 sq km                  |                                                                                    |
| Climate                | varies from tropical to arid   |                                                                                    |
| Capital                | Nairobi (UTC+3)                |                                                                                    |
| Language               | English, Swahili               |                                                                                    |
| Religion               | Christian 82.5%, Muslim 11.1%, |                                                                                    |
| Currency               | Kenya Shilling (KES)           |                                                                                    |
| Exchange rate          | 1 USD = 87.25 KES              |                                                                                    |
| GDP                    | USD 32.2 billion (2011)        |                                                                                    |
| GDP per capita         | USD 808(2011)                  |                                                                                    |
| GDP/PPP                | USD 71.13 billion (2011)       |                                                                                    |
| Annual GDP growth rate | 4.5 % (2011)                   |                                                                                    |

### 2.2. Economic Outlook

As a leading economy in the region, Kenya has a long history of a liberalized economy with a vibrant private sector. Since independence, Kenya has pursued industrialization strategies of import substitution and export-oriented industrialization. The ethnically charged post-election violence in 2008 severely hampered the economy, which relies heavily on tourism and agriculture. However the country has shown economic and political stability in recent years and the smooth political transition following the 2013 presidential election has increased the investor's confidence. The key sectors of the economy are agriculture, construction, manufacturing, transport, financial services and tourism.

Kenya ranks among the most accessible and connected markets in Africa in terms of the supply chain (World Bank's survey on trade logistics, 2007). Located on the eastern coast of Africa, Kenya is a regional transport hub. The region's biggest port in Mombasa is handling the domestic and regional trade especially for the landlocked neighboring countries such as Uganda, Rwanda, Burundi, DR Congo, and South Sudan. The Government is planning and implementing a series of projects to address congestion and delays at the port, cumbersome clearance procedures, and poor road and railway transports which significantly challenge the nation and the region's competitiveness.

Kenya was a key destination for foreign investors seeking for establishment of business in East Africa during 1960s and 1970s. Since the 1980s however, politically driven economic policies, rampant corruption, and poor infrastructure discouraged foreign investment and Kenya has underperformed in attracting FDI. Since early 2000, the government has introduced market-oriented reforms and more incentives for both local and foreign private investors. The inflow of foreign investment has been gradually increased until the political tension in 2008, which resulted in a sharp drop in

investment. The peaceful political transition in March 2013 has already led to positive signs of new investments. According to Kenya Investment Authority (KenInvest), the value of investments in this year's second quarter was a huge leap from the Ksh5 billion (USD 58.8 million) the country received in the first quarter. Manufacturing, services, ICT and tourism remain the top recipients of new investments.

Kenya offers diversified business and investment opportunities as a premium service provider in the region. Kenya has a comparative advantage in the export of services compared to the other countries at similar levels of development. The most competitive sectors in services exports are transportation, communication, financial and cultural services while other higher value added services such as business process outsourcing (BPO), ICT, and insurance services are starting to be exported<sup>25</sup>). Most of investment was made into labor-intensive industries such as the communication sector. The recent discovery of oil in the northwestern region and the Government's strong commitment to infrastructure development is expected to trigger significant new investment inflow into the economy.

Traditionally, Europe has been the dominant source of FDI but recently, the origin of FDI has become more diversified with significant new investment coming from China (infrastructure), India (ICT), the Middle East (hotel and property development) and South Africa (railway). In addition, domestic investment has recently started to exceed FDI, making a significant impact on development in Kenya.

Kenya is also becoming an important regional investor within EAC region, mainly in manufacturing, finance and services. Serena Hotels, East African Breweries, the Uchumi and Nakumatt supermarket chains, Kenya Commercial Bank (KCB) and Equity Bank have built up a significant regional presence. Kenya's investments in the rest of East Africa rose by 77.78 % to \$16 million in 2012 from \$9 million in 2011, mainly in the financial sector<sup>26</sup>.

In 2012, Kenya exported an estimated USD 5.942 billion and imported an estimated USD 14.39 billion. Major export items include horticulture (28% of total exports) mostly to Netherlands and U.K, manufactures (23.6%) mostly to the region, especially Tanzania and Uganda, and tea (17.9%). The country's major imports are machinery and transport equipment, petroleum products, manufactured goods and chemicals from China, India, UAE, South Africa and the E.U.

The World Bank projects Kenya's economic growth at 4.9 % in 2013. FDI inflows to Kenya are forecasted to average about USD 1.3 billion per year over the next five years creating more than 16,000 new jobs<sup>27</sup>. Government's priority areas include: continued investment in infrastructure development; reform of public services to make them more efficient and effective; legislative and institutional reforms of the financial systems; and efficiency improvements in the port and the market environment.

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<sup>25</sup> IMF, Deeping Kenya's Integration in the East African Community (EAC), June 2012

Kenya's trade in services is growing sharply, contributing 11 % to GDP during 2008-2010

<sup>26</sup> The East African, Uganda, Tanzania top EA in attracting foreign funds as Kenya loses grip, July 6 2013, <http://www.theeastafrican.co.ke/business/Uganda-and-Tanzania-top-EA-in-attracting-foreign-funds/-/2560/1906688/-/3jf0ocz/-/index.html>

<sup>27</sup> Ernst & Young, Building Bridges, Africa Attractiveness Survey (2012)

### **Why Invest in Kenya?**

- The leading economy in Eastern Africa, the largest single exporter to the EAC and COMESA
- Strategic trading hub in East Africa
- Liberalized economy with vibrant private sector
- Regional financial hub with developed financial services
- Access to well-educated and skilled workers
- Transportation, communication and financial hub of East Africa
- Recent discovery of oil in the north-west Turkana region
- A rapidly growing consumer market
- One of the most promising investment destinations in Africa

## **2.3. Investment Climate**

### **Investment Policy**

- Legal investment framework: the Investment Code under the Investment Promotion Act (2004), Foreign Investment Protection Act, the Companies Ordinance (Chapter 486), the Partnership Act (Chapter 20 and 30)
- Minimum foreign investment threshold: USD 100,000
- Foreign certificate requirement: optional
- Same treatment between foreign and local investors and no discrimination between local and foreign-owned goods in the government's export promotion programs
- No restriction on foreign ownership of equity except for telecommunications (80%) and insurance (66.7%)
- Free to convert and repatriate profits, no restriction on converting or transferring funds associated with investment
- Compulsory Environmental Impact Assessment (EIA) prior to project implementation
- Non-citizens may not own land but may lease land for a maximum period of 99 years
- Special incentives to investors in manufacturing and tourism, and trans-national corporations that invest in less developed areas,
- Bilateral investment treaties: Netherlands, Germany, Italy, Switzerland (in force)/Burundi, China, Finland, France, Iran, Libya, Slovakia, U.K (signed but not yet in force)
- Double Taxation Agreements: Zambia, Norway, Denmark, Sweden, U.K, Germany, Canada, India (ratified, in force)/ Italy, Tanzania and Uganda (signed but not in force)

## Investment Incentives

### □ Fiscal incentives

| Type                                   | Description                                                                                                                                                                                                      |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| MUB (manufacturing-under-bond) Program | <ul style="list-style-type: none"><li>▪ 100% investment allowance</li><li>▪ Duty and VAT exemption on machinery, equipment, and raw materials</li></ul>                                                          |
| Duty Remission                         | <ul style="list-style-type: none"><li>▪ Exemption on duties and VAT on raw materials utilized to process confirmed exports orders</li></ul>                                                                      |
| Capital expenditure                    | <ul style="list-style-type: none"><li>▪ Duties paid for capital expenditure in excess of USD 70,000 can be recovered from corporate tax</li><li>▪ Capital goods and basic raw materials are zero-rated</li></ul> |
| Loss-Carry forward                     | <ul style="list-style-type: none"><li>▪ Business must recover previous losses before paying corporate tax</li></ul>                                                                                              |

### □ Export Processing Zones (EPZs)

As of January 2012, 42 EPZs are operating with 77 companies (down from 83 in 2010). Of which, 70% are engaged in manufacturing, 16% in services, and 14% in other commercial activities. The largest privately owned EPZ is the Sameer Industrial Park in Nairobi's industrial area. The Athi River EPZ and Mombasa EPZ are state owned. Approximately 70 % of EPZ manufactured products are exported to the U.S under the AGOA Provisions. Europe, Canada, the U.A.E, Hong Kong, Panama and Zimbabwe are other also exports destinations.

- Single license: License by the EPZ Authority as an EPZ enterprise is required
- Duty and VAT Exemption: payment of excise duties as specified in the Customs and Excise Act
- 10 year tax holiday: Exemption from payment of income tax for the first 10 years as an EPZ enterprise, except that the income tax rate shall be limited to 25 % for the 10 years following the expiry of the exemption
- 10 year withholding tax exemption on dividend remittance
- Duty and VAT exemption on all inputs except motor vehicles
- Exemption from withholding tax on dividends and other payments made to non-residents during the period that the EPZ enterprise is exempted from payment of income tax
- Exemption from stamp duty on the execution of any instruments relating to the business activities of an EPZ enterprise
- 100 % investment allowance
- Import duty exemptions on machinery, raw materials, and inputs
- No restrictions on management or technical arrangements
- Support services of power and water

### □ Special incentives for manufacturing and tourism sectors

- 100% investment allowance for new investments in manufacturing and tourist hotels
- Investment allowance for imported manufacturing materials for export or for duty free items for domestic sale
- Import duty relief for imported raw materials and intermediates for the manufacture goods for exports

- Zero-rated VAT for locally financed materials and equipment for use of construction or refurbishment of tourist hotels
- 25% corporate tax for companies issuing initial public offers in the Nairobi Stock Exchange
- Foreign investors are allowed to bring in cars for personal use duty free.
- Computers are duty free

### Taxation

| Type                                                                                                                                                                                                                      | Percentage                                            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| Income Tax                                                                                                                                                                                                                | pay-as-you-earn, maximum 30% of income                |
| Corporate Tax for local companies                                                                                                                                                                                         | 30%                                                   |
| Corporate Tax for Non-resident company (branches)                                                                                                                                                                         | 37.5%                                                 |
| Corporate income tax for newly listed companies <ul style="list-style-type: none"> <li>- List at least 20% of its shares</li> <li>- List at least 30% of its shares</li> <li>- List at least 40% of its shares</li> </ul> | 27% for 3 years<br>25% for 5 years<br>20% for 5 years |
| Withholding Tax                                                                                                                                                                                                           | 5%                                                    |
| Capital Gain Tax                                                                                                                                                                                                          | 0%                                                    |
| VAT                                                                                                                                                                                                                       | 16% Standard Rate                                     |
| Real Estate Investment Trusts                                                                                                                                                                                             | Exempt                                                |
| Customs duty                                                                                                                                                                                                              | 0-35%                                                 |

## 3. Rwanda

### 3.1. Country Profile

| Country Profile   |                                                   |  |
|-------------------|---------------------------------------------------|------------------------------------------------------------------------------------|
| Official name     | Republic of Rwanda                                |                                                                                    |
| Political system  | Presidential, multiparty system                   |                                                                                    |
| Population        | 11,689,696 (2012)                                 |                                                                                    |
| Area              | 26,338 sq km                                      |                                                                                    |
| Climate           | Temperate                                         |                                                                                    |
| Capital           | Kigali (UTC+2)                                    |                                                                                    |
| Language          | English, French, Kinyarwanda,                     |                                                                                    |
| Religion          | Christianity 82.5 %, Adventist 11.1%, Muslim 4.6% |                                                                                    |
| Currency          | Rwanda francs (RWF)                               |                                                                                    |
| Exchange rate     | USD 1= 632 RWF (Feb, 2013)                        |                                                                                    |
| GDP               | USD 6.33 billion (2011)                           |                                                                                    |
| GDP per capita    | USD 582 (2011)                                    |                                                                                    |
| GDP/PPP           | USD 14 billion (2011)                             |                                                                                    |
| Annual GDP growth | 8.6% (2011)                                       |                                                                                    |

### 3.2. Economic Outlook

After the genocide in 1994, the Government of Rwanda strongly committed to rebuilding and reviving its economy and carried out remarkable reforms. The country's annual GDP growth has averaged 7.1% since 2004, and was the highest among the neighboring countries during the last 3 years. Recording real GDP growth of 8.6% in 2011, Rwanda has a fast-growing and strong service sector which accounts for 53% of total GDP. The services sector has sustained double-digit growth of 12% owing to the strong contribution from wholesale and retail trade, transport, storage communication and education. Mining and construction are the two dominant industrial subsectors. Rwanda has just finished setting its development goals for the next 5 years through the Economic Development and Poverty Reduction strategy (EDPRSII). IN EDPRSII, Rwanda identifies its services sector as a key pillar of the economy and aims to establish the country as a regional financial center.

Rwanda is now politically stable and well known for zero-tolerance for corruption. It has made notable improvements in its business environment, ranked as 48<sup>th</sup> out of 183 economies in Doing Business 2012, one of the top reformers in the world. Significant improvements are made in starting a business (3days), getting credit, paying tax etc.

In 2012, the value of export reached USD 357.8 million with major export items of coffee, tea, hides and tin ore. The total import volume was 1.414 million mainly consisting of foodstuffs, machinery and equipment, steel, petroleum products, cement and construction material. Kenya is the biggest trading partner with Rwanda. Although it is a landlocked country, it is positioning itself as a transport hub linking central and east Africa taking advantage of its geographic location bordering with the Democratic Republic of Congo, Uganda, Burundi and Tanzania.

FDI inflow reached a record high of USD 119 million in 2009, which is 14 times higher than FDI inflows in 2004. Since 2006, the government has implemented an intensive privatization program to attract foreign investment, especially in telecommunications, tourism, banking, and agriculture sectors, while continuing to hold minority shares in telecommunications, insurance, and hotels.

ICT is the sector attracting the most FDI, followed by financial services and insurance, wholesale and retail trade, accommodation and food services, and agriculture including forestry and fish. Rwanda's government and KT Corp, South Korea's biggest telecoms provider, have concluded an agreement to provide high-speed 4G LTE broadband network for 95% of citizens within three years<sup>28</sup>.

South Africa, China, Libya are the biggest investors and Kenya is the largest regional investor. By region, EU holds the largest FDI stock, accounting for 30% of total FDI stock, followed by COMESA (non-EAC), SADC (non EAC & COMESA), Asia, and EAC. The volume of investment from EAC is relatively small but growing at a fast rate.

The World Bank projects Rwanda's economic growth at 7.5% in 2013, the highest rate among the EAC countries. FDI inflows to Rwanda are projected to average about USD 450 million per year from 2013-2017 creating 1,300 new jobs<sup>29</sup>. Government's priority areas are infrastructure development, creating off-farm employment, promoting urbanization, and maximizing tourism and mining potentials.

#### **Why Invest in Rwanda?**

- Average 7.1% GDP growth since 2004. Its GDP growth rate during the last 3 years was highest among the neighboring countries.
- Politically stable governance with zero tolerance for corruption
- Fastest reformer of business regulations
- Most competitive place to do business in East Africa and 6<sup>th</sup> in Africa
- Strong internet connectivity, among the top three African countries
- Simple taxation, development industrial parks and free trade zone, and creation of stock exchange
- FDI inflow amount: USD 118 million in 2009 (a 14 times increased from 2004)

<sup>28</sup> Guardian, Rwanda strikes 4G internet deal with South Korean telecoms firm, June 11 2013  
<http://www.guardian.co.uk/world/2013/jun/11/rwanda-4g-internet-south-korea>

<sup>29</sup> Ernst & Young, Building Bridges, Africa Attractiveness Survey (2012)

### 3.3. Investment Climate

#### Investment Policy

- Legal investment framework: The Investment Code (1998)
- Initial capital requirement for official registration and investment certificates (not mandatory): 250,000 for foreign investors and USD 100,000 for domestic and COMESA investors
- No sectors barred to foreign investors and no limits on foreign ownership or control
- No mandatory screening of foreign investment (but Rwanda Development Board (RDB) evaluates business plans for better allocation of incentives and recording inflows)
- No restriction on the right of a foreign investor to repatriate returns from an investment.
- No legal requirement to purchase from local source or export a certain percentage of their output
- Land acquisition with a general limit on land ownership (lease hold agreement from 50-99 years)
- Investors who demonstrate capacity to add more value, technology transfer, and invest in priority sectors may also receive enhanced tax and investment incentives, while there are additional incentives for an investor operating in a Free Export Economic Processing Zone including greater tax benefits
- Preferential tax incentives to investors contributing significant export-driven growth; export at least 80% of total production (minimum 10% if under MUB), or capital investment at least USD 250,000 for foreign investors or USD 100,000 for local and COMESA members)
- Bilateral Investment Treaties with Switzerland, Germany, USA/Belgium and Luxembourg, Mauritius, South Africa (signed, not entered into force)  
Ongoing discussion with Italy, South Korea, Canada, and Netherlands
- Double Taxation Treaties with Mauritius, South Africa, EAC and Belgium

#### Investment Incentives

##### □ Fiscal Incentives

| Type                        | Description                                                                                                                                                                                                                      |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Import duty exemption       | 5% flat rate on importation of building and construction materials for investments (worth USD 1.8 million) in tourism, education, health and agricultural sectors;                                                               |
| VAT exemption               | On all imported raw materials, imported vehicles for investors and their foreign employees                                                                                                                                       |
| Investment allowances       | 40% in the first year for investments in Kigali and 50% outside of Kigali                                                                                                                                                        |
| 100% write off of R&D costs | Additional deduction from taxable income of 50% of training, research and product development costs                                                                                                                              |
| Duty drawback               | The right to fully offset the cost of providing infrastructure to the site of the business operations; and Duty drawback for all duties and taxes paid on imported raw materials if the investor is an exporter who is operating |

outside a free export economic zones.

□ Free Economic Zone (FEZ)

FEZs are designed to accommodate heavy and light manufacturing industries, wholesalers, Chemicals, pharmaceuticals and plastics, tourism and service industries, warehousing, and information technology park. A FEZ is currently in place on the outskirts of Kigali. Phase 1, which is in operation, covers an area of 98 hectares. Phase 2, to be completed by end of 2013, will occupy 178 hectares. A further phase is being planned and will cover 134 hectares. Bonded warehouse facilities are now available to businesses importing duty free materials.

- Duty free importation of machinery, equipment and raw material (for the industry) and other goods
- Zero corporate tax (unlimited period)
- Exemption from withholding tax
- Benefit from incentives in a planned export zone, investors will be required to export a certain percentage of the finished product

\*Companies establishing their International Headquarter operation in Rwanda are accorded similar incentives to those in FEZs.

### Taxation

| Type                                                              | Percentage                      |
|-------------------------------------------------------------------|---------------------------------|
| Income Tax                                                        | Progressive from 0, 20, and 30% |
| Corporate tax                                                     | 30%                             |
| For the company employing between 100-200 employees               | 2% reduction                    |
| For the company employing between 201-400 nationals;              | 5% reduction                    |
| For the company employing between 400-900 nationals;              | 6% reduction                    |
| For the company employing more than 900 nationals;                | 7% reduction                    |
| For the company exporting valued at USD 3-5 million;              | 3% reduction                    |
| For the company exporting valued over USD 5 million               | 5% reduction                    |
| Excise duties                                                     |                                 |
| Telephone communication                                           | 3%                              |
| Fruit juice, vehicles with an engine capacity of less than 1500cc | 5%                              |
| Powdered milk, mineral water, vehicles (1500-2500cc)              | 10%                             |
| Vehicles (greater than 2500cc)                                    | 15%                             |
| Soda and lemonade                                                 | 39%                             |
| Beer                                                              | 60%                             |
| Wine, brandies, liquors and whiskeys                              | 70%                             |
| Fuel and lubricants                                               | 76%                             |
| Cigarettes                                                        | 150%                            |
| Withholding tax                                                   | 15%                             |
| VAT                                                               | 18%                             |

## 4. Tanzania

### 4.1. Country Profile

| Country Profile  |                                                           |  |
|------------------|-----------------------------------------------------------|------------------------------------------------------------------------------------|
| Official name    | United Republic of Tanzania                               |                                                                                    |
| Government type  | Republic                                                  |                                                                                    |
| Population       | 46,912,768 (2012)                                         |                                                                                    |
| Area             | 947,300 sq km                                             |                                                                                    |
| Climate          | Varies from tropical to temperate                         |                                                                                    |
| Capital          | Dar es Salaam (UTC+3)                                     |                                                                                    |
| Language         | English, Swahili                                          |                                                                                    |
| Religion         | Mainland: Christian 30%, Muslim 35%; Zanzibar: 99% Muslim |                                                                                    |
| Currency         | Tanzania Shilling (TZS)                                   |                                                                                    |
| Exchange rate    | 1USD = 1627 TZS (Feb, 2013)                               |                                                                                    |
| GDP              | USD 28.85 billion (2011)                                  |                                                                                    |
| GDP per capita   | USD 532 (2011)                                            |                                                                                    |
| GDP/PPP          | USD 67.83 billion (2011)                                  |                                                                                    |
| Real growth rate | 6.4% (2011)                                               |                                                                                    |

### 4.2. Economic Outlook

Tanzania is one of the most politically stable countries in Africa with a total absence of political and ethnic conflicts since its independence. The government started to shift its economic regime towards an open and liberal economy in the mid-1980s and has undertaken a series of macroeconomic reforms. The major policy shifts have led to sound macroeconomic conditions, a key priority consideration for a favorable business climate. During the last decade, Tanzania has experienced consistent economic growth at an average of annual rate of more than 6%.

The economic performance of Tanzania in 2011 was strong achieving annual growth rate of 6.4%, remaining resilient to both internal and external shocks. It was mainly driven by mining (gold and diamond production), services, particularly telecommunication and financial intermediation, industry including manufacturing and construction subsectors, wholesale and retail sales, and agriculture<sup>30</sup>.

Although the economy still heavily depends on agriculture, other sectors including energy, financial services, telecommunications, and tourism also show significant investment potential. Growth will continue to be driven by trade, tourism, manufacturing and services. With improved power situation, the manufacturing subsector is projected to perform strongly driven by increased production of chemicals, textiles, cement, and food processing.

Its total volume of exports and imports was USD 5.031 billion and USD 9.273 billion respectively in 2012 (est.). Major exports include gold, coffee, cashew nuts, manufactures, and cotton. Major export partners are South Africa, China, Japan, India, Germany and U.A.E. The major imports include

<sup>30</sup> East Africa Quarterly Bulletin, VOLUME 1, ISSUE 1, FIRST QUARTER 2012

consumer goods, machinery and transport equipment, and crude oil, mainly from India, China, South, Africa, Kenya and U.A.E.

Tanzania became one of the largest FDI recipients among the EAC countries once it eased restriction on foreign investment in the late 1980s. It was listed among the top ten reformers in the WB's Doing Business in 2007. Major sources of FDI include the U.K, Kenya, South Africa, India, China and the U.S. investing in telecommunications, energy infrastructure, road construction, breweries, tourism/hotels, mining (coal, diamond, gold, nickel and uranium), and agriculture. With major discoveries of natural gas reserves in Songo Songo and Mnazi Bay, the world's leading oil and gas exploration companies continue to scale up their operations in Tanzania. The TIC (Tanzania Investment Center) promotes trade and investment opportunities in agriculture, mining, tourism, telecommunications, financial services, and energy and transportation infrastructure.

Tanzania has earmarked areas to Invest EPZ/SEZ sites in 14 regions where investors are invited to develop infrastructure in the earmarked sites with various forms of partnership (BOT, BOOT, Land Concession Agreement etc). The sizes of the sites are between 2000 – 9000 Ha and are located in the Coast Region (Bagamoyo, 8000 Ha), Manyara (530.87 Ha), Tanga (2000 Ha), Kilimanjaro (1000 acres), Arusha (4000 Acres), Mwanza (2000 Ha), Mara (2316 Ha), Kagera (2500 Ha), Kigoma (3000 Ha), Mbeya (500 Ha), Morogoro (2000 Ha), Ruvuma (2207 Ha) and Lindi (250 Ha)<sup>31</sup>. Investment focus areas are agriculture and agro processing, metal products, machinery and transport equipment, electronics and electrical appliances, chemical, paper and plastics, light industries, mining, ceramics and gemstones.

Although Tanzania has largely made its economic transition to a liberalized economy, the government retains its presence in some sectors such as telecommunications, banking and mining and imposes restrictions on Tanzanian citizens investing abroad through capital controls.

The World Bank projects Tanzania's economic growth at 6.8% in 2013, the second highest rate among the EAC countries. FDI inflows to Tanzania are forecasted to average USD 2.2 billion per year over 2013-2017, creating 28,000 new jobs<sup>32</sup>. Government's priority areas include; improvement of infrastructure, increased access to financial services, and strengthened public private partnership.

#### **Why Invest in Tanzania?**

- Forecasted to be one of the fastest growing economies in the world over the next 5 years
- A sizeable domestic and regional market with supply of local raw material
- Strategically located as a gateway to East Africa and the land-locked countries in Central Africa
- One of the most stable and peaceful countries in Africa
- Investment-favored policies and incentives
- The finest tourism opportunities in Africa
- Preferential market access to Africa, EU, and the US
- Abundant and relative well-educated labor force

<sup>31</sup>Tanzania Export Processing Zone Authority <http://www.epza.co.tz/>

<sup>32</sup>Ernst & Young, Building Bridges, Africa Attractiveness Survey (2012)

### 3.3. Investment Climate

#### Investment Policy

- Investment legal framework: Tanzania Investment Act (1997)\*, Business Licensing Act No.25 of 1972
  - \* Which does not apply to; Mining and oil exploration under the Petroleum Act (1980) and the Mining Act (1998), Zanzibar administered under a separate legislation<sup>33</sup>, and Investment below USD 300,000 and USD 100,000 for foreign and local investor respectively
- National treatment applies to foreign investors without performance requirements, except for operating travel agencies, car rental services, and engaging in tour guiding (Tourism Act, 2008)
- No requirement to buy local sources, export a certain percentage of output or only access foreign exchanges in relation to exports
- Approved projects by the Tanzania Investment Centre (TIC) receive investment certificates of incentives, are allowed 100% foreign ownership, VAT and import duty exemptions, and repatriation of 100% of profits, dividends and capital after tax and other obligations
- Review process of investment plan (10 days)
- No remittance restrictions
- Restricted land ownership (land is state property) but lease up to 99 years
- Bilateral Investment Treaties with Denmark, Finland, Germany, Italy, Netherlands, Sweden, Switzerland, U.K/ Egypt, Jordan, Republic of Korea, Mauritius, South Africa, Turkey, and Zimbabwe (signed, not yet entered into force)
- Double Taxation Agreement with Canada, Denmark, Finland, India, Italy, Norway, South Africa, Sweden, and Zambia
  - \* Under negotiation: South Africa, Republic of Korea, Zimbabwe, United Arab Emirates, Russia, Seychelles, Mauritius, Egypt, Yugoslavia and Oman

#### Investment Incentives

##### □ Fiscal Incentives

Tax incentives are now granted in the form of enhanced capital deductions and allowance structured according to lead and priority sectors which include agriculture, agro-based industries, mining, tourism, petroleum and gas and economic infrastructure (road, railways, air and sea transport, port facilities), telecommunication, banking and insurance.

\* As tax incentives are different by sector, it is advised to contact TIC for details.

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<sup>33</sup> The Zanzibar Investment Promotion Agency (ZIPA) and the Zanzibar Free Economic Zones Authority (ZAFREZA) offer similar incentives as those offered by the Mainland's TIC and EPZ policies.

| Type                                              | Description                                                                                                                                                                                                |
|---------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| MUB (manufacturing-under-bond)                    | All factories registered to manufacture goods under bond for export purpose are exempted from import duty and other taxes on inputs used to manufacture such goods.                                        |
| Import duty drawback                              | Import duty charged on imported inputs used for producing goods for export and goods sold to foreign institutions like UN in Tanzania, is refunded.                                                        |
| Zero custom duty & deferred corporate tax and VAT | On capital goods for investments in sectors such as mining, infrastructure, road construction, bridges, railways, airports, electricity generation, agro-processing, telecommunications and water services |
| 100% Capital allowance                            | Deduction in the years of income for the above mentioned types of investments                                                                                                                              |
| Interest deduction                                | On Capital loans; removal of the 5-year limit for carrying forward losses of investors.                                                                                                                    |
| No remittance restrictions                        | No restriction on the right of a foreign investor to repatriate returns from an investment.                                                                                                                |

□ Special Economic Zones (SEZs):

According to SPEZA (The Special Economic Zones Act, 2006), the SEZs are established to encourage green field investment in the light industry, tourism, commercial activities, forestry, ICT, and banking and finance. The Act provides outlines for industrial parks, export processing zones, free trade zones, tourist parks, and science & technology parks, which may be regarded as SEZs. Specific regions for light industry are Dar es Salaam, Tanga, Kigoma, and Mtwara.

| Category                                                     | Incentives                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Infrastructure developer                                     | <ul style="list-style-type: none"> <li>• Exemption from payment of taxes and duties on all capital goods related to EPZs/SEZs</li> <li>• 10-year tax holiday (corporate tax, withholding tax on rent, dividends and interest, property tax)</li> <li>• Exemption from VAT on utility charges</li> <li>• Exemption from pre-shipment or destination inspection requirements</li> </ul>                                                                                                          |
| Investors producing for the sale within the custom territory | <ul style="list-style-type: none"> <li>• Remission of custom duty, VAT and other taxes on raw materials and goods of capital nature related to production in zone</li> <li>• Withholding tax exemption on interest on foreign sources loan</li> <li>• On-site inspection of goods in the zone</li> <li>• Unconditional transferability of profits, dividends, royalties etc.</li> <li>• Provision of visa for entry of key personnel</li> <li>• One-stop-service center in the zone</li> </ul> |
| Investors producing for                                      | <ul style="list-style-type: none"> <li>• 10-year tax holiday (corporate tax and withholding tax on rent, dividends and interest)</li> </ul>                                                                                                                                                                                                                                                                                                                                                    |

|                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| export market (at least 80% of production) | <ul style="list-style-type: none"> <li>• Remission of custom duty, VAT and other taxes on raw materials and goods of capital nature related to production in the zone</li> <li>• Exemption from taxes and levies imposed by local government authorities on products produced in EPZs</li> <li>• Exemption from VAT on utility charges</li> <li>• Unconditional transferability of profits, dividends, royalties etc.</li> <li>• Lower port charges</li> <li>• Access to the export credit guarantee scheme</li> <li>• On-site customs inspection in the zone</li> </ul> |
|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

#### □ Export Processing Zones (EPZs)

It aims to use local materials for the production of textiles and garments, leather goods, value added-agro processing and electronics. 4,000 hectare for export clusters is earmarked. In total six EPZs have been developed (1 public, 5 private owned), with 40 companies- mostly foreign textile exporters.

- Remission of customs duty, VAT and any other tax payable on goods purchased for use as raw materials, equipment, and machinery, or goods and services related to manufacturing in the EPZs (except for motor vehicles, spare parts and consumables): payment of excise duties as specified in the Customs and Excise Act
- 10 year tax holiday: Exemption from corporate income tax for the first 10 years; after 10 years, a reduced tax of 25% (ordinarily 30%)
- Exemption from withholding tax on dividends and interest for the first 10 years
- Exemption from all taxes and levies imposed by local government for goods and services produced or purchased in the EPZs
- On-site customs inspection in lieu of off-site inspection
- Provision of temporary visas at the point of entry to key technical, management and training staff for up to 30 days
- No local authority taxes for 10 years on products produced in the EPZ
- No stamp duty
- Exemption from foreign exchange control restrictions, exemption from the pre-shipment or destination inspection requirement, and entitlement to on-site customs inspection

## Taxation

| Type                                               | Percentage                                                                                                            |
|----------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| Income Tax for individuals                         | Progressive from 18.5% to 30%                                                                                         |
| Income Tax for non-resident individuals            | A flat rate of 20% applies (for an employer of a non-resident, deduction of PAYE at the rate of 15% from the payroll) |
| Corporate tax for local and non-resident companies | 30%                                                                                                                   |
| Total income of a domestic permanent establishment | N/A for resident, 30% for non-resident                                                                                |
| Repatriated income of branch                       | N/A for resident, 10% for non-resident                                                                                |
| Taxable value of employment benefits               | Generally all benefits are taxable 6% of the gross emoluments paid to employees (except for farm workers) 20%         |
| Skills & development levy NSSF/PPF                 |                                                                                                                       |
| Withholding tax                                    | Dividends (10%), interest (10%), royalties (15%) and management fee (15%)                                             |
| Capital gains tax                                  | The gain/loss upon sale realization is included in business income and taxed at the general rate                      |
| VAT                                                | 18% (export of certain goods and professional and communications services are subjected at zero rate)                 |

## 5. Uganda

### 5.1. Country Profile

| Country Profile  |                                           |  |
|------------------|-------------------------------------------|------------------------------------------------------------------------------------|
| Official name    | Republic of Uganda                        |                                                                                    |
| Government type  | Republic                                  |                                                                                    |
| Population       | 33,640,833 (2012)                         |                                                                                    |
| Area             | 241,038sq km (landlocked)                 |                                                                                    |
| Climate          | Tropical                                  |                                                                                    |
| Capital          | Kampala (UTC+3)                           |                                                                                    |
| Language         | English (official), Luganda (widely used) |                                                                                    |
| Religion         | Christian 84%, Muslim 12%                 |                                                                                    |
| Currency         | Uganda Shillings (UGX)                    |                                                                                    |
| Exchange rate    | 1 USD = 2652 UGX (Feb, 2013)              |                                                                                    |
| GDP              | USD 47.78 billion (2011)                  |                                                                                    |
| GDP per capita   | USD 532 (2011)                            |                                                                                    |
| GDP/PPP          | USD 46.41 billion (2011)                  |                                                                                    |
| Real growth rate | 5.1 % (2011)                              |                                                                                    |

### 5.2. Economic Outlook

Uganda is one of the most economically liberalized countries<sup>34</sup> in sub Saharan Africa with predictable macro-economic policies. The economy has shown solid growth (an average 5% of annual growth over the last 15 years, 9% over the last 5 years). The fast economic growth was driven by services, construction, manufacturing, transportation, telecommunication, energy infrastructures and oil and gas.

The service sector was the key driver of growth, accounting for 45.1% of GDP. Growth in the services sector was driven by Public Administration (15.6%), other business services (14.9%), financial services (9%) and real estate activities (7.8%). The agriculture sector accounts for 23.7% of GDP. Industrial growth was the weakest in 2012, but the construction activity grew by 3.0%, which accounts for more than half the share of the sector while mining & quarrying, and manufacturing subsectors declined by 19.2% and 4% respectively<sup>35</sup>.

Uganda's main exports are agricultural products (coffee, fish, tea, cotton, flowers, horticultural) and gold. The export volume reached USD 2.735 billion in 2012 mainly from exports to neighboring countries (Kenya, Rwanda, Sudan and DR Congo), UAE, and E.U. Uganda's imports reached USD 5.528 billion in 2012. Major import items include consumption goods (capital equipment, vehicles, petroleum, and medical supplies) and services rather than industrial/production inputs, mainly from Kenya, UAE, India, China, and South Africa. Most of Uganda's imports are channeled through the main seaports of Mombasa, Kenya and Dar es Salaam, Tanzania. Regional trade with South Sudan, DRC and Rwanda is growing due to increased demand and Uganda's economic stability.

<sup>34</sup> Ranked at 76 of Economic Freedom Index by Heritage Foundation (2010), fifth freest economy in sub-Saharan Africa

<sup>35</sup> AfDB, Economic Bulletin, VOLUME 1, ISSUE 4, Fourth QUARTER 2012

Its investment regime provides incentives targeting medium and long-term foreign investors and encourages investment in value-added manufacturing and agro-processing. It has attracted the most FDI among the region from both the traditional investor countries (Kenya, South Africa and the U.K) and new investors (U.A.E, India and China). According to the Bank of Uganda, major investors in 2011 are China, followed by India, Kenya, and South Africa. Firms invested primarily in the manufacturing sector (beverage, sugar, textiles, cement, footwear, packing, plastics and food-processing for the local market), wholesale, financial services, agriculture, mining and transport. Kampala is the main FDI destination taking the biggest share of licensed investment at 60%, followed by Wakiso, Junja and Mukono at 5% each. The Government released an environmental monitoring plan and guidelines following the extraction of oil and gas in the Alberine region.

However, Uganda is not reaping fully its investment and business potential due to poor road networks and high energy costs. As a landlocked country, Uganda is heavily dependent on a highway from Kenya that is handling 80% of total trade and Mombasa Port. Uganda also relies on imported fuel from the refinery at Mombasa. To reduce the costs of transport and energy, the government has increased public sector investment in enhancing infrastructure and is actively seeking private partners; the government is planning to construct an oil refinery, upgrade and expand the Kampala-Mombasa railway (five year project financed by the Rift Valley Railways consortium) and exploring the possibility of building a railway between Tanga port (Tanzania) and Musoma (Lake Victoria).

The World Bank projects Uganda's economic growth at 6.2% in 2013. FDI inflows to Uganda are forecasted at USD 1.7 billion per year over 2013-2017, creating 11,000 new jobs<sup>36</sup>. The government's development priorities are to improve the infrastructure and solve the energy shortage. By sector, value added agri-business, mineral beneficiation, infrastructure development, SME development, tourism and ICT are the main priority areas.

#### **Why Invest in Uganda?**

- Strong economic growth, open markets and abundant natural resources
- Predictable and stable economy with annual economic growth averaging 7% since 2007
- One of the fast growing economies in East Africa
- Ranked as the 8<sup>th</sup> freest economy in Africa (Economic Freedom Index, 2012)  
: 100% foreign ownership of investment, free inflow and outflow of capital
- Central location in Sub-Saharan Africa
- Abundant natural resource base for agriculture, mineral mining and tourism
- English speaking and educated workforce (20,000 University graduates per year, Makerere University is one of the best universities in the region)

### **5.3. Investment Climate**

#### **Investment Policy**

- Legal investment framework: the Investment Code (1991)

<sup>36</sup> Ernst & Young, Building Bridges, Africa Attractiveness Survey (2012)

- Requirements for investment license:
  - As a company in which more than 50% of the shares are held by a person who is not a citizen of Uganda
  - Investor makes a capital investment or an equivalent in capital goods worth at least USD 500,000 by way of capital invested
  - A minimum of USD 100,000 in planned investment over three years (USD 50,000 for local)
- 100% foreign owned limited or unlimited liability companies
- Permission to acquire domestic enterprises or to establish greenfield ventures
- Permission of creation of single-person companies, registration of companies incorporated outside of Uganda
- No mandatory performance requirement
- Land lease between 49 and 99 years
- No restriction on capital transfers
- Tax incentives in four priority areas: ICT, Tourism, value-added agriculture, and value-added mineral extraction
- Bilateral Investment Treaties (BITs): Denmark, France, Germany, Italy, Netherlands, Switzerland, U.K/Belgium and Luxembourg, China, Cuba, Egypt, Eritrea, Nigeria, South Africa, Zimbabwe (signed, not yet entered into force)
- Double Taxation Agreement: Mauritius, India, Italy, Netherlands, Denmark, Norway, Kenya, Tanzania, South Africa, Zambia, U.K

## Investment Incentives

### □ Fiscal Incentives

| Type                          | Description                                                                                                                                                                                                                                                                           |
|-------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| MUB                           |                                                                                                                                                                                                                                                                                       |
| Duty and tax free             | On plant and machinery imports                                                                                                                                                                                                                                                        |
| 10-year tax holiday           | For investors engaged in export-oriented production                                                                                                                                                                                                                                   |
| Investment capital allowances | Initial allowance on plant and machinery: 50-75%<br>Initial allowance on hotel, hospitals and industrial buildings: 20%<br>Start-up cost spread over 4 years: 25% p.a<br>Scientific research expenditure: 100%<br>Training expenditure: 100%<br>Mineral exploration expenditure: 100% |
| Deductible annual allowance   | Depreciation rates of assets range: 20-40%<br>Depreciation rate for hotels, industrial buildings and hospitals: 5%                                                                                                                                                                    |
| Duty draw back                | A refund of all or part of any duty paid on materials, inputs imported to produce export products                                                                                                                                                                                     |
| Withholding tax exemption     | On plant and machinery, scholastic materials, human and animal drugs, and raw material                                                                                                                                                                                                |

Duty remission scheme      For exporters involved in value addition

□ Economic Free Zone

The Government planned to build 22 fully serviced industrial parks; the first park is located eight miles east of Kampala in Namanve (650 hectares) with four industrial clusters of food processing, light industry, heavy industry, and SMEs. Kampala Industrial and Business Park is open. Other parks are planned for Jinja, Kasese, Mbarara, Mbale, Gulu, and Soroti.

UIA Industrial Parks, access free land to agro processing, ICT and mineral beneficiation

- Full exemption from corporate tax for the first 10 years of operation and payment of a reduced rate of 15% thereafter;
- Tax exemption on dividends for an unlimited period;
- Right to repatriate capital and income;
- Permission to have foreign currency bank deposits;
- Flexible labor regulations than the provided in the Labor Code;
- Imports are exempt from all duties and taxes, without an import license;
- 49-year lease in an industrial park without paying a premium of USD 80,000 for the Investors in priority sectors

## Taxation

| Type                                              | Percentage                                                                                                                                                        |
|---------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Personal Income Tax                               | 0-30%                                                                                                                                                             |
| Corporate tax                                     | 30%                                                                                                                                                               |
| For mining companies                              | 25-45%                                                                                                                                                            |
| Withholding tax                                   |                                                                                                                                                                   |
| For supply or importation of plant and machinery  | 0% or 6%                                                                                                                                                          |
| For payment of interest to resident persons       | 15%                                                                                                                                                               |
| For payment of dividends to resident shareholders | 10-15%                                                                                                                                                            |
| Capital gains tax                                 |                                                                                                                                                                   |
| Stamp duty                                        | 1% of the total value of the transfer                                                                                                                             |
| VAT                                               | 18% (zero rate applies to supplies including agricultural products in an unprocessed state, financial and insurance services, and computer hardware and software) |

### III. MAJOR INVESTMENT OPPORTUNITIES

The Community offers numerous investment opportunities covering a wide range of sectors. Opportunities specified in this chapter are not exhaustive. Investors are requested to contact Investment Promotion Agencies in Partner States for detailed information and updates on new developments.

#### 1. AGRICULTURE, AGRO-PROCESSING, LIVESTOCKS AND HORTICULTURE



Opportunities for large-scale commercial farming exist in the region for a wide variety of food and cash crops. The key investment opportunities are listed below:

##### AGRO-PROCESSING

Investors are invited to tap the potential in the region for vegetables oils, beef, fruits, beverages, dairy, nuts, grain milling, and plantation produce. Investment in agro processing also spurs opportunities in related sectors like fertilizer and agro-chemicals, agro-machinery and machine tools, energy, packaging transportation, financial services, education and business support services. There is a strong base for upgrading the largely primary processing base as well as providing vocational training in agro processing.

##### ▪ Tea

Tea is a major export commodity in the EAC. It is also a major employer particularly in farming, marketing, transport and retailing. Specific opportunities in partner states are highlighted below:

| Country | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | Tea is the country's second-largest hard currency earner after coffee, and supports some 300 000 smallholder farmers. Investors are welcome to invest in the South of the country where there are 4500 ha of land adequate for the cultivation as well as nurseries for the production of tea plants to tea farms, especially in rural villages                                                                                                                                                                                                                                              |
| Kenya   | Kenya is the world's fourth largest tea producer and the largest exporter. Annual production is approximately 350 thousand tons, i.e. 10 percent of the total global tea production. <ul style="list-style-type: none"><li>• Only about 2% total tea exports are value added hence an enormous value addition and consequent branding opportunity exists.</li><li>• Kenya primarily produces black CTC teas hence the potential of diversification to other products namely green teas, orthodox teas, ready to drink teas (juice tea), instant tea, and organic tea among others.</li></ul> |

|          |                                                                                                                                                                                                                                                                                                                                                                                                                            |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|          | <ul style="list-style-type: none"> <li>• Production of specialty teas for specific niche markets and direct sales.</li> <li>• Processing and packaging under Manufacturing Under Bond and Export Processing Zones programmes.</li> </ul>                                                                                                                                                                                   |
| Rwanda   | <ul style="list-style-type: none"> <li>• Privatization tea factories at Gisakura, Kitabi, Mata, Mulindi and Shagasha;</li> <li>• Construction of a new CTC factory in the Karongi district in western Rwanda;</li> <li>• Construction of a new factory at Gatere in the Nyamasheke district in western Rwanda;</li> <li>• Construction of a new factory at Mushubi in the Nyamagabe district in western Rwanda;</li> </ul> |
| Tanzania | Opportunities exist in the opening up of new plantations and processing facilities in Mbeya, Iringa, Kagera, Mara and Tanga regions                                                                                                                                                                                                                                                                                        |
| Uganda   | Uganda is registering a steady increase in tea productions due to good weather, increased use of fertilizer and better processing of the crop. Investors are welcome to increase production by planting high yielding varieties and use of fertilizers for maintenance of soil fertility.                                                                                                                                  |

#### ▪ Rice

Opportunities exist in large-scale rice production, processing, packaging and branding for the local and regional markets. The Lake Victoria Basin offers potential for rice production.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                    |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Burundi rice is produced at Imbo plains (located between Bujumbura, Cibitoke and Makamba provinces). Potential exists for investment in modern techniques to increase tonnage per acre.                                                                                                                                                          |
| Kenya    | While it consumes 300,000 metric tonnes of rice per year, Kenya produces 110,000 tonnes, the shortfall made by imports from Asia. The country has introduced a new breed of rice known as IR522 which uses less water. The River Tana Delta has potential in rice production, as well as Nyanza, Western and Coast provinces.                    |
| Rwanda   | Rwanda's consumption of rice is beyond production particularly in Giasara and Huye districts. Potential exists in large rice plantations and post harvest infrastructure particularly processing and packaging, as well as developing areas of marshland in the Nyaborongo river.                                                                |
| Tanzania | Tanzania has untapped opportunities in rice hulling, packaging and marketing. Large scale rice production areas include Mbeya, Rukwa, Tabora, Mwanza, Shinyanga and Kigoma, Coast Region, Morogoro, Tanga and Kilimanjaro.                                                                                                                       |
| Uganda   | <b>Uganda</b> has been experiencing a remarkable rice boom over the last few years due to adoption of modern farming methods and favourable policies that have seen a shift in focus from increasing rice production to improving postharvest handling, value addition, and marketing. These measures have in turn stimulated investments in the |

|  |                                                                                                           |
|--|-----------------------------------------------------------------------------------------------------------|
|  | sector. The country also has about 500,000 hectares of land suitable for seasonal lowland rice production |
|--|-----------------------------------------------------------------------------------------------------------|

#### ▪ Beans

Annual demand for common beans exceeds 1,600,000 MT across East Africa.

| Country          | Opportunities                                                                                                                                                                                                                                                                               |
|------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi          | Common bean ( <i>Phaseolus vulgaris</i> L) is a major staple food in Burundi creating an investment opportunity in marketing and increasing production through improved varieties that are resistant to disease and tolerant to low soil fertility, particularly in Ngozi and Gitega areas. |
| Kenya            | Over 15,000 Kenyan farmers are engaged in growing of beans presenting an export potential of particularly French beans.                                                                                                                                                                     |
| Rwanda           | Rwanda offers a large and attractive market for canned beans, with per capita bean consumption amongst the highest in the world. The country is promoting greenfield beans processing and canning to serve a growing regional middle class market driving demand for processed foods.       |
| Tanzania, Uganda | Tanzania and Uganda are encouraging partnerships with local farmers to improve yields through high yielding varieties.                                                                                                                                                                      |

#### ▪ Wheat

Opportunities exist in production, milling, flour packaging and marketing of wheat.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                      |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | <ul style="list-style-type: none"> <li>A wheat milling plant in Bujumbura where investors are assured of a local market of 20,000 tons per annum, with a potential for export.</li> <li>Upgrading and expansion of the Great Lakes Flour Mill in Muramvya, which is located near wheat producing areas.</li> </ul> |
| Kenya    | Wheat growing areas include the scenic Rift Valley regions of Uasin Gishu, Narok, Marakwet, Elgeyo, Londiani, Molo, Nakuru and Timau areas.                                                                                                                                                                        |
| Rwanda   | Rwanda's demand for wheat (estimated as high as 50,000 MT/year) outpaces current crop production volumes. The country offers opportunities in establishment of large scale mills and joint ventures with established mills, refurbishment of power plants on site location and development of niche markets.       |
| Tanzania | Tanzania offers investment opportunities in large-scale production of wheat in Arusha,                                                                                                                                                                                                                             |

|        |                                                                                                                                                                                                         |
|--------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|        | Manyara, Iringa, Mbeya, Kigoma, Rukwa and Kilimanjaro.                                                                                                                                                  |
| Uganda | Uganda imports more than 90% of the wheat consumed. Potential exists for wheat production and export particularly in Labora, Koro sub-county in Gulu district, through partnerships with local farmers. |

#### ▪ Potatoes

| Country  | Opportunities                                                                                                                                                                                              |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Potential exists in potato production particularly the INUMPU – a native potato that can withstand climate changes.                                                                                        |
| Kenya    | Kenya produces significant quantities of sweet potato for the local market. Opportunities exist in planting varieties suitable for the export market.                                                      |
| Rwanda   | Rwanda has high quality Irish potatoes. There are opportunities for private sector to invest in cold chain facilities and storage, along with processing into potato chips and other value-added products. |
| Tanzania | Tanzania is inviting investors to cultivate orange-fleshed sweet potatoes using new potato varieties in Kigamboni, Temeke and other districts in the coastal region and capture the export market.         |
| Uganda   | The major potato growing regions in Uganda are Kabala, Kisoro, Mbarara, Luwero, Masaka, Mbale, Rukungiri and Kapchorwa. Investors are invited to tap opportunities in these regions.                       |

#### ▪ Cassava

Potential exists in value addition through processing of the raw product into cassava flour and chips as well as storage facilities to facilitate sales across the EAC Partner States and beyond.

## ▪ Bananas

Opportunities abound in banana production, banana wine processing and packaging and introduction of new varieties in the region

| Country  | Opportunities                                                                                                           |
|----------|-------------------------------------------------------------------------------------------------------------------------|
| Burundi  | The local populations in Burundi sometimes brew banana wine. Potential exists for brewing beer from bananas in Burundi. |
| Kenya    | Potential exists for growing high yielding varieties in western Kenya.                                                  |
| Rwanda   | Rwanda has potential in production of alcohol from bananas, crop and fruit processing                                   |
| Tanzania | Tanzania offers banana production opportunities in Kagera, Kilimanjaro, Morogoro and Mbeya.                             |
| Uganda   | Uganda has export potential in dessert bananas: Apple bananas (Ndiizi) and Gros Michel bananas (Bogoya).                |

## ▪ Sisal

Opportunities exist in the region in sisal spinning and weaving, production of alcohol, particle boards, biogas and electricity, citric acid, pharmaceuticals, animal feeds, organic fertilizer, handicrafts (various items like bags, dart boards, rugs, doormats, tablemats, curtains), sisal mattresses and padding for fortune and car seats, sisal polishing cloth, buffing cloth for polishing metals in industrial settings; sisal composites in automotive, boat furniture, and in establishment of pulp factories.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                   |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Potential exists in marketing of solid hand woven baskets made by Burundi women                                                                                                                                                                                                                                                                                                                                 |
| Kenya    | The global demand for sisal fibre stands at 400,000 metric tones. Kenya only produces 25,000 metric tones. Investors are welcome in the sector particularly in Kitui, Voi, Machakos Kano, Homa Bay, Migori and Karachuonyo districts.                                                                                                                                                                           |
| Rwanda   | Investors are welcome to tap the Rwanda sisal sector particularly in export of sisal baskets, utilizing women groups and associations.                                                                                                                                                                                                                                                                          |
| Tanzania | Tanzania is promoting the establishment of large scale sisal plantations in Tanga, Coast and Morogoro regions. Investors are also welcome to explore sisal spinning and weaving, production of alcohol, particle boards, biogas, and citric acid and in establishment of pulp factories.                                                                                                                        |
| Uganda   | Uganda is promoting and marketing of sisal doormats. Carpets are popular both in private homes and offices. Sisal doormat is a good investment that can be taken up by women. Sisal doormats involve collecting sisal, drying it into preferred colours and finally weaving the sisal into different kinds of sisal doormats. Markets include hotels, households, work places, curio shops, churches and halls. |

### ▪ Food crops and oil seeds

EAC countries produce a wide range of food crops and oil seeds. These include cereals (millet, sorghum, maize, rice) and other grains (beans, pigeon peas, other pulses), which can be produced several times a year. These are consumed in the domestic markets as well as exported to regional markets.

There is investment potential in the production and export of sesame seed, sunflower, seed, groundnuts and cottonseed, pressed organic oils, and sugar, rice and wheat production.

### ▪ Sugar

Opportunities exist in the following areas:

- Production of industrial refined sugar;
- Provision of loans or credit to the small and medium-scale out growers;
- Rehabilitation of sugar plantations and factories; and,
- Use of bagasse for electricity generation, production of charcoal briquettes, writing paper & particle board,
- Use of molasses for ethyl alcohol production, vinegar & acetic acid production, fertilizer production, livestock feeds supplement, rectified spirits, rum and yeast.

| Country  | Opportunities                                                                                                                                                                          |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Burundi offers opportunities in the rehabilitation and expansion of MOSO sugar refinery. The area has 7,413 acres under cane.                                                          |
| Kenya    | Kenya offers opportunities in construction of new factories in high potential areas such as the Tana River Delta, Busia and Transmara as well as upgrading of factories in operation.  |
| Rwanda   | Investors are welcome to exploit the sugar potential in the Eastern Province of Rwanda.                                                                                                |
| Tanzania | Tanzania offers opportunities in the establishment of new sugarcane estates in Coast, Ruvuma, Kagera, Mara, Mbeya, Kilimanjaro and Kigoma regions and in sugar production factories.   |
| Uganda   | Uganda consumes about 350,000 tonnes of raw sugar annually. The government aims to attract investment into the sector to meet demand, which is forecast to hit 700,000 tonnes by 2030. |

### ▪ Groundnuts

In most parts of East Africa, groundnuts are sold in small quantities by small scale vendors. A small amount of processing is done, which produces either roasted and seasoned nuts or peanut butter. There is potential for groundnut processing factories to produce peanut butter, and peanut oil for use in processed foods, cosmetics and paints and finishes.

#### ▪ Cashew Nuts

Opportunities exist in cashew-processing industries and marketing particularly in the coastal regions of Kenya and Tanzania.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                         |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Kenya    | Kenya produces about 10,000 metric tonnes of the nuts but has a potential to produce more than 63,000 metric tones. Opportunities exist in the establishment of cashew nut processing factories at Kwale in Kenya's South Coast and Kilifi (North Coast) with a capacity to process 20,000 tons of raw nuts per year. Up to 85% nuts can be exported. |
| Tanzania | Tanzania produced about 158,000 metric tonnes of cashew nuts but less than 10 per cent was processed internally. The country is therefore attracting investors to invest in cashew nut processing factories in a bid to enable the country export processed nuts.                                                                                     |

#### ▪ Pyrethrum

Investment opportunities exist in seed production, plantation farming, and processing of pyrethrin insecticides and pesticides. Pyrethrum extracts refineries can be established for production of paints, medicinal and pharmaceutical preparations such as vaccines, antibiotics and vitamins.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                           |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Investors are welcome to exploit the above-mentioned opportunities in Burundi.                                                                                                                                                                                                                                                                                                                                          |
| Kenya    | Kenya produces a lot of pyrethrum which is exported in a semi-processed form or as dried flowers which fetch little money in the world market. Opportunities exist in processing the plant into a final product as well as manufacturing of Insectides and fungicides using some imported ingredients mixing with locally available filler materials such as soapstone, limestone and clay for local and export market. |
| Rwanda   | Pyrethrum is cultivated in Musanze, Nyabihu, Rubavu and Burera Districts and covers about 3,200 hectares of land. The country is targeting investments in expanding processing and value addition activities.                                                                                                                                                                                                           |
| Tanzania | Tanzania has potential for the establishment of large scale farms in Iringa, Mbeya, Arusha and Kilimanjaro as well as investing in pyrethrum crude extract refineries. There are more than 4,000 pyrethrum farmers in Kabale district in Uganda, covering an area of more than 1,000 acres. Opportunities exist in introducing high yielding varieties.                                                                 |
| Uganda   | In Uganda, there are more than 4,000 pyrethrum farmers, Kabale district has more than 1000 acres of pyrethrum gardens                                                                                                                                                                                                                                                                                                   |

#### ▪ Tobacco

Opportunities exist in the establishment of tobacco farms, fuel-efficient central curing barns and furnaces, construction of processing factories and production of fertilizers, insecticides and sprayers.

## FORESTRY AND FORESTRY PRODUCTS

EAC Partner States have large areas of forests and woodlands. Some of these have been gazetted as forest reserves. Some are under plantation forestry while others are under water catchments. Softwood and hardwood plantations offer good opportunities for the establishment of wood-based industries like saw-milling, partial boards, furniture and joinery.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | One of the greatest remaining tracts of mountain forest in East Africa are the Kibira and Nyungwe national parks in Burundi. Burundi forestry sector offers opportunities in the introduction of modern sawmills, wood based panel plants and timber treatment plants, and ecotourism. The country can also benefit from the growing carbon trade initiatives in order to raise funds for tree planting.                                                                                                                                        |
| Kenya    | Kenya has one major plant producing paper and paper board from forest products. Investment opportunities exist in the production of paper from other raw materials such as bagasse, sisal waste, straw and waste paper.                                                                                                                                                                                                                                                                                                                         |
| Rwanda   | Rwanda offers investment opportunities in forestry management and forest products processing, particularly in secondary and tertiary processing, as the country relies heavily on importation of industrially processed wood products. Others include, afforestation and reafforestation to expand the country's forest cover, training facilities for forest rangers and forest workers. Softwood and hardwood plantations provide a wide range of investment opportunities in saw milling, partial boards, furniture and pulp-paper industry. |
| Tanzania | Tanzania offers the following opportunities: Resins in Iringa, Mwanza, Ruvuma, Coast, Morogoro, Kagera, Lindi; Gum Arabic in Singida, Shinyanga, Manyara, Arusha, Tabora;                                                                                                                                                                                                                                                                                                                                                                       |
| Uganda   | Uganda has over 4.9 million hectares of rich forest vegetation, The country offers investment opportunities in the following: <ul style="list-style-type: none"><li>• Planting of soft wood plantations for timber and poles</li><li>• Planting of soft wood plantation for pulp</li><li>• Value added products from both hard and soft wood</li><li>• Tourism and recreation</li><li>• Planting palm trees and processing of palm oil</li><li>• Planting for medicinal purposes.</li></ul>                                                     |

### Apiculture

Across the region bee keeping plays a major role in socio economic development through production of honey, pollen and brood, beeswax candles, lubricants, and income for communities living close to forests and woodlands beekeepers and other stakeholders as a whole.

Natural forests, with their indigenous fauna and flora, offer great potential for the development of a organic honey-processing industries and related products, manufacturing of beekeeping equipment, beeswax processing, the development of bee-pollination based industries and the promotion of lesser-known bee products such as royal jelly, which have a demand in Japan and other developed countries. Opportunities also exist for the provision of services for the certification of organic honey production and development of frame hives across the region.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Burundi is promoting beekeeping and the honey sector reviving at Cibitoke .                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Kenya    | 80% of Kenya consists of arid and semi-arid lands (ASALs) which have high potential in production of honey. Apicultural activity is a major occupation in these areas due to the abundance of bee flora. Non ASAL regions also practice beekeeping. 80% of the honey comes from the traditional log hive. However, a reasonable amount of hive products is obtained from Kenya Top Bar and Langstroth hives.                                                                                                                                                                                  |
| Rwanda   | Rwanda is promoting a honey processing & value addition Center at Nyaruguru and Nyamagabe where high quality honey is produced.                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Tanzania | Tanzania is endowed with about 33.5 million hectares of forests and woodlands scattered throughout the country, and which are ideal for developing the beekeeping industry. The country produces about 9,000 tonnes of honey but has a capacity to produce over 135,000 tonnes. Serengeti District in Mara region has been sighted as a high potential region for beekeeping where beekeeping is popular among the local communities as a source of income.                                                                                                                                   |
| Uganda   | The most favoured bees are <i>Apis mellifera adansonii</i> but six species of stingless Trigonid bees are also used in Ugandan honey production. Other bee products (brood comb and bee bread) are also harvested. There is potential for investment in pressing machines to produce better quality honey. Propolis is also in high demand by the medical sector for treatment of diseases. In addition, wax is in demand by cobblers, makers of household textiles, and garments and for making batiks. Investors are invited to develop beehives and other potential areas mentioned above. |

## LIVESTOCK AND DAIRY SECTOR

The livestock sector in the EAC contributes substantially to the member countries' GDP and provides employment, food and foreign exchange. Footwear constitutes the most valuable product under the leather value chain as in most cases, domestic production falls short in catering to the domestic as well as international demand for the same.

Liberalization has served as a major incentive for players in the industry by encouraging export of hides and skins, dairy products and live animals. In many communities in the EAC, dung is used for fuel and to a lesser extent, fertilizer. Meat processing in the region is underexploited. Opportunities for investment in the meat sub-sector include:

- Construction of abattoirs that meet international hygiene standards;
- Processing of leather;
- Processing of meat and its by-products;
- Provision of veterinary services;
- Rearing of wild animals and the production of game meat (such as ostrich and crocodile farming);
- Supply of processing equipment for both small and large scale processors; and.
- Provision of financial services, including credit and banking services, in areas where livestock keeping is a major activity.

Cattle reared in East Africa comprise of exotic and traditional-exotic crossbreed. Investment opportunities exist in the following areas:

- Processing of dairy products such as powdered milk, ultra-heat-treated (UHT) milk, cheese, butter, yoghurt, ice-cream and flavored condensed milk;
- Supply of processing and packaging equipment for both small and large-scale processors;
- Supply of veterinary and animal-breeding services, and animal feeds; and,
- Supply of financial services, especially credit to dairy farmers; and the supply of quality accreditation

| Country | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | Burundi offers opportunities in extensive breeding, development of animal production lines and production of organic manure as well as training and capacity building on best practices.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Kenya   | The top four regions in livestock production in Kenya are Rift Valley, Eastern, Nyanza and North Eastern in descending order. Opportunities abound in: camel farming, production and marketing of canned and fermented meats, provision of superior breeding stock, leather tanning, rearing of wild animal and game meat production, e.g. ostrich and crocodile farming, production of chicken stock birds, milk and butter production, honey refining and production of allied inputs e.g. feeds for livestock and poultry, equipment and machinery among other opportunities. The current demand for high grade in-calf heifers is more than the supply. Potential also exists in the development of Tanneries. Most tanneries are located in Nairobi and its environs, far |

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|          | <p>from the livestock rearing regions like Kajiado and Garissa.</p> <p>In Kenya, production of milk surpasses the demand at peak seasons leading to a heavy loss and shortage during dry spell in the country. There is potential for processing milk into powder.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Rwanda   | <p>In Rwanda, numerous investment opportunities exist along the dairy value chain, starting with the farmer all the way to the retailer and consumer. The country has over 100,000 dairy farm households. About 500,000 litres of milk are traded daily in the informal market.</p> <p>Potential regions for milk production in Rwanda include the Nyagatare milk basin in eastern province, kirehe , kirehe, gishwati, nyanza as well as Kigali, which is centrally located to exploit the market potential of the city.</p>                                                                                                                                                                                                                                                                                                                                                                                                            |
| Tanzania | <p>Investment opportunities in the Tanzania meat industry exist in the following areas;</p> <ul style="list-style-type: none"> <li>• Joint venture with privately owned ranches to modernize the existing ranches</li> <li>• Investment in the establishment of new ranches (cattle, sheep, goats) and farms (poultry and piggery)</li> <li>• Feed-lot/fattening programmes</li> <li>• Slaughtering and processing</li> <li>• Value addition in livestock and other livestock products and by products such as hides and skins</li> <li>• Construction and operation of new abattoirs and processing plants</li> <li>• Establishment of breeder farms for poultry (grand parent stocks)</li> <li>• Establishment of commercial layers and broiler farms as well as establishment of</li> <li>• Broiler processing plants</li> </ul> <p>Production of hay, compounded animal feeds and vaccines.</p>                                      |
| Uganda   | <ul style="list-style-type: none"> <li>• Combined Abattoir &amp; Processing facility Investment</li> <li>• Commercial Ranching Investment</li> <li>• Feedlot establishment Investment</li> <li>• Butcher Equipment Trade</li> <li>• Improved Breeding Services Investment</li> </ul> <p>Uganda's dairy sector has responded positively to agricultural sector liberalization policies initiated in the 1990s. Driven largely by dairy, the livestock sector has maintained positive growth rates averaging 3% per annum. The country is among the few low cost milk producers in the world. Development of a value chain in the sector has increased investment opportunities for dairy farmers, farm input and dairy equipment dealers, dairy ingredient dealers, raw milk traders, milk transporters, mini-dairies, large scale milk processors and distributors. Only 20% of the milk output is processed creating opportunities.</p> |

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|  | <ul style="list-style-type: none"> <li>• Investment in Milk Collection Centres</li> <li>• Investment in Supply Milk Tankers</li> <li>• Investment in unpackaged pasteurized milk distribution system</li> <li>• Upgrade of Informal Actors into Mini Dairies</li> <li>• Upgrade of existing dairy plants</li> <li>• Investment in Integrated farming/processing dairy business</li> <li>• Investment in transportation tanker cleaning facility</li> </ul> |
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#### ▪ Poultry

Investment opportunities exist in development of hatcheries for the production of chicken for both regional and international markets; commercial poultry production farms; broiler processing plants; production of chicken feed, feeding facilities and pharmaceuticals.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Burundi is targeting investment in breeding units, incubators, slaughter units, cold storage and transport, as well as sheds for rearing mothers and production of meat for future expansion.                                                                                                                                                                                                                                                                                                                                                          |
| Kenya    | In Kenya, potential exists for breeding as the increasing demand overwhelms the production capacity of the available hatcheries.                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Rwanda   | Rwanda has a high demand for eggs and poultry meat. There is however a shortage of day old chicks and feeds, opening a window for investment opportunities in the sector.                                                                                                                                                                                                                                                                                                                                                                              |
| Tanzania | <p>Potential investment opportunities in the Tanzania poultry sector include:</p> <ul style="list-style-type: none"> <li>• Establishment of breeders farms for grand and parent stock</li> <li>• Establishment of commercial layers and broiler farms</li> <li>• Establishment of broiler processing plants</li> </ul>                                                                                                                                                                                                                                 |
| Uganda   | <p>The poultry sector in Uganda is key due to its attractiveness in terms of its quick turnaround times (shorter production cycles), low capital investment, and the sector's suitability as a business venture for thousands of households. Potential exists in the following areas:</p> <ul style="list-style-type: none"> <li>• Establishment of hatcheries;</li> <li>• Commercial poultry farming;</li> <li>• Development of chicken slaughter and processing facilities; and,</li> <li>• Development of animal feed processing plants.</li> </ul> |

#### ▪ Fisheries

The East African region is endowed with some of the largest freshwater lakes in the world, which harbour substantial resources for fishery. Lake Victoria, shared by three EAC partner States: Kenya (6%), Tanzania (49%) and Uganda (45%), covers a surface area of 68,000 km<sup>2</sup> and the shoreline length is 3,400 km. The lake is home to about 350 species of fish. The commercially important fish species of Lake Victoria are *Lates niloticus* (Nile perch), *Oreochromis* (Tilapia) and *Rastrineobola argentea* (Dagaa). The other species include *Alestes*, *Barbus*, *Clarius*, *Haplochromis*, *Labeo*, *Mormyrus*, *Protopterus*, *Schilbe* and *Synodontis*.

Lake Victoria and other lakes such as Lake Turkana (in Kenya) and Tanganyika (in Tanzania) and Kyoga (in Uganda) ample opportunity in fishing, fish processing and fish by-product processing, as well as in the supply of fishery-related equipment and storage infrastructure such as fishing nets, cooler transporters, processing equipment, packaging materials, and freighters and cargo planes. Other investment opportunities include fish farming (aquaculture) and establishment of accredited testing laboratories.

The EAC coastline extends for 2,104 km, including some 680 km in Kenya and some 1,424 km in Tanzania. The marine resources that can be exploited include crustaceans, molluscs, Dermal fish species, Pelagic fish species, and tuna and tuna-like species. Other investment opportunities include deep-sea fishing, the provision of deep-sea fishing vessels, storage infrastructure, and the processing of marine fish and the related by-products.

| Country | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| Burundi | <p>Production of fish in Burundi represents 1% of the GDP. The total surface of water exploitable in Burundi is of 2,300 km<sup>2</sup>, of which 95% is in the northern part – the east of Lake Tanganyika is adjacent to the country on a distance of 150 km. The other 5% encompasses the lakes of the north (Cohoha and Rweru) and rivers. Lake Tanganyika covers a total surface of 320,000 km<sup>2</sup>, the Burundian share of the lake represents close to 8% of this surface, the rest being shared between the Democratic Republic of Congo (45%), Tanzania (41%), and Zambia (6%). The yearly production capacity of the lake has been estimated at 250,000 tons (30% – 40%), but yearly production is about 167 000 tons.</p> <p>Lake Tanganyika is an ecosystem that can allow for an industrial fishing. It contains many sought-after fish species. It harbours a particularly rich and diverse fish fauna, with close to 300 species of cichlidae and non-cichlidae, approximately two-thirds of which are endemic. Lake Tanganyika is known to overflow with some of the tastiest fish. Investors are invited to explore opportunities as presented below:</p> <ul style="list-style-type: none"> <li>• Several regions are adequate for fish farming</li> <li>• Lake Tanganyika is an ecosystem that can allow for an industrial fishing</li> <li>• Dry/smoked fish</li> <li>• Temperatures offering potential for breeding ponds which are usually located at altitudes between 1,500 m and 1,800 m</li> </ul> |

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|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Kenya    | <p>Kenya offers three types of fish farming practices that an investor could exploit for local and export market. These are:</p> <ul style="list-style-type: none"> <li>• Warm water fish farming – This is suitable for tilapia, bass, and common carp;</li> <li>• Cold mountain fish farming – This is suitable for trout; and,</li> <li>• Saline water (coastal fishing farming (shrimps).</li> </ul> <p>The country is promoting investment in the following sectors:</p> <ul style="list-style-type: none"> <li>• Value addition in fisheries products;</li> <li>• Certified fish seed breeding facilities to avail quality seed to fish farmers;</li> <li>• Fish feed industry;</li> <li>• Fishing Gear/equipment industry;</li> <li>• Investment in Tropical Aquaria parks for local and overseas tourism;</li> <li>• Fish leather industry;</li> <li>• Infrastructural development in the Fisheries sector;</li> <li>• Development of fish port, auction centre, marketing, cooling storage facility and sea port;</li> <li>• Cooling-plants in major landing bays of Mbita, Sindo, Sori, Sio port, Usenge, Port Victoria and along the Kenyan coast;</li> <li>• Fish processing plants for fresh water fish mainly for export in Kisumu;</li> <li>• Homa Bay, lake Naivasha, Lake Jipe, lake Challa, Tana river dams and Turkana;</li> <li>• Marine fish - Kenya produces about 6,000 metric tonnes of marine fish annually but has a potential to produce 260,000 tonnes;</li> <li>• Aquaculture to supplement marine resources; and,</li> <li>• Establishment of tuna factories</li> </ul> |
| Rwanda   | <p>In Rwanda, fish production has increased remarkably in Gisagara, Nyanza and Huye. Potential exists for development of large-scale fish farming.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Tanzania | <p>Tanzania is endowed with one of the largest freshwater lakes in the world. Fish resources are over 730,000 metric tons per year. Investors are welcome to target the regional market as well as the European Union and Japan. Plans are underway to introduce Global Positioning System units (GPS) technology, which aids fishermen to map and view fish under water thus enabling sustainable fishing.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Uganda   | <p>The three most common species of fish raised in Uganda are North African catfish, Nile tilapia and carp. North African catfish is currently the most popular, accounting for 60 percent of Ugandan fish farming. One of the most viable investment opportunities is cage farming in the central part of the country particularly in Mukono and Luwero districts. Aquaculture parks can be developed in the various wetlands and open water systems. Uganda is promoting the establishment of more fish processing factories on other lakes other than Lake Victoria.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

## HORTICULTURE

The climate, the soil and the existing water supplies in the region provide a base for production of high-quality horticultural produce in a natural environment.

The main export product is cut flower that is exported to the EU. Opportunities abound in the growing of following horticultural produce in the region: pineapples, passion fruit, paw paws, water melons, papaya, avocado, mango, orange, passion fruit, apples, bananas, raspberries, beans, asparagus, snow peas, maracuja, moringa, honey due, lycee, tamarillos, mushrooms, macadamia, snow peas, strawberry, blackberry and chillies.

Opportunities abound in the following:

- Production and export of horticultural produce (fruits, flowers and vegetables);
- Production of propagation materials;
- Establishment of soil-analysis services;
- Manufacture of greenhouse plastics;
- Production of inputs such as fertilizers, herbicides and pesticides;
- Production of packaging materials;
- Provision of cold-storage facilities as well as air-cargo transport to foreign markets;
- Provision of accreditation services to meet market and regulatory requirements.

| Country | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | Burundi has the potential to become a key supplier of horticultural products. Key horticultural exports include passion fruit and roses. Investment opportunities abound for growing high value products such as manioc leaves, apple-bananas and okra, which are in high demand in niche markets.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Kenya   | Kenya offers opportunities in processing horticultural produce including French beans, snow peas, Juice concentrates; Canned products: Baby corn, Juices, Jams, Marmalade, Pineapple Slices, Pickled Cucumbers, Mango Slices, etc; Dehydrated products: Cabbages, Onions, Carrots, etc. Most of the processed products have been canned, dehydrated or preserved in brine water. However, the market trend is shifting from canned to frozen products. Facilities for freezing of popular fruits and vegetables for export by sea need to be introduced.                                                                                                                                                                                                                                                                                   |
| Rwanda  | <p>Rwanda has an ideal climate for fresh produce. The country has a year-round rainfall making it one of the best endowed for horticulture, with a natural humidity for long stem and bigheaded flowers that are a favorite of international markets.</p> <p>The country has invested in irrigation and post-harvest infrastructure on two sites, in Gatsibo and Kayanza districts, for horticultural production. These sites are located in the dryer mid-highland agro-climatic zones, best suited for the cultivation of apple banana, cooking banana and avocado. Opportunities exist for private investors to invest in agro-processing, packaging and marketing of these horticultural products taking advantage of their proximity to Kigali, as well as the EAC market. Some of the sites identified for horticulture include:</p> |

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|          | <ul style="list-style-type: none"> <li>• 130ha for development in Rulindo, 20km from Kigali airport and growing cabbages, carrots, eggplant and flowers;</li> <li>• A flower park at Gishari, 20 km from Kigali Airport;</li> <li>• 217ha for development in Kayonza District, only 9 km from the Kigali on a well-maintained road; 129ha in Bugesera District in close proximity to the new airport site.</li> </ul>                                                                                                                                                                                                                                                                                                             |
| Tanzania | <p>Tanzania offers the following opportunities:</p> <ul style="list-style-type: none"> <li>• Flower farms in Tanga- Usambara, Iringa, Mbeya, Kagera, Arusha Kilimanjaro and Morogoro regions.</li> <li>• Lowland flower farming in Tanga, Dar es Salaam, Mtwara and Lindi regions.</li> <li>• Flower seed production in Arusha, Mbeya, Iringa and Kilimanjaro.</li> <li>• Processing and canning factories in regions with high potential for production of fruits and vegetables.</li> <li>• Open fruit and vegetables plantations for domestic and export markets.</li> </ul> <p>Potential areas for horticultural crops are Arusha, Kilimanjaro, Tanga, Morogoro, Dar es Salaam, Dodoma, Iringa, Mbeya, Mwanza and Kagera.</p> |
| Uganda   | <p>Uganda is gifted with all the favorable conditions for organic production. Investors are welcome to invest in value addition.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |

## 2. INFRASTRUCTURE

The EAC Partner States have agreed to develop common policies with respect to infrastructure. The region will also benefit from the NEPAD infrastructure development programme covering transport, energy, ICT, and water and sanitation.

At the national level, each Partner State is implementing restructuring programmes which aim at reducing government involvement in commercial activities and encouraging public private partnerships.

The shortfall of infrastructure investment in the region is in the order of US\$ 40 – 50 billion and is to be addressed in the next ten years creating huge and exciting business potential for the private sector.

## TRANSPORT

### ▪ Road transport

To promote regional trade and investment, five major regional road corridors have been identified for development and rehabilitation under the East African Road Network Project (EARNP). The network measures 15,273 km and comprises 8,361 km of main routes and 6,912 km of feeder routes. These corridors will connect the three original Partner States, their areas of production and markets, and other transport nodes including ports, railway stations and airports. Finally the new Partner States will be involved in the network.

Investment opportunities abound in construction, maintenance and rehabilitation of roads, construction of bridges and privatization of weighbridges. This includes build, operate and transfer (BOT) schemes. EAC member countries aim to develop roads under the East African Road Network Project (EARNP).

| Country            | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi and Rwanda | Being landlocked, Burundi and Rwanda offer investment opportunities in long haul vehicles and urban public system.                                                                                                                                                                                                                                                                                                                                        |
| Kenya              | In Kenya, apart from the maintenance and expansion of existing road network, opportunities exist in the construction of bypasses in Nairobi and Mombasa to ease congestion.                                                                                                                                                                                                                                                                               |
| Tanzania           | Investors are welcome to invest in the Southern Agricultural Corridor of Tanzania (SAGCOT).<br><br>Arusha-Holili/Taveta-Voi Corridor which at completion will facilitate cross-border trade and support the integration agenda of the East African Community<br><br>Establishment of the commuter city bus transport companies.<br><br>Provision of infrastructure facilities such as parking, bus bays and shelters for major cities like Dar es Salaam. |
| Uganda             | Road transport is the dominant mode of transport in Uganda comprising of over 90% of passenger and freight traffic. Investors are welcome to improve linkages particularly through PPPs.                                                                                                                                                                                                                                                                  |

### ▪ Railways

Privatization of the sector is underway in the EAC countries. The Community is in the process of extending the railway line coverage within the region as well as linking the region with neighboring countries. Rift Valley Railways, a concessionaire from South Africa, assumed control of Kenya Railways and Uganda railways for an initial 25 years. EAC heads of State have resolved that all new railways development will be on standard gauge. Uganda, Kenya and Rwanda have agreed to construct a railway line from Kenya to Uganda and onwards to Rwanda.

Opportunities for investment therefore exist in:

- Extension of the railway lines within the region as well as in the rehabilitation of existing lines, wagons and coaches.
- Nairobi Metropolitan Mass Transport Programme – development of a Mass Rapid Transit system (MRTS) a Bus Rapid System and a Light Rail System.
- Isaka-Kigali railway project linking Tanzania to Kigali and Burundi, the estimated total cost for this project is US\$ 4.7 billion.
- Railway Cities project expected to cost about US\$2.15 billion will include the redevelopment of existing rail stations into mini cities which include business parks for light manufacturing, hotels, shopping arcades, restaurants and parking garages.

#### ▪ **Water transport**

Investment opportunities abound in passenger transport and freight cargo services, especially on Lake Victoria, Lake Tanganyika (shared between Tanzania, Burundi, the Democratic Republic of the Congo and Zambia), and Lake Nyasa (shared between Tanzania, Malawi and Mozambique). Over 30 million people are involved in fishing, agriculture and trading around Lakes Victoria, Tanganyika and Nyasa. This presents investment opportunities in passenger traffic targeting commercial activities from the commercial city of Mwanza to Bukoba in Tanzania, Port Bell in Uganda and Kisumu in Kenya.

#### ▪ **Air transport**

The Partner States (CASSOA) are harmonizing civil aviation regulations in the region, to facilitate inter alia the establishment of a regional safety oversight agency; the establishment of a Search and Rescue (SAR) coordination center; the sharing/pooling of personnel, particularly in the area of licensing airworthiness inspectors. The Tripartite Search and Rescue Agreement was ratified in November 2004 and the Secretariat is developing its implementation framework.

Investment opportunities exist in the following:

- Modernizing the airport management systems under the Global Navigation Satellite System
- Supplying security-control-related equipment
- Construction of state-of-the-art passenger terminal facilities
- Strengthening parking aprons
- Extending taxiways and rehabilitating the old runways
- Development of selected regional airport in EAC states
- Commercialization of airports i.e. establishing duty free shops, airport, hotels, business parks, export processing zones (EPZs) etc
- Air navigation infrastructure i.e. equipment used in air traffic managements, air navigation facilities, weather information facilities and weather equipment
- Aviation training institutions areas, include: flying schools for pilots and air traffic control and management training
- Construction of cold storage facilities at airports.

## ▪ Maritime facilities

The East African Community in pursuance of cross border economic integration, trade and investment has identified the concept of “Logistics and Value Corridors” as a viable engine of sustainable Economic Transformation. In this regard, EAC has identified the Mwambani Economic Corridor (MEC), which involves the development of the following;

- A new Deep Sea Port in Tanga, Tanzania capable of handling the latest Valemax Bulklers of 400,000 DWT and 8th Generation Container Ships capable of carrying at least 15,000 TEUs.
- A 7000km of standard gauge railway heavy haul infrastructure, which shall link Tanzania to Uganda and onwards to Kisangani via Kinshasa to Banana (Atlantic Ocean) in DRC.
- A Utilities Corridor shall include; a high capacity broadband fiber optic, petroleum, water and gas pipelines and power transmission; and,
- Railway Towns and Special Economic Zones at key strategic locations along the Mwambani Economic Corridor.

MEC is designed to spur and attract major new investments in agriculture, tourism, trade, communications, real estate, industries, mining and manufacturing.

The Government of Kenya has made the privatization of port facilities one of its priorities. Kenya’s public-sector reform programme places high priority in the privatization of port facilities through transformation of the Kenya Ports Authority (KPA) into a landlord authority, relinquishing most cargo handling and complementary services to the private sector. The same approach is being effected in Tanzania where in May 2000; the Tanzania Harbours Authority was divested and leased to private investors. The National Shipping Agencies (NASACO) also divested its shipping operations, creating opportunities for private operators.

Investment opportunities exist in the following:

- Cruise ships on Lake Victoria as well as along the long coastline in the Indian Ocean, to connect Mombasa, Lamu, Zanzibar, Dar-es-salaam, and Seychelles;
- Construction of a Second Port at Lamu and a New Transport Corridor (LAPPSET) to sustain the growing need for access to sea brought about by the heavy demands of south Sudan and land locked Ethiopia. The project will also comprise of a railway line, oil pipeline, airport and a road.
- Development of a dry dock port and a car bazaar on a 100-acre piece of land at Voi, 100km from the port of Mombasa.
- Development and construction of Malindi Jetty as well as Ngomeni Jetty and sea wall 20km from Malindi.
- Conventional cargo operations (stevedoring of non-bulk liquid containerized cargo);
- Container transport (dedicated wagons, locomotives and communication equipment);
- Dockyard facilities;
- A bunkering pipeline;
- Development of other container terminals and ports;
- Inland container depots;
- Computerization of port operations;
- Estate management;

- The provision of equipment and gear.
- The provision of handling and storage services for LPG.

### **INFORMATION AND COMMUNICATION TECHNOLOGIES (ICT)**

EAC countries opened the telecommunications sector to investors after adoption of liberalization measures in the 1990s. This has improved communication infrastructure, particularly mobile telephony. The ICT sector in the region is one of the most vibrant in Africa due to good legal and regulatory frameworks.

An undersea fibre optic cable bringing broadband Internet connectivity to East Africa has reached the Kenyan coast from the United Arab Emirates. The East Africa Marine Systems (TEAMS) fibre optic submarine cable project is a joint venture of the Kenyan government and Emirates Telecommunication Technology (Etisalat) and a consortium of local investors. It is expected to boost internet connections and greatly reduce the cost of telecommunications, especially data transmission in the region as well as connecting East Africa to international communication networks. It is expected to become operational next month. The 4,500 kilometre (2,790 mile) cable links Mombasa on the Kenyan coast to Fujairah in the United Arab Emirates.

Opportunities abound in the following areas:

- Processing accounting data;
- Incipient e-business services;
- Printing and publishing media and television;
- Logistics management;
- ICT infrastructure and training, including extension to rural areas;
- Provision of Internet-related hardware and software.
- Provision of value-added services in voice and imaging products;
- Teleconferencing;
- Data capture and processing;
- Setting up film production centres e.g. graphic animation;
- Call centres;
- Radio paging;
- Broadband wireless Internet services.
- Computer security management;
- Disaster recovery planning facilities

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
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| Burundi  | Burundi has high prospects in the fibre optic cable project to increase access to high speed internet services and enhance efficiency in service delivery.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Kenya    | <p>The ICT sector in Kenya provides investment opportunities in the following areas under the Public Private Partnership arrangement;</p> <ul style="list-style-type: none"> <li>• Data Centre and Disaster Recovery Centre;</li> <li>• Deploying of Digital Broadcast Network</li> <li>• Multimedia Technology Parks (MTPs)</li> <li>• Software and Hardware Development</li> <li>• Business Process Outsourcing Park (BPO)</li> <li>• Konza Technology City – a 5000 acre greenfield site 60 kms from Nairobi</li> <li>• Development of International Teleport (Exchange Point) to transform Mombasa city into an International Teleport (Exchange Point) such as London, New York and Amsterdam is key investment opportunity.</li> </ul>                                                      |
| Rwanda   | <p>With a one laptop per child programme, Rwanda has moved ahead to put a clear direction towards transformation her people into an ICT society. Rwanda's ICT comprises of the following technologies: Communication technologies used for land telephone lines, cellular telephony, Voice over IP, dial-up internet &amp; ISDN-based internet; various technologies used for broadband internet; Computer Software use and Computer Software development; Computer Hardware Use, Assembly and Repair. Investors are welcome to expand the sector.</p>                                                                                                                                                                                                                                            |
| Tanzania | <p>Tanzania has been making concerted efforts to engage both state and non state organs particularly private sector in attracting large investments in the ICT industry due to its vital contributions to attaining real development. The government is calling upon the private sector to augment investments in the ICT sector because it is actively contributing to various achievements particularly in supporting facilities, training centres and sales outlets. The Tanzania ICT sector has huge potentials in providing quality services in areas such as education, health, commerce and public administration. The sector is growing between 15 and 20 per cent annually fuelled by the government and consumers embracing services like e-learning, tele-medicine and e-commerce.</p> |
| Uganda   | <p>Uganda is promoting investment in the following:</p> <ul style="list-style-type: none"> <li>• Business Process Outsourcing</li> <li>• Software development</li> <li>• Software testing &amp; assurance</li> <li>• Data Storage area networks</li> <li>• Integrated Solution Planning</li> <li>• Hardware Assembly</li> <li>• Multimedia Development</li> <li>• Internet Applications</li> <li>• Translation Services</li> <li>• Film Industry and Graphics</li> <li>• Rural Communications</li> </ul>                                                                                                                                                                                                                                                                                          |

The East African Community (EAC) secretariat has adopted an Information Communication (ICT) policy which will enhance modern internal operations that will also enable easy linkage of information to partner states.

## ENERGY

The energy sector in the EAC countries is being restructured to encourage private investors. The EAC Partner States have developed an East Africa Power Master Plan. Every two years, the Partner States organise a petroleum conference to show case investment opportunities in the sub sector.

The World Investment Report, 2013 notes that energy resources such as recently discovered gas reserves in Tanzania and oil fields in Uganda saw FDI inflows to East Africa expand from \$4.5-billion in 2011 to \$6.3-billion in 2012.

| Country | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | <p>Burundi has set a target of establishing a national transmission and distribution grid by 2015, with all 15 of the provincial capitals linked to this grid which would supply electricity 24 hours a day at reasonable cost and a generation capacity of 600 MW by 2030.</p> <p>The country is currently seeking investments to construct the following projects:</p> <ul style="list-style-type: none"> <li>• Commercial hydroelectric power production potential of 300MW far from being exploited</li> <li>• Investment needed for the project RUZIZI III project - 143 MW</li> <li>• Investment needed for hydroelectric power production on the Mumwendo site (Ruvubu) - 80 MW</li> <li>• Investment needed for hydroelectric power production project on the Jiji-Mulembwe-Siguvyaye sites - 100 MW</li> <li>• Investment needed the RUZIZI IV hydroelectric power production project – 205 MW</li> <li>• Many other sites for hydroelectric power generation</li> <li>• Potential commercial geothermal power production of 18 MW not exploited yet</li> <li>• Good potential for wind energy production</li> <li>• Huge potential for solar energy development</li> <li>• Burundi possesses a peat potential estimated at 600 million tons</li> <li>• Rural electrification by solar home systems</li> <li>• Solar pumps</li> <li>• Stand-alone photovoltaic generators</li> <li>• Hybrid photovoltaic plants for remote areas</li> <li>• Grid connected photovoltaic plants</li> </ul> |

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| Kenya    | <p>Electric power supply in Kenya falls far below the demand. This calls for private sector investment in power generation for sale to the national grid. In Kenya, electricity generation, transmission and distribution are handled by two State companies — Kenya Electricity Generation Company (KenGEN) which deals with power generation, and Kenya Power and Lighting Company (KPLC) which handles transmission and distribution. There are now a few independent power producers as well. Electric power supply falls far below demand. This calls for private sector investment in power generation for sale to the national grid.</p> <p>The government of Kenya under Vision 2030, is targeting 5,000 MW of geothermal and is inviting both local and international investors to participate in the following projects:</p> <ul style="list-style-type: none"> <li>• 140 MW Menengai to- cost US\$336 m</li> <li>• 200 MW CNG – cost US\$ 200m</li> <li>• 60 MW Mutonga Hydro – cost US\$ 226m</li> <li>• 100 MW Marsabit wind- cost US\$ 180m</li> <li>• 300 MW coal Plant at Mombasa – cost US\$ 800 m</li> <li>• Development of small hydro power for tea factories;</li> <li>• Exploration for coal in the Karoo system in Kwale, Mombasa and Kilifi Counties in the Coast region. Particularly in the northern part of the country;</li> <li>• Bio-fuel production from various sources of solids, liquids and gaseous biomass, including fuel wood, charcoal, ethanol, bio-diesel and biogas</li> <li>• Development of wind energy;</li> <li>• Production and processing of Jetropha and sweet sorghum into bio-fuel in Eastern, North-Eastern, Rift-Valley and Nyanza Provinces</li> <li>• Increased use of solar and wind energy for industrial and domestic use to promote use of environmentally friendly technologies which will help in water conservation and protection of water catchment areas, and reduce dependency on oil-based energy.</li> <li>• Manufacture of transformers and other related equipment such as switchgears, insulators and electricity energy meters. This will also benefit other EAC Partner States and trigger other related primary and secondary industries.</li> </ul> |
| Rwanda   | <p>Rwanda offers opportunities in the energy sector as follows:</p> <ul style="list-style-type: none"> <li>• The construction of a hydraulic power station on Nyabarongo river with a capacity of 27.5 MW;</li> <li>• The construction of a power station at Rusomo falls with a capacity of 61.5 MW;</li> <li>• The construction of a hydraulic power station at Rusizi with a possible capacity of 82 MW;</li> <li>• The exploitation of methane Gas in Lake Kivu, which has the capacity to support a 700 MW power plant.</li> <li>• Investments in alternative energy sources like solar, biomas, and biogas or geothermal.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Tanzania | <p>In Tanzania, the State-owned Tanzania Electric Supply Company Limited (TANESCO) has a monopoly in the generation, transmission and distribution of electricity in the country that is now being unbundled. Investors are invited to participate as Independent power producers.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

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|--------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Uganda | In Uganda, power generation and distribution were concessioned in 2003–2004, while transmission is still the responsibility of the State-owned Uganda Electricity Transmission Company (UETC). An Electricity Regulatory Authority has also been created. Opportunities exist in utilizing untapped energy resources like coal, natural gas, geothermal, solar and hydroelectric energy as well as opportunities arising from privatization. |
|--------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### WATER AND SANITATION SERVICES

The provision of water and sanitation services in the Partner States is gradually being privatized. Investment opportunities exist in the Partner States in the provision of potable water, the provision of garbage and refuse disposal facilities, and the provision of waste treatment facilities.

| Country  | Opportunities                                                                                                                                                                                                                                           |
|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | In Burundi, the Multi-Sectoral Water and Electricity Infrastructure Project aims to increase people's access to water in peri-urban areas of Bujumbura and improve the quality and reliability of water services in the Bujumbura region                |
| Kenya    | In Kenya, some of these services have already been privatized, with the Nairobi Water and Sewerage Company currently providing water and sanitation management services in Nairobi, with plans to expand its operations to other cities in the country. |
| Rwanda   | Electrogaz, the Rwanda's water utility company has managed to increase water provision to many parts of the country.                                                                                                                                    |
| Tanzania | In Tanzania, the National Water and Sewerage Corporation (NWSC) is in the process of privatizing its services.                                                                                                                                          |
| Uganda   | The National Water and Sewerage Corporation (NWSC) of Uganda is conducting trials with contracted private management of operations in Kampala and Jinja and is in the process of identifying the forms of private-sector involvement                    |

### 3. MANUFACTURING



Manufacturing offers a wide range of opportunities in the EAC Partner States. The region is currently a net importer of manufactured products such as machinery and transport equipment. By offering incentives such as zero rating of various raw materials, and through various manufacturing incentive schemes, the EAC Partner States have been trying to promote manufacturing as a way of diversifying their economies.

## COTTON, TEXTILES, AND APPAREL

The EAC Partner States have a history of textile manufacture and are known for the production and export of handpicked cotton. The manufacture of garments has been revitalized since the signing of the African Growth and Opportunity Act (AGOA) in the United States, which allows EAC Partner States, along with other sub Saharan African countries, market access to the United States.

The demand for cotton has increased recently with the growth of the textile and apparels industry responding to the opportunities provided by the US African Growth and Opportunity Act (AGOA). Potential exists in the following areas:

- Investment opportunities thus exist in cotton ginning, production of yarn and finished textiles, marketing and trading in cotton and textiles as well as in cut, make and trim (CMT) units.
- Establishment of large scale cotton production farms
- Establishing textile and spinning industries
- Value addition to lint.
- Expansion and improvement of current cotton farming systems.
- Marketing and exporting of organic cotton
- Pesticide formulators and mixers to control diseases and pests.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | The government of Burundi is encouraging investment in cotton growing at Imbo plains, and processing for the regional market.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Kenya    | Kenya is inviting investors in the following areas: <ul style="list-style-type: none"><li>• Reviving and or rehabilitation of the closed textile mills ranging from spinning, weaving and garments making for local and export markets.</li><li>• Revival and or rehabilitation of the cotton growing irrigation schemes.</li><li>• Establishment of a synthetic fibers' plant to utilize the chemicals available at the petroleum refinery plant at Mombasa;</li><li>• Dye manufacture, starch production and spare parts manufacture, which are currently imported; and,</li><li>• Fabrics manufacture to replace import dependence.</li></ul> |
| Rwanda   | Rwanda offers opportunities in development of sericulture and the silk textile industry.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Tanzania | Tanzania is promoting investment in establishment of larger-scale cotton production farms and textile and spinning industries in Morogoro, Coast, Singida, Tanga and Iringa regions.                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Uganda   | Uganda profiles itself as having the second best cotton in the world and the only country that grows the long stapled Bukalasa Pedigree Albar (BPA) variety of cotton.                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

## **IRON AND STEEL**

### **▪ Iron, steel and other metals**

Opportunities exist in the development of nucleus foundry making precision castings that can then be processed into precision components, aluminium cans, high-strength reinforcement bars, ductile iron rolls, casting sand and moulding. Opportunities also exist for investment in the mining of iron ore to supply the existing steel mills, the production of sponge iron for steel mills and the production of steel products.

### **▪ Manufacture of ductile iron rolls**

Only one country, Egypt, is currently producing such rolls in the region. Gauging by the over 20 mills in the East Africa region, a great deal of business opportunity exists in this field.

## **ASSEMBLY LINES**

### **▪ Vehicle parts and assembly**

The number of new motor vehicle registrations in the region has been increasing rapidly over time. Although some car parts are produced locally, accessories of some of vehicles, especially of European origin, are often lacking in the market. Opportunities exist in the manufacture of components for use by local assemblers and for export to regional markets. Use of bicycles as a mode of transport is widespread in the region, providing opportunities for bicycle assembly. Huge potential exists in the manufacture of motor vehicle components to tap the EAC region as well as the entire Africa market.

### **▪ Component manufacture**

Design and Local Manufacture of components and parts for use in the steel plants with capacities of 10-30,000 tons per annum which are very popular in the COMESA region is lacking. The rate of growth of steel mills in the region has been steadily rising pointing to an exciting business opportunity for whoever can supply such equipment with good spare part back up and after sales services. Currently these plants are being imported complete from India. There is no reason why at least some of this equipment cannot be produced locally.

## **ELECTRONICS AND ELECTRICAL EQUIPMENT**

### **▪ Electronics**

The electronics industry is growing rapidly with a number of firms engaged in assembly, testing, repair and maintenance of electronic goods. Investment potential exists particularly through MUB and EPZ programmes in the production of consumer electronics such as TVs, VCRs, disk drives, etc, telecommunications equipment and support industry items such as cables, cords, die casting, metal plating, etc.

### **▪ Electrical equipment**

Investment potential can be found in the production of motors, circuit breakers, transformers, switch gears, irrigation pumps, capacitors, resistors, insulation tapes, electrical fittings, integrated circuit boards for both regional and international markets.

## **MACHINERY**

All the EAC Partner States have potential in the production of Industrial machinery, agriculture spare parts, transport industry equipment, irrigation pumps, domestic waste handling equipment, hand tools for building and construction industry, metal and wood working machine tools.

## **PLASTICS AND CHEMICALS**

### **▪ Plastics**

Opportunities exist in all Partner States in the production of plastic articles to meet the domestic demand as well as demand in the broader region, with particularly focus on the following items

- Manufacture of quality electrical appliances like sockets, plugs and automotive plastics spares;
- Manufacture of household wares like plastics kitchenware;
- Manufacture of petroleum based chemicals used in production of synthetic fibres for textile industry;
- Manufacture of plastics spares and housings for electronics industry

### **▪ Chemicals**

Investment opportunities can be found in the production of PVC resin from ethyl alcohol, formaldehyde from methanol, melanin and urea, mixing and granulating of fertilizers, cuprous ox chloride for coffee bean disease, caustic soda and chlorine based products, carbon black, activated carbon, precipitated calcium carbonate, textile dyestuff, ink for ball points and gelatin capsules, among other things.

## **PHARMACEUTICALS**

Possible areas of investment in the Partner States include:

- Manufacture of drugs for the treatment of various tropical diseases,
- Provision of modern family-planning services,
- Manufacture of medical equipment and sundries (surgical cotton/gauze, sanitary pads, syringes, bandages, infusion syrups, oxygen).
- The rich biodiversity of the region also provides an opportunity in the processing of herbal medicines.
- The processing of pyrethrum extracts and the production of vaccines, antibiotics and vitamins also offer investment opportunities.
- Setting up of state-of-the-art incinerators;
- Production of medical gases and oxygen generation plants;
- Provision of production of medical gases and oxygen generators plants;
- Provision of specialized diagnostic services e.g., DNA tests, MRI, Nuclear/radiologist
- Tests and open heart surgery in specific centers.
- Multipurpose chemical plant for bulk production of intermediate inputs

## **FERTILIZERS**

Fertilizers are major farming inputs in the region due to their wide usage. There is potential for establishment of manufacturing and blending plants for both organic and inorganic fertilizers, as most are imported. The region also has a large amount of organic wastes that have not been fully utilized.

## **BEVERAGES**

The main beverage production activities in the region include coffee roasting, tea processing, and the production of soft drinks and alcoholic beverages. The region has a competitive advantage in processing these products because it produces most of the raw material used in this industry, including fruits, barley, coffee and tea. Investment in this sector has been increasing, especially in producing soft drinks. The demand for beverages in the region is on the increase. Investment opportunities exist in production, targeting both local and export markets.

## **CANS AND PACKAGING**

### **▪ Packaging**

The packing industry includes all forms of printed-paper and plastic packaging, woods, foil and glass packaging. It is a strategic sub-sector as it supports other industries (especially pharmaceuticals, horticultural products, beverages, edible oil, fish, and dairy products) in marketing and distribution generally, as well as in international trade. The developments in the manufacturing sector, especially the production of consumer goods, explain the increased demand for plastic packaging items.

Investment opportunities exist in the production of glass containers (raw material available), tin cans /boxes, corrugated cases (shuffle), cartons and labels, flexible packages, rigid plastics, and thin-walled plastics. Training in packaging technology skills development

Rwanda offers an investment opportunity in the establishment of a Greenfield avocado packaging facility that will serve the growing and significant demand for Avocados in the EU.

### **▪ Manufacture of aluminum cans**

In the entire East Africa region, cans for use in packaging of canned beers and soft drinks are imported. Potential exists for setting up aluminum canning plants to cater for the entire region as well as COMESA countries.

## 4. TOURISM



Tourism is an important industry in the EAC countries. Among the principal sources of tourists are the European Union –in particular Germany, the United Kingdom, Italy and France, and the United States. All EAC countries are interested in diversifying the sources of tourism and adding new ones such as the countries of East, South and South-East Asia and the new members of the EU.

Home to some of the most stunning scenery on the continent, from shimmering lakes and loft mountains to spectacular game parks, warm, sandy beaches to unique and attractive cultures and crafts, the EAC is blessed with some of the finest natural tourism assets in Africa. Plans are underway to have a single tourist visa for all the Partner States.

| Country | Products Offered                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | <p>Cultural heritage &amp; sites – some of the best drumming cultures in the world.</p> <ul style="list-style-type: none"> <li>• Wide sandy and sunny beaches</li> <li>• Water sports locations along Lake Tanganyika</li> <li>• The Nile source Rutovu</li> <li>• The Thermal waters of Muhweza</li> <li>• The Beaches of Nyakazu</li> <li>• Natural reserves of the Rusizi River</li> <li>• Lakes in the north of the country (bird lakes)</li> <li>• Stone Stanley and Livingstone</li> <li>• Karera Falls</li> </ul> | <p>Development of cultural sites – Burundi culture is renowned. Regional tourism: Burundi is under an hour away by plane from Lake Victoria, Serengeti Park, mountain gorilla of DR Congo and Rwanda, etc.</p> <ul style="list-style-type: none"> <li>• Development of hotels</li> <li>• Hotel renovation and upgrades</li> <li>• Conference facilities</li> <li>• Bujumbura International Conference Centre</li> <li>• Rusizi National Park (buffalo, antelope)</li> <li>• Kibira National Park (primates and birds)</li> <li>• Ruvuru National Park (herbivores)</li> <li>• Kirundo Golf and Country</li> <li>• Camping Lodge for tourists at Nyanza-Lac</li> <li>• Memorials of German colonization</li> <li>• Installation and development of the relaxing activities such as the thalassotherapy</li> <li>• Development of water sports</li> <li>• Introduction of ecotourism</li> </ul> |
| Kenya   | <ul style="list-style-type: none"> <li>• National parks and nature reserves</li> <li>• Animal Viewing “the big five”</li> <li>• The great wildebeest migration</li> <li>• Historical sites</li> <li>• Warm, sandy beaches</li> <li>• Mountain climbing</li> </ul>                                                                                                                                                                                                                                                        | <ul style="list-style-type: none"> <li>• Development of domestic tourism</li> <li>• Development of conference tourism, sports tourism, retirement, tourism, eco-tourism, cultural tourism and cruise tourism both on the coast and in Lake Victoria.</li> <li>• Construction of lodges and hotels to cater for the increasing number of tourists.</li> <li>• Development of Isiolo Resort City</li> <li>• Development of a marina at Shimoni, Mombasa</li> <li>• Bomas of Kenya Tourist Hotel</li> <li>• Bomas of Kenya Amusement Park Project</li> </ul>                                                                                                                                                                                                                                                                                                                                     |

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|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | <ul style="list-style-type: none"> <li>• Nairobi JKIA Hotel Project</li> <li>• Thika Fourteen Falls Lodge Project</li> <li>• Meeting Point Plaza</li> <li>• Aberdares Forest Lodge</li> <li>• Kora Lodge Project</li> <li>• Sibiloi Lodge Project</li> <li>• Kerio Valley Lodge Project</li> <li>• Tana River Primate Lodge Project</li> <li>• Development of resort cities</li> <li>• Development of health spas</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Rwanda   | <ul style="list-style-type: none"> <li>• Mountain Gorilla Trekking</li> <li>• Nyungwe Waterfalls and National Park</li> <li>• Akagera National Park</li> <li>• Mountain Biking</li> <li>• Flora and Fauna</li> <li>• Bird Watching</li> </ul>                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>• Building new high-standard hotels/lodges/ guest houses.</li> <li>• Refurbishing and upgrading the existing hotels, lodges and restaurants in all key tourist destinations.</li> <li>• Building a modern hotel at Nyanza, where the Nyanza Royal palace, the seat of the former kings is situated, to cater to tourists who wish to understand the traditional ways of life during pre-colonial Rwanda</li> <li>• Creating zoological and botanical gardens in major urban centres such as Kigali, Butare, Ruhengeri and Gisenyi</li> <li>• Creating boating and water sports facilities on Lake Kivu</li> <li>• Offering training in leisure and hospitality, hotel management, tour guiding, customer service, etc.</li> <li>• Construction of a 4 star hotel in Kibuye</li> <li>• Development of a tourist institute in Gisenyi</li> </ul> |
| Tanzania | <ul style="list-style-type: none"> <li>• Viewing wild animals in their natural habitat – Ngorongoro Crater, Serengeti National Park</li> <li>• Climbing Kilimanjaro, the highest mountain in Africa</li> <li>• Wildlife Safaris</li> <li>• Hunting</li> <li>• Cuba Diving and other water sports</li> <li>• Relaxing on the clean and azure beaches – Zanzibar and Mafia island</li> <li>• Visiting Historical sites – Zanzibar and Bagamoyo and learning about cultures of Tanzania</li> </ul> | <ul style="list-style-type: none"> <li>• World-class accommodation facilities - hotels, lodges, guesthouses, entertainment and camping facilities.</li> <li>• Joint venture opportunities are available in Kilwa, Zanzibar, Mafia, Dar es Salaam, Mwanza, Arusha, Iringa, Kilimanjaro, Selous, Katavi, Saadani, Babati and Bukoba.</li> <li>• Ecotourism in the Eastern Arc mountain ranges of North Pare, the Usambaras, Uluguru and Udzungwa, and the mangrove forests of the Mtwara, Lindi, Coast and Tanga regions.</li> <li>• Hotel development and/or campsites in some of the cultural heritage sites such as Bagamoyo, Pangani, Tabora and Kilwa.</li> <li>• Development of deep-sea fishing, trophy hunting, and, sea and lake cruising.</li> </ul>                                                                                                                          |

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|--------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|        |                                                                                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>• Training in tourism activities.</li> <li>• Tour operations and agency business</li> <li>• Investment in manmade tourist attractions like theme parks and gambling resorts</li> <li>• Water transport services along the coastal belt strip and inland waterways.</li> </ul>                          |
| Uganda | <ul style="list-style-type: none"> <li>• Murchison Falls where the world longest river - NILE explodes</li> <li>• The snow-capped Ruwenzori Mountains</li> <li>• Queen Elizabeth National Park with 100 mammals species and more than 600 bird species</li> <li>• Mount Elgon National Park</li> <li>• Kibale National Park – home to a remarkable 13 primates species</li> </ul> | <ul style="list-style-type: none"> <li>• Innovative tour operations and package programmes targeting national, regional and international visitors)</li> <li>• Cruises on the River Nile</li> <li>• Cabin ferry services on Lake Victoria</li> <li>• Schools for the hospitality industry</li> <li>• High-quality hotel facilities</li> </ul> |

## HANDICRAFTS

Opportunities exist in the Partner States in the handicrafts sector, particularly under AGOA for basketworks. U.S. consumers spend more than \$10 billion per year on gifts and decorative accessories.

Encouraged by the preferential access accorded to a wide variety of African products under AGOA (the Africa Growth and Opportunity Act), many East African artisans and exporters of crafts are tapping the crafts market in the United States.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Burundi handicrafts are famous for their exquisite designs. These include pottery, statuettes, shields, masks, drums and basket making. When making pots, the earthenwares are burnished and molded to give the perfect shape. Extracted from different plants, dyes are used in designing clothes. Printed bark cloth robes are a common piece of handicrafts in Burundi.                                                                   |
| Kenya    | The Kenyan handicrafts sector is dominated with hand-woven textiles, handmade articles from hand loomed fabric and folkloric articles.                                                                                                                                                                                                                                                                                                       |
| Rwanda   | Investors are welcome to the handicraft industry in Rwanda famous for calabash vase, large wooden agaseke containers, woven baskets and sculptures among others.                                                                                                                                                                                                                                                                             |
| Tanzania | Tanzania offers a treasure trove of art, handicraft, spices, furniture and other collectibles. The diversity of cultures is complemented by the creativity of the people in making unique handicrafts. Among the major handicrafts include: beads dating back to the 10 <sup>th</sup> century; wood carvings particularly beautifully carved doors in the coastal towns; traditional music instruments like the big fiddle made from coconut |

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|        | shells and traditional drums; fertility dolls; clays figures; traditional masks; makonde wood carvings; elaborate cultural stools; mats; decorative pots dating back to 1000 years; combs made from pointed bamboo sticks; and, beautiful rock paintings dating back to the stone age.                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Uganda | In Uganda, handicraft is a cultural tradition ranging from basketry, mats, ceramics, beads, drums, thump pianos, clay and reed pipes, fiddles and rattles, African corrugated iron roofs, cast-iron bells, kanzus (long white tunics with a collar-less neck), Gomez (traditional women dress), pottery (made from kaolin, clay and dark soil), attractive baganda hats, bark cloth from the fig tree, wooden masks, traditional gourds and beer pots, basketry, hand textiles and woven products to toys, jewelry, bags, leather products, batik and wood craft, etc. The handicrafts are produced in all districts and regions, using local raw materials, interpassed with culture, history, and traditions. |

## FILM INDUSTRY

Kenya, Tanzania and Uganda have embarked on initiatives aimed at leveraging on Digital Continent to unlock new opportunities to do business. The scope of Information and content activities in the ICT sector covers the film industry as key areas of growth with great potential to spur economic growth through employment creation and investment.

## 5. OIL AND MINING



## MINING

The EAC countries are richly endowed with a variety of mineral resources. The entire region has investment potential in mining stone for the construction and building industry, phosphates for agriculture, salt for domestic and chemical uses, iron ore for the iron and steel industry, kaolin for leather tanning and pharmaceuticals, and silica sand and trona for glass manufacture, exploration and development of mineral deposits including oil, gold, copper, cobalt sulphide and hematite iron.

| Country | Opportunities                                                                                                                                                                                                                                                                                                                                          |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | Burundi is endowed with deposits of nickel (285 million tons) at Musongati, Makamba and Nyambikere, gold at Cibitoke province, vanadium at Taba and Gitega, as well as carbonate, platinum, peat, platinum, phosphates for making fertilizers and rare earth. Unexploited potential exists for oil in Imbo and Lake Tanganyika. Potential investors in |

|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|          | mining exploration are welcome as most of the mining is hand crafted.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Kenya    | Kenya has four belts of minerals —the gold green stone belt in western Kenya, which extends to Tanzania; the Mozambique belt passing through central Kenya, the source of Kenya 's unique gemstones; the Rift belt, which has a variety of resources including soda ash, fluorspar and diatomite; and the coastal belt, which has titanium.                                                                                                                                                                                                                                                                                                                                                                             |
| Rwanda   | Rwanda has deposits of Cassiterite, a tin ore, which is a very important ingredient of electronics' components. The mineral is also found in Walikale, in DRC's Northern Kivu Province, a part that borders Rwanda in the east. Other potentially profitable minerals include Wolframite, Columbite-tantalite, Amblygonite and Tantalite (Coltitan). Gold has also been explored in some parts of the country. Some semi-precious stones including tourmaline, topaz, corundum, chialtolite, amethyst, opal and agate have been discovered. Significant opportunities abound in processing ores. Peat deposits in the southwest can be exploited for electricity generation or processed as an alternative to firewood. |
| Tanzania | Tanzania has a wide variety of minerals, including diamonds, gold, base metals, gemstones (including the unique Tanzanite) and a variety of industrial minerals such as phosphates, mica, gypsum, limestone, graphite, quartz and vermiculite, that have a wide range of applications in ceramics, pottery, brick and tile making, and glass manufacture, nickel, cobalt, copper, diamonds, gemstones, apatite, niobium, iron ore and coal.                                                                                                                                                                                                                                                                             |
| Uganda   | Uganda also has a variety of mineral resources, including copper, cobalt, nickel, tungsten, vermiculite, tin, iron ore, tungsten, beryllium, limestone, phosphates, salt, clays, feldspar, diatomite, beryllium columbite/tantalite chronite, silica sand, glass, sand gravel, and construction materials such as granites and gneisses.                                                                                                                                                                                                                                                                                                                                                                                |

#### ▪ Sheet Glass Production

Currently the EAC has no sheet glass plants. There is growing demand for sheet glass due to increasing construction activities. The EAC has capacity to produce sheet glass because there is Soda Ash production at Lake Magadi. The market for this will be local and also COMESA countries.

#### **OIL AND GAS**

The EAC region was in the past not an attractive location for oil and gas prospecting industries. This situation has however changed. More hydrocarbons have been discovered in East Africa in the last two years than anywhere else in the world. The sector received a kick-start with the discovery of oil in Uganda in 2006. This has been followed by the discovery of commercial deposits of oil in Kenya in 2013 and world-class discoveries of gas in Tanzania. Kenya and Uganda have a capacity to deliver 5,000,000 barrels of oil a day.

Attractive Legal and Fiscal regimes within East African partner states have contributed to an increased number of oil companies applying for exploration acreage in the region. Considerable

efforts have been made in updating the existing geological databases through reprocessing of existing data and acquisition of additional seismic data.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                          |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | In Burundi, recent seismic and magnetic surveys have indicated that there may be oil under Lake Tanganyika and the Rusizi river plam.                                                                                                                                                                                                  |
| Kenya    | Kenya's petroleum potential lies in four largish sedimentary basins: Anza, Mandera, Tertiary Rift and Lamu. In Rwanda, there is hydrocarbon potential existing in North Western Rwanda and deep under Lake Kivu.                                                                                                                       |
| Tanzania | In Tanzania, significant gas discoveries have been made on the coastal shores of Songo Songo Island and Mnazi Bay, and commercial exploitation for power generation began in July 2004. Petroleum seismic coverage in the public domain is approximately 52,000 kms, 52% offshore and 48% onshore, including the interior rift basins. |
| Uganda   | In Uganda, a number of mining companies have taken up licenses in the mining sector. Oil was finally discovered in Western Uganda in 2006 after 17 years of exploration. This discovery is set to boost the country's economy significantly.                                                                                           |

## 6. CONSTRUCTIONS AND HOUSING

### ▪ Building, construction and Housing

Quality engineering, building and architectural design services are readily available in the region. With an increase in population, investment opportunities exist in the provision of low-cost housing to cater to the needs of growing populations in urban and peripheral areas; the manufacture of prefabricated concrete systems and other fittings for the building industry; and the processing of non-metallic minerals to make sanitary fittings, tableware, floor and wall tiles, glass, lime, cement, glazes, etc. and, the provision of mortgage services, although land legislation can make it difficult to engage in mortgage lending.

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | The sharply high levels of investment in civil works in Burundi have led to large increases in domestic demand for construction materials for infrastructure development and other civil works, such as buildings. Most of the construction material and fixtures are imported, creating an opportunity for a domestic industry particularly in metal and cement fabrication as well as bricks, pipes, floor and roof tiles. Burundi has substantial deposits of kaolinite and feldspar, the raw materials required for the manufacture of ceramics. |
| Kenya    | One of Kenya's major priorities is to provide decent affordable housing for the population. The National Housing Policy aims to facilitate construction of at least 150,000 housing units annually in urban areas and 300,000 units in the rural areas. This creates a base for opportunities in: Slum upgrading and urban renewal. Construction of middle and low cost housing; Low cost technologies and materials production; Housing finance; and, Housing surveys and data management.                                                          |
| Rwanda   | In Rwanda, housing supply is insufficient to meet the demands of the growing population. The growing tourist industry presents opportunities in accommodation facilities. Opportunities abound in construction of a youth sports centre, the production of construction equipment such as roofing tiles, steel, aluminum, wood, glass, sanitary fittings (eg. tiles), electrical equipment and fittings (eg. cables), pumps, tanks, sewage systems, the bulk of which are imported.                                                                  |
| Tanzania | A large market exists in development of retail, industrial and residential spaces as well.                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Uganda   | Opportunities include the provision of low cost housing in the urban and semi-urban areas, provision of housing and mortgage finance, and provision of construction equipment and building materials.                                                                                                                                                                                                                                                                                                                                                |

#### ▪ Cement Industry

Currently the EAC has the following cement plants namely: Bamburi Portland Cement Company (BPCC) in Mombasa, Kaloleni Lime Cement works Ltd in Kaloleni, Kilifi and East Africa, Hima Cement Factory in Kasese, Tororo Cement Factory, Twiga cement, Tanzania Portland cement, Tanga Cement Company, CIMERWA in Rwanda and Burundi Cement.

The current total capacity for most of these cement producers is far much below demand. This sector is identified as one of the core industrial sectors, with ample scope to boost the other sectors of the economy, especially the building and construction industry. There is growing demand of cement from within and from outside the region from places such as Southern Sudan, Congo and Somalia. There is need for additional investment to cover the existing gap.

## 7. FINANCIAL SECTOR

### FINANCIAL SERVICES

The East African Community countries have agreed on a Monetary Union Protocol, which has set a stage for an eventual phasing out of all the national currencies and the establishment of a single regional legal tender. The partner States are harmonizing their banking acts so as to harmonize and eventually integrate their financial systems.

Investment potential exists in establishing commercial banks as well as other services like brokerage, investment consultations, asset valuation & sales and bank assurance, asset management, real estate financing, lease finance, agricultural finance and advisory services. The rapid growth of the informal sector offers opportunities in the provision of credit and related service. Demand for insurance services has also risen. Specific opportunities in Partner States is as follows:

| Country  | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi  | Financial sector is insufficient for the economy. Investors are welcomed in micro finance, cooperatives, ATM and money transfer and other areas.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Kenya    | <ul style="list-style-type: none"><li>• Development of a modern financial services hub at Nairobi's upper hill district.</li><li>• Development of Nairobi Metropolitan Region as a regional and global service centre</li><li>• Investment in the SME loan market.</li><li>• Building capacity in commercial banks to serve smaller enterprises</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Rwanda   | <ul style="list-style-type: none"><li>• Establishment of more Commercial &amp; Agricultural banks in rural areas.</li><li>• Competitive loan facilities to agricultural sector and investors in the industrial sector.</li><li>• Investment banking for advisory services and wholesale banking, including Trust funds &amp; Pension funds.</li><li>• Promoting or arranging underwriting of issuance of securities.</li><li>• Housing Bank Sub-sector in mortgage financing to encourage collateralization of loans and mobilization of savings.</li><li>• Prospects for development of insurance given their complementary role in improving the population's income levels, and the promotion of trade and industry.</li><li>• Direct services, like Stock-broking, Public offering of securities</li><li>• The growth of the Rwanda insurance sector is buoyed by robust levels of economic development and government support, which will attract investor and regulatory interest, increasing insurance penetration rates through the implementation of compulsory insurance provisions.</li></ul> |
| Tanzania | <ul style="list-style-type: none"><li>• The Capital Markets and Securities.</li><li>• Expanding product and services by nontraditional means such as brokerage, asset management, real estate financing, lease finance and agriculture finance.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

|        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|--------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Uganda | <ul style="list-style-type: none"> <li>• Establishing Commercial banks in upcountry urban and rural centres.</li> <li>• Development Banks required to provide term loans.</li> <li>• Merchant banking for advisory services and wholesale banking and underwriting of securities.</li> <li>• Mortgage financing to encourage collateralization of loans and mobilization of savings.</li> <li>• Brokerage, sales and tracking services firms with international experience and network.</li> <li>• Establishing of Investment banks &amp; Fund management.</li> <li>• Discount houses for making a market and securities thereby developing a secondary market for those securities.</li> <li>• Provision of re-insurance services to encourage retention of premiums as well as building of capacity in the industry.</li> <li>• Risk management, Claims Settling Agents and provision of private pension funds.</li> <li>• Reinsures and Reinsurance Brokers.</li> <li>• Provision of life policies and other innovative assurances like agriculture and medical schemes.</li> </ul> |
|--------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### Capital markets

In Article 85 of the EAC treaty, the partner states agreed to implement a capital development programme and create an environment conducive to the easy movement of capital within the Community.

Capital Markets are regulated and supervised by state agencies. In Kenya, it is the Capital Markets Authority (CMA), in Tanzania the Capital Markets and Securities Authority (CMSA) and in Uganda the Capital Markets Authority (CMA). In addition to performing regulatory and supervisory functions, the authorities license brokers and investment advisers.

East African Securities Regulatory Authority (EASRA), helps member states develop capital markets institutions, facilitates exchange of information to help enforce laws and regulations in the different countries, besides conducting cross-border surveillance and public education awareness in addition to co-coordinating technical assistance and promoting consultancy within the region. Burundi has joined the umbrella body for regional capital markets regulators, boosting efforts to deepen East Africa's markets.

The East African Securities Exchange Association (EASEA), comprising of the chief executives of the four exchanges (Dar-es-Salaam, Nairobi, Uganda and Rwanda) are in the process of setting up a regional stock exchange. This will involve the integration of capital markets of Kenya, Rwanda, Tanzania and Uganda. Burundi currently does not have a stock market. This will create a bigger market for the region and a large pool of capital for investment.

## 8. SOCIAL SECTORS



### EDUCATION

Education is a dynamically developing service sector in the region. Opportunities exist in the provision of facilities and training services in primary and secondary schools, polytechnics, technical and tertiary education, and vocational education and training institutions. Private universities are gaining in importance.

#### ▪ Research and Development

Technologies are promoted to be applicable to the EAC region by building capacity to absorb knowledge and technologies to support innovation, especially by SMEs and agro-processing.

| Country | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | Burundi is predominantly a French speaking country. However, its entry into EAC, which is mainly English and Swahili speaking bloc, has necessitated the need to focus on English and Swahili. The increasing international community also presents an opportunity in investment in international schools.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Kenya   | Kenya has undertaken a wide range of reforms in the education sector like free primary education and free day secondary education. These reforms provide investment opportunities in education infrastructure particularly in construction of new schools and rehabilitation of existing ones, construction and equipping of laboratories, establishment of TIVET Centres of Excellence aimed at supporting technical training institutions focus and specialize on specific technical courses, establishment of industrial business incubators, establishment of science and technology parks, provision of long term concessional loans and grants to local entrepreneurs investing in education, investments and partnerships in research and development, and, partnerships with leading chains of international schools. |
| Rwanda  | Despite having various challenges faced, Rwanda's education sector is one of the many that have so far registered tremendous progress. Private schools are playing a crucial role towards the promotion of education in the country. Investors in the sector have reaped huge profits which have helped the country achieve sustainable development in general.                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Tanzania | <p>In Tanzania, the need for greater investment in human resources through education is widely recognized, and has been the focus of government efforts since independence. The first President of Tanzania, Julius Nyerere, was himself a teacher, and is referred to affectionately by Tanzanians as "Mwalimu", or "Teacher." Tanzania Investment Centre is inviting investors in the sector, particularly in the construction of primary and secondary schools to support government efforts.</p> <p>Tanzania investment centre tic has called on Tanzanians to invest heavily on education including construction of primary and secondary schools to support government efforts in improving the education sector particularly for the women.</p> |
| Uganda   | <p>Uganda runs high quality courses at a relatively cheaper cost than other education destinations in the region. Investment opportunities exist in the setting up of independent private universities, branch universities and offshore campuses, technical &amp; vocational training, technology-based education &amp; distance education and student financing.</p>                                                                                                                                                                                                                                                                                                                                                                                 |

## HEALTH CARE

Health care in the Partner States comprises hospitals at district, provincial and national levels and health-care centres/dispensaries at lower levels. Similar services are also provided by non-governmental organizations and the private sector.

Investment opportunities include the following:

- Establishment of hospitals and other health units and modern testing facilities;
- Training of medical personnel in specialized medical care;
- Manufacture of drugs, hospital equipment and furniture;
- Provision of family planning facilities and services;
- Mobile medical care facilities
- Health insurance

### ▪ Aloe Vera

The Aloe vera, which has been proved to have medicinal value, grows naturally in the arid and semi-arid areas of EAC such as Baringo, the Coast, Laikipia, Nanyuki, Kibaale, Wakiso, Mukono, Masaka, Kiboga, Luweero and others. Commercial farming of is now practised in Laikipia and Baringo. However, most of the raw Aloe vera is exported raw for processing to the EU and Asia. This offers a promising area for investment.

## DISASTER MANAGEMENT

Investment opportunities exist across the EAC region in:

- Firefighting stations and equipment;
- Firefighting training schools;
- Ambulance services;

- Installation and maintenance of street lights;

#### ▪ **Meteorological services**

Investment opportunities exist in all the Partner States in establishment of early warning systems, tidal gauge stations, marine weather stations and development of well-equipped research laboratories.

## 9. WHOLESALE AND RETAILS

### WHOLESALE AND RETAIL TRADE

Across the EAC region, wholesale and retail trade is crucial in development agendas. Investment opportunities abound in all major cities and towns, particularly in improving the supply chain from small-scale producers to retail markets and building of wholesale markets.

#### ▪ **Partnerships with Cooperatives**

The cooperative movement is taking root in the EAC region. Investors are welcome to partner with sector-based cooperatives:

- Processing and marketing of major agricultural commodities;
- Supply and distribution of farm inputs and services;
- Manufacturer and or blending of fertilizer for redistribution to farmer based cooperative societies.
- Development of biogas;
- Bio gas production where dairy farming is successful;
- Agro-processing; etc

## 10. PRIVATISATION PROGRAMME

All EAC member States are engaged in the privatization of major government corporations.

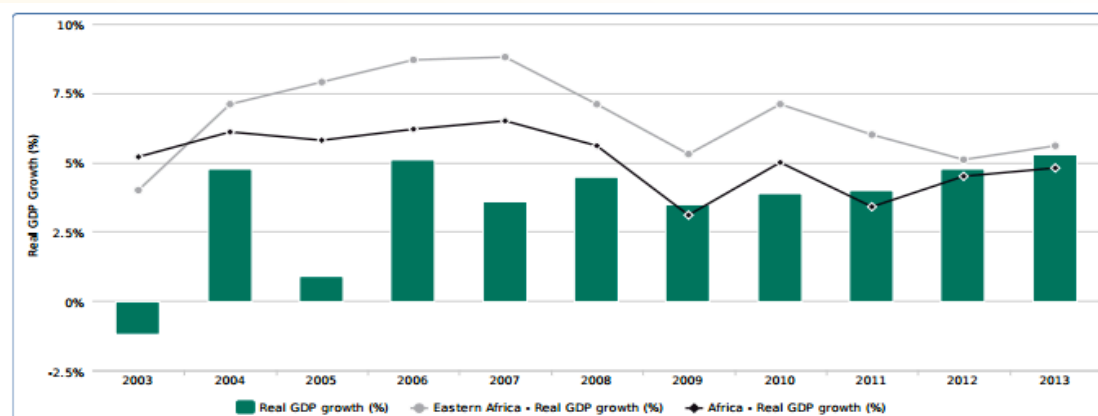
| Country | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Burundi | Since 1986, Burundi has adopted a program aimed at opening a new era in prosperity and development. The Inter-ministerial Committee of Privatization (ICP) and the Service Charge des Entreprises Publique (SCEP) (Service in Charge of Public Enterprises), are reforming the public sector so as to create a better environment for private investments.                                                                 |
| Kenya   | In Kenya, a Parastatal reform committee was established in 1991 to implement the privatization process. The Department of Government Investments and Public Enterprises (DGIPE) has been established within the Ministry of Finance and charged with specific powers and functions, which are designed to render it as autonomous as possible. The DGIPE is responsible for those aspects of the reform programme that are |

|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|          | related to parastatals which are to remain in state hands.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Rwanda   | The privatization programme of the Government of Rwanda was established by Law No.2 on Privatization and Public Investment, dated on 11 March, 1996. Privatization is one of the key elements in the Government's economic reform and reconstruction efforts and draws on the experience of a number of African countries, recognizing the private sector as the engine of growth.                                                                                                                                                                                                                                                                                                                     |
| Tanzania | Tanzania embarked on the privatization of its estimated 400 enterprises through the adoption of the Public Corporations Act 1992, which created the Presidential Parastatal Sector Reform Commission (PSRC). The tasks of the PSRC are now vested to Consolidated Holding Corporation (CHC), a statutory corporation established by Parliament through enactment of the National Bank of Commerce (Reorganization and vesting of Assets and Liabilities) Act No 23 of 1997 National Micro-finance Bank Limited (NMB).                                                                                                                                                                                  |
| Uganda   | In Uganda, the Public Enterprise Reform and Divestiture Statute was enacted in 1993 to give effect to the Government's policy launched in 1991, which aimed at promoting the role of the private sector and improving the performance of the remaining public enterprises. The Privatization and Utility Sector Reform Project (PUSRP) was established in 2001 as a follow up project from Enterprise Development Project II (EDP), which ended in 2000. The project development objective is to improve the quality, coverage and economic efficiency of commercial and utility services, through privatization, private participation in infrastructure (PPI), and an improved regulatory framework. |

## Annex 1.

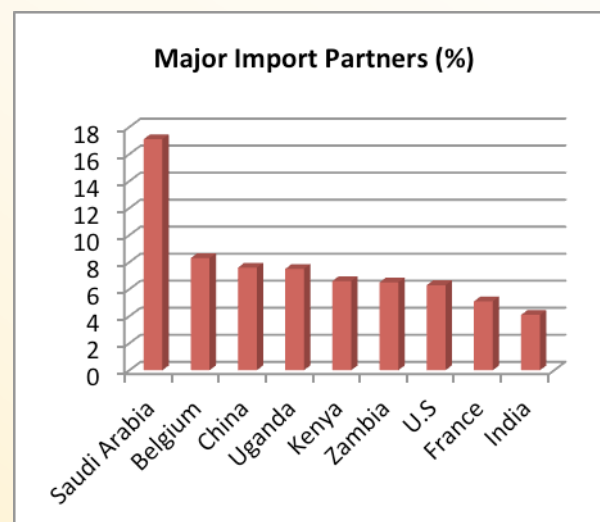
### Country Economic Profile Data

#### BURUNDI : Real GDP Growth (2003-2013), Trade, and Investment Opportunities by Sector



Figures for 2010 are estimates; for 2011 and later are projections.

source : African Economic Outlook, 2012

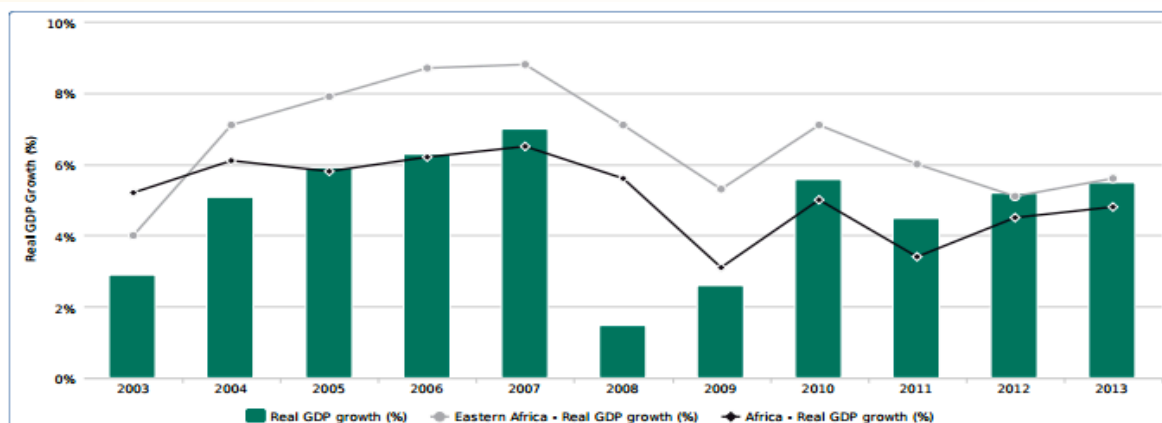


| Sector        | Description                                                                           | Investment opportunities                                                                                                                                                                 |
|---------------|---------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agriculture   | Backbone of the economy, 90% employment of the workforce, 60% of export earnings,     | Coffee, tea, fruits, fresh cut flowers, coffee washing and roasting, distribution markets and cold chain infrastructure for other export products                                        |
| Manufacturing | Primary processing of agricultural products (70%), mechanical and chemical industries | Production, packaging, marketing of agricultural equipment and inputs; food processing, fertilizer, textile and shoe making, cement, construction materials, and pharmaceutical industry |

|           |                                                                                          |                                                                                                                                                                                                                                                                                                                                                                        |
|-----------|------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Services  | 45% of GDP. Booming ICT sector, especially in telecommunications.                        | High-speed internet, e-Trade, e-Education, e-banking, e-administration, database management centers                                                                                                                                                                                                                                                                    |
| Tourism   | Still in its infancy but ample opportunity such as on Lake Tanganyika. Rich in folk art. | Installation and development of relaxing activities, seashore tourism and water sports, ecotourism, construction of hotels and lodges in national parks, construction of conference centers<br><br>Identified areas for tourism investments include Ruvubu National Park, the southeastern highlands, the coastal strip of Lake Tanganyika and the Capital, Bujumbura. |
| Transport | Only 11% of the road network is paved.                                                   | Development of maritime transport, improving the automated load planning in the port of Bujumbura, enlargement of the port, improvement of cargo transportation, installation of a cold chain at the port and airport of Bujumbura                                                                                                                                     |

## KENYA : Real GDP Growth (2003-2013), Trade, and Investment Opportunities by Sector

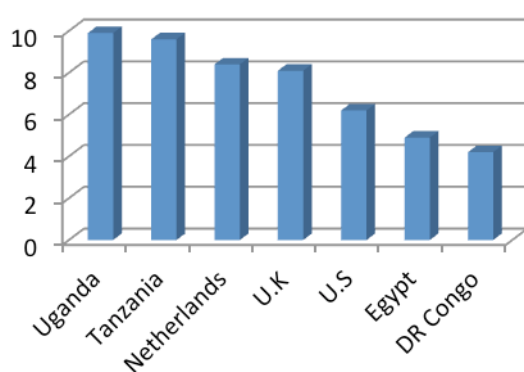
### Real GDP Growth



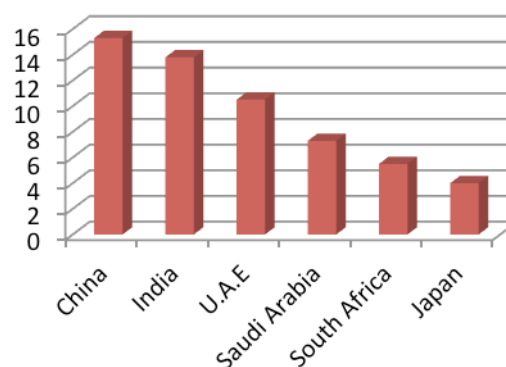
Figures for 2010 are estimates; for 2011 and later are projections.

Source: African Economic Outlook 2012

### Major Export Partners (%)



### Major Importing Partners (%)



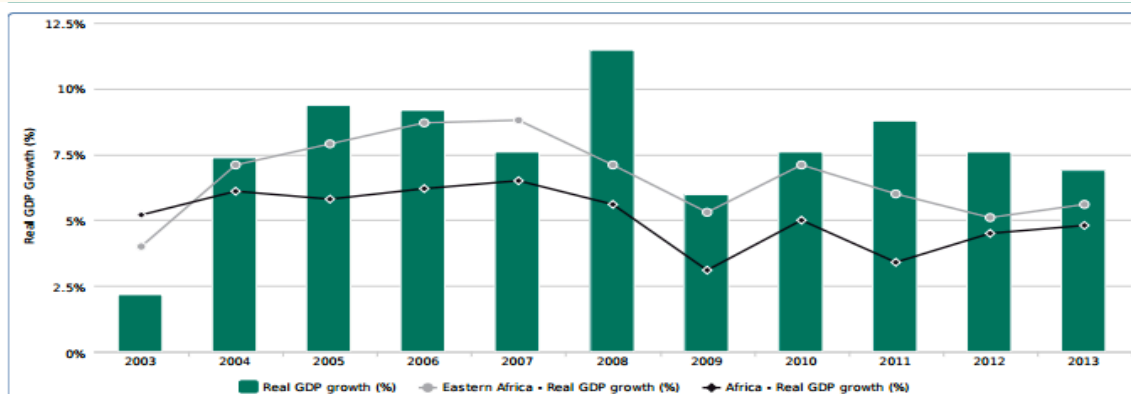
| Sector        | Description                                                                                                                                                                                                                              | Investment opportunities                                                                                                                                                                     |
|---------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agriculture   | 24% of GDP with 75% of total population. Horticulture, sugar cane, pyrethrum, coffee, tea and livestock products                                                                                                                         | Accelerated food crop production, food processing, irrigation                                                                                                                                |
| Manufacturing | 10% of GDP. Supported by domestic demand and regional markets. processing of food and fast-moving consumer goods, refining of crude petroleum and small-scale manufacturing of household goods, motor-vehicle parts, and farm implements | Direct and joint-venture investment including agro-processing, garments, electronics, paper, chemicals, pharmaceuticals, metal and engineering projects for both domestic and export markets |

|                            |                                                                                                                                             |                                                                                                                                                  |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| Tourism                    | 3 <sup>rd</sup> largest foreign exchange earner. Main arrivals from UK, US, Italian, Germany, Indian. Emerging from UAE and eastern Europe. | Film production, recreation and entertainment facilities including conference tourism, cultural tourism, cruise ship tourism, eco-tourism        |
| Building and Construction  | A key driver of economic growth in Kenya for the last five years. Quality engineering, building and architectural design services           | Residential, commercial and industrial buildings                                                                                                 |
| Power and Energy           | 60% of total electricity supplies from five hydroelectric power generation stations along the upper Tana River.                             | Public Private Partnerships (PPP) in electricity generation and alternative sources of energy                                                    |
| ICT and tele-communication | The main driver of economic growth (annual growth at 16% in 2010). Pioneering mobile banking and mobile money transfer (M-Pesa)             | ICT, Business Processing Outsourcing (BPO), financial services with the government-led development Konza City (2,000 hectare, 60km from Nairobi) |
| Road Transport             | A total of 45,000 km road network, of which only 2,000 km are paved. Upgrading the road network is the development priority.                | Upgrading the roads and improvement of road networks                                                                                             |

\* Under Vision 2030, Kenya aims to increase annual GDP growth rate to an average of 10%. Most prominent areas to invest are agriculture, horticulture, tourism, power generation, ICT, and manufacturing (For the information of planned projects, see Annex 1 or visit <http://www.vision2030.go.ke/>).

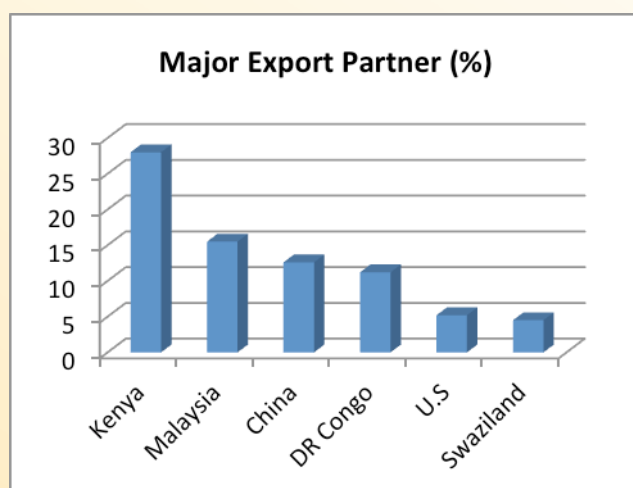
## RWANDA : Real GDP Growth (2003-2013), Trade, and Investment Opprotunities by Sector

### Real GDP Growth

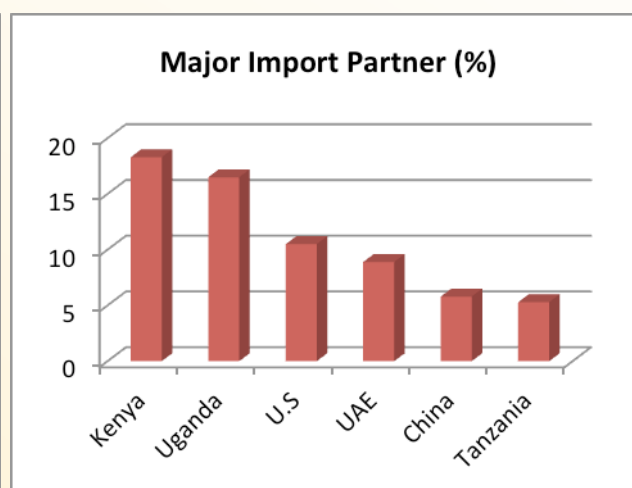


Figures for 2010 are estimates; for 2011 and later are projections.

source: African Economic Outlook, 2012



source: CIA



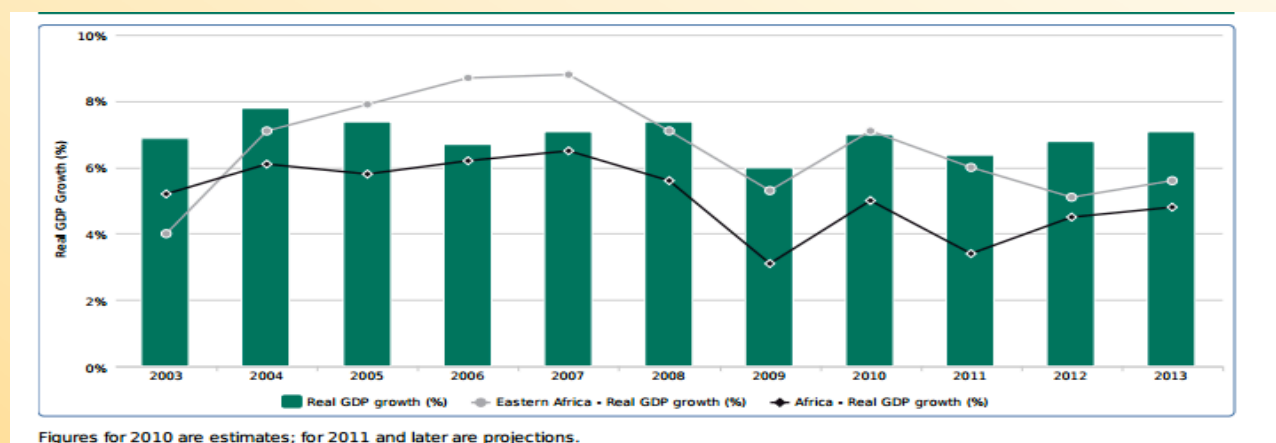
Source: WTO

| Sector        | Description                                                                                                                                                         | Investment opportunities                                                                                                                                                                                               |
|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agriculture   | National priority and main productive activity. 33.6% of GDP. Employing 88.6% of the total workers.                                                                 | Coffee, tea, fruits, fresh cut flowers, coffee washing and roasting, distribution markets and cold chain infrastructure for other export products                                                                      |
| Manufacturing | Opportunities for small investors in import substitution in consumer goods. Currently dominated by agro-processing.                                                 | Beer, soft drinks, cigarettes, sugar, wheelbarrows, soap, cement, mattresses, plastic pipe, roofing materials, textiles, and bottled water                                                                             |
| Tourism       | Priority sector, one of the largest sources of exports earnings. Aligned with government's strategy to position it as a hub for East African business, fast growing | Conference facilities and centers in Kigali, hotels in Kigali and other regional cities, premium eco-tourism, Karisimbi cable car project, construction of a cultural village in Kigali, creation of theme parks, zoo, |

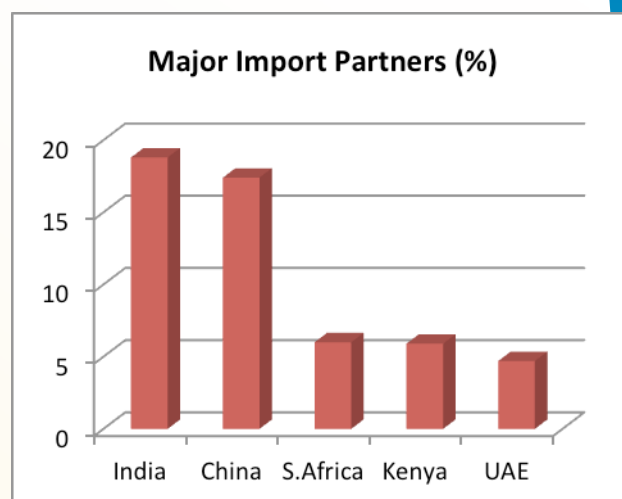
|                           |                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                        |
|---------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                           | conference tourism (the number of business traveler grew by 25% during 2007-8).                                                                                                                                                           | exhibition centers etc.                                                                                                                                                                                                                                                                                                                                                                                                |
| Building and Construction | Vibrant growth (24% in 2011 up from 9% in 2010). 8% of GDP. Strong demand for residential and commercial buildings due to growing population and middle class, increased diaspora and government investment in property markets.          | Residential houses for low and middle-income class, shopping malls, sport centers, office blocks in Kigali, real estate agency, brick & tile making factory, estate development, manufacturing of construction finishing materials                                                                                                                                                                                     |
| ICT & Tele-communications | Strong government support for development of ICT and investment in broadband (fiber optic connection throughout the country and with 9 neighboring countries). Wireless broadband covering over 80% of Kigali. Rising ICT literacy level. | Computer repair and assembly, technical training institutes for maintenance and specialized courses, establishment of call centers, Web design and e-Commerce solutions, computer security management, disaster recovery planning facilities, management consultancy planning facilities, Business Process Outsourcing (BPO), internet data centers, software development (mobile applications, e-payment system etc.) |
| Energy                    | Gap between demand and domestic power supply. Significant portion generated from imported petroleum products. Substantial hydroelectric resources and gas deposits in Lake Kivu                                                           | Power generation from Methane gas in Lake Kivu (available concession for 150MW), Power generation from geothermal (potential for 740MW)<br>Micro Hydro power plants (more than 100 sites available for private investment), Peat to power generation (potential for 1200MW), Solar Peat to power                                                                                                                       |

### **TANZANIA: Real GDP Growth (2003-2013), Trade, and Investment Opportunities by Sector**

#### **Real GDP Growth**



Source: African Economic Outlook, 2012



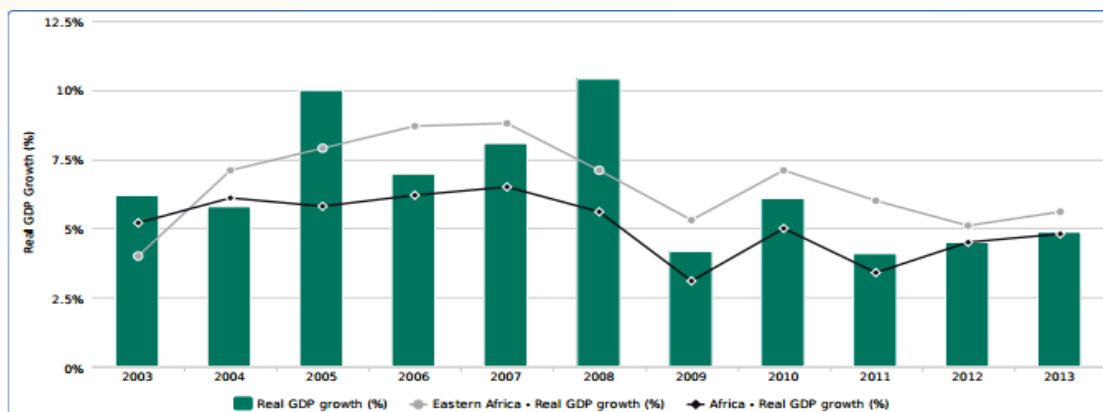
Source: WTO

| Sector         | Overview                                                                                                                                                                                                      | Investment opportunities                                                                                                                                                                                   |
|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agriculture    | 40% of GDP. Major cash crops: coffee, cotton, tea, tobacco, cashew nuts and horticulture<br>Main food crops: maize, rice, pulses and wheat                                                                    | Traditional export crops (coffee, tea, sisal, tobacco, cashew nuts, and cotton), horticulture, timber and food crops                                                                                       |
| Manufacturing  | Abundant supply of quality raw materials. Sector growth at 7-8% during the last 5 years. Main products are plastics, metals and apparels for export to neighboring countries (Rwanda, Burundi, DRC)           | Chemical industry (fertilizers, agrochemicals, detergents, soaps, cosmetics, cigarettes, paints, tires and petroleum projects), textiles, metal and non-metal products, food and beverage, paper products, |
| Tourism        | Considered to be one of the best tourism destinations in Africa. 16% of total GDP and 25% of total export earnings.                                                                                           | Accommodation, conference and eco-tourism, tour operators and transport, training services                                                                                                                 |
| Mining         | The continent's third largest gold producer. A comprehensive geological and geophysical database, non-discriminatory mineral policy, and availability of topographical and aerial maps for the entire country | Mineral exploration and mining through acquisition or joint venture, jewelry manufacturing, supply of mining services, supply/hiring of equipment                                                          |
| Infrastructure | Allows up to 100% foreign ownership. Potential power exporter to the region.                                                                                                                                  | Hydro, gas, coal, biofuels, and oil                                                                                                                                                                        |

Source: various sources

## UGANDA: Real GDP Growth (2003-2013), Trade, and Investment Opportunities by Sector

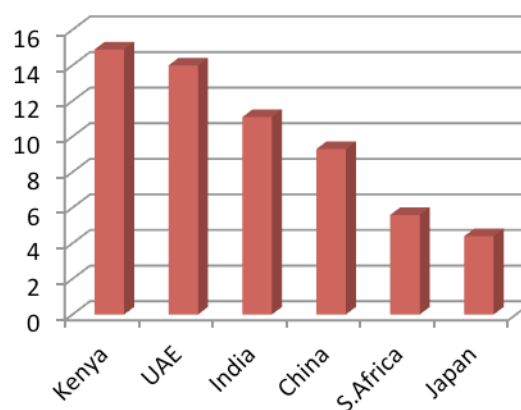
### Real GDP Growth



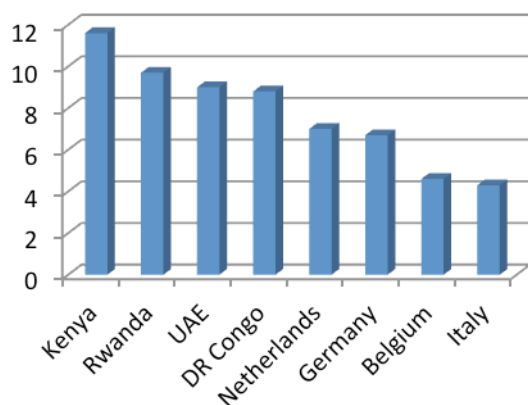
Figures for 2010 are estimates; for 2011 and later are projections.

source : African Economic Outlook, 2012

### Major Import Partner (%)



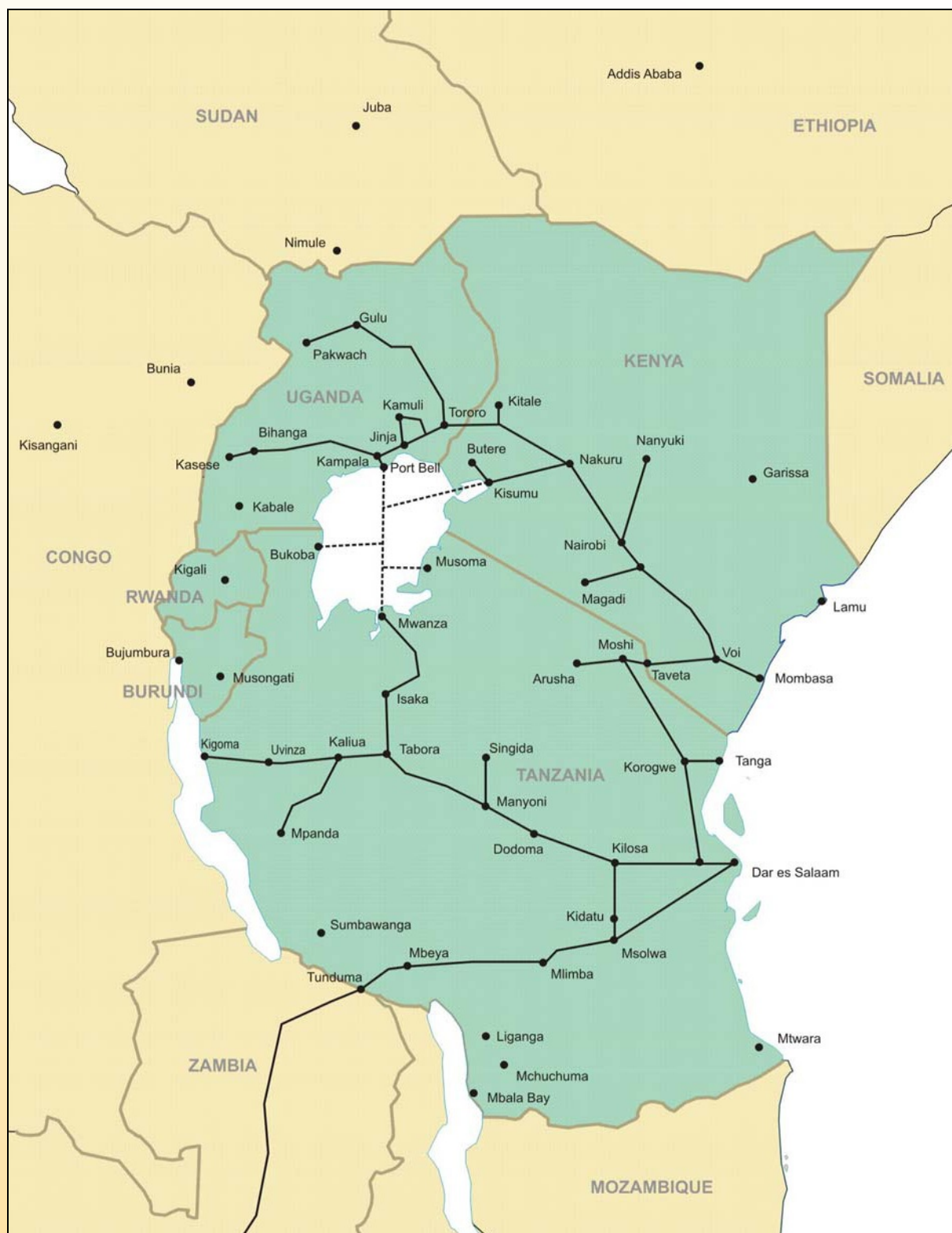
### Major Export Partners (%)



Source: WTO

| Sector                    | Overview                                                                                                                                                                                                                                                                                                                                         | Investment opportunities                                                                                                                                                                                                                                                                                                                                       |
|---------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agriculture               | Predominantly agricultural based economy. Excellent climate and fertile soils, supporting 3-4 harvests a year (considered the best land in Africa). Of more than 18million hectares of arable lands, less than 30% is cultivated. Africa's second leading producer of coffee. Producing non-traditional goods such as fish, flowers, and vanilla | Strong need for post harvesting equipment, packaging of fruits and vegetables, supply of agriculture machinery, investment in cold storage facilities at collecting points, laboratory testing services, material, equipment                                                                                                                                   |
| Manufacturing             | 20% of GDP. Growing regional demand for light manufacturing goods such as plastics and consumer products                                                                                                                                                                                                                                         | Beverages, leather, tobacco based processing, paper, textiles and garments, pharmaceuticals, fabrication, ceramics, glass, fertilizers, plastic/PVC, assembly of electronic goods, hi-tech and medical products                                                                                                                                                |
| Energy                    | Biomass (92%), petroleum (6%) and electricity(2%), fully liberalized energy regime which allows the private sector to produce power and to sell it to the national grid, high market potential in energy export to the Great Lake Region and COMESA, power generation from garbage to be explored (doesn't exist yet)                            | Viable potential for solar energy production, hydropower potential along the River Nile (2000 MW est.), design, construction, sales and service support of biomass, solar and mini hydro-plants, assembly and manufacture of solar units, manufacture and marketing of charcoal briquettes, acquisition, installation and services of micro hydro power plants |
| Tourism                   | Growing at 20%. Despite wide and unique tourist attractions, the tourism infrastructure is largely underdeveloped except for Kampala and a few major towns.                                                                                                                                                                                      | Installation and development of relaxing activities, seashore tourism and water sports, ecotourism, construction of hotels and lodges in national parks, construction of conference centers, tourism promotion services, and advertising                                                                                                                       |
| ICT & Tele-communications | Booming ICT sector, especially in telecommunications.                                                                                                                                                                                                                                                                                            | Cellular telephone systems, data transmission equipment, fiber optic equipment, wireless access equipment                                                                                                                                                                                                                                                      |
| Construction              | Significant need for road and power improvements. Estimated 300,000 new housing units needed each year.                                                                                                                                                                                                                                          | Commercial and residential construction, infrastructure design, construction and operation, environmental consultancy and analysis, architecture, construction equipment, generators and transformers                                                                                                                                                          |

## Annex 2. EAC Railway Network



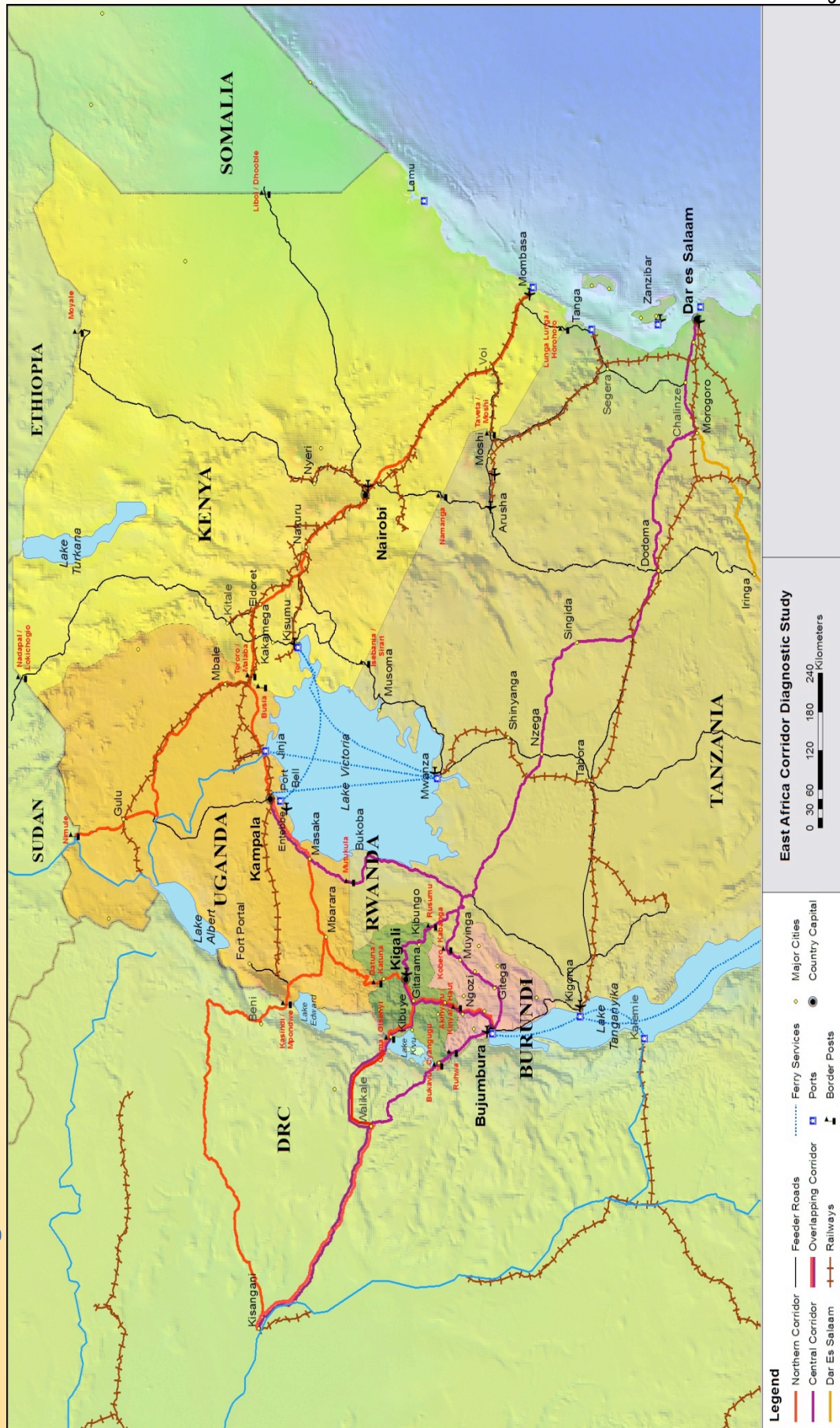
Source: EAC Infrastructure, <http://www.infrastructure.eac.int>

### Annex 3. EAC Current Network with Proposed New Lines



Source: EAC Infrastructure, <http://www.infrastructure.eac.int>

## Annex 4. EAC Regional Corridors



Sour

ce : <http://www.eastafricancorridors.org/>

## Annex 5. Key Regional Organizations in EAC region

|              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|--------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Organization | East African Business Council (EABC)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Established  | 1997                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Overview     | Apex body of business associations of the Private Sector and Corporates from the 5 East African Countries                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Mission      | To represent and promote the interests of the EAC business community; provide value added services that create new business opportunities, enhance global competitiveness of EAC businesses, and actively influence government policies to improve the enabling business environment.                                                                                                                                                                                                                                                                                            |
| Activities   | <ol style="list-style-type: none"> <li>1. Facilitate and promote all aspects of private sector development in East Africa.</li> <li>2. Promote an enabling environment for business in East Africa.</li> <li>3. Coordinate the efforts of the private sector for the promotion of trade and investment in the EAC.</li> <li>4. Provide a joint forum, which enables the private sector to speak with a single voice and in the process maintain a routine and institutionalized interaction with EAC Secretariat and dialogue with governments of EAC partner-states.</li> </ol> |
| Contact      | <p>Olorien House, Perfect Printers Street<br/> P O Box 2617<br/> Arusha, Tanzania<br/> Tel: +255 (27) 2543047<br/> Fax: +255 (27) 2509997</p>                                                                                                                                                                                                                                                                                                                                                                                                                                    |

|              |                                                                                                                                                                                                                                                                                                                                                                                                                  |
|--------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Organization | Eastern and Southern African Trade and Development Bank (PTA Bank)                                                                                                                                                                                                                                                                                                                                               |
| Established  | In 1985, pursuant to the provisions of Chapter 9 of the Treaty (1981) establishing the Preferential Trade Area for the Eastern and Southern African States (PTA) which was later transformed into the Common Market for Eastern and Southern Africa (COMESA)                                                                                                                                                     |
| Mission      | To be at the forefront of providing development capital in the region, through customer focused and innovative financing instruments backed by competitively priced funds                                                                                                                                                                                                                                        |
| Members      | Burundi, Comoros, China, Djibouti, Democratic Republic of Congo, Egypt, Eritrea, Ethiopia, Kenya, Malawi, Mauritius, Rwanda, Seychelles, Somalia, Sudan, Tanzania, Uganda, Zambia, Zimbabwe, China and AfDB                                                                                                                                                                                                      |
| Strategy     | <ol style="list-style-type: none"> <li>1. Promote rapid private sector development in its member countries through increased trade and project financing and through the attraction of external capital inflows;</li> <li>2. Foster increased regional economic integration through trade and investments;</li> <li>3. Promote the development and deepening of local and regional financial markets.</li> </ol> |
| Activities   | <ul style="list-style-type: none"> <li>- Project and Infrastructure finance</li> <li>- Trade finance</li> </ul>                                                                                                                                                                                                                                                                                                  |

|         |                                                                                                                                                                                                    |                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                    |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Contact | <p>Headquarters<br/>PTA Bank Bujumbura,<br/>Chaussée Prince Louis,<br/>Rwagasore,<br/>P. O. Box 1750,<br/>Bujumbura, Burundi.</p> <p>Tel: (257) 22 224966/<br/>224975<br/>Fax: (257) 22 224983</p> | <p>Nairobi Branch Office<br/>(serving Eastern and<br/>Northern region)<br/>PTA Bank Nairobi Branch<br/>NSSF complex, 22nd floor,<br/>Bishops Road,<br/>P. O. Box 48596-00100<br/>Nairobi, Kenya</p> <p>Tel : (254) 020 2712250,<br/>Fax: (254) 020 271151</p> | <p>Harare Branch<br/>Office(southern territory,<br/>Mauritius and Seychelles)<br/>PTA Bank Harare,<br/>70 Enterprise<br/>roadNewlands<br/>Harare, Zimbabwe</p> <p>Tel: (+263) 4 788331-3,<br/>788336-9, 788345</p> |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Organization Name | East African Chamber of Commerce, Industry and Agriculture (EACCIA)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Established       | 2003 -- established and owned by the three national chambers, namely, the Kenya National Chamber of Commerce and Industry (KNCCI), the Uganda National Chamber of Commerce and Industry (UNCCI) and Tanzania Chamber of Commerce, Industry and Agriculture (TCCIA)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Vision            | a credible partner for government in the creation of a business environment conducive to the development of a strong private sector throughout the East African Community                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Mission           | To strengthen the private sector in East Africa through influencing policy at national and community level, supporting national chambers and strengthening cooperation and partnership between the public and private sectors across the East African Community.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Activities        | <ol style="list-style-type: none"> <li>1. lobby the regional governments for the creation of a conducive business environment for cross border trade and investment within the context of the East African Customs Union and Common Market Protocol.</li> <li>2. dialogue with various organs of the East African Community, national, as well as international institutions, impacting on business to facilitate this.</li> <li>3. Apart from its advocacy role, the EACCIA is also expected to undertake some development projects on behalf of its constituent Chambers.</li> <li>4. Articulating well developed proposals for removing constraints facing business, industrial &amp; agricultural community</li> <li>5. Promoting unity amongst stakeholders within the private sector</li> <li>6. Collaborating closely with Governments to make the East African Community more attractive to investors</li> </ol> |
| Contact           | <p>City House 4th Floor<br/>Wabera Street<br/>P.O Box 35104 - 00200<br/>Nairobi</p> <p>Phone: +254 20 312 106 / +254 721 720 622 / + 254 733 720 622 / + 254 707 509 200<br/>Email: <a href="mailto:info@eastafricanchamber.org">info@eastafricanchamber.org</a><br/>Website: <a href="http://www.eastafricanchamber.org">http://www.eastafricanchamber.org</a></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Organization Name | African Trade Insurance Agency (ATI)                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Established       | 2001 (with the financial and technical support of the World Bank and the backing of seven African countries)                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Background        | A multilateral financial institution providing export credit insurance, political risk insurance, investment insurance and other financial products to help reduce the business risks and costs of doing business in Africa. ATI has supported over \$2.5 billion worth of trade and investments across the continent, secured an investment grade rating of 'A' from Standard & Poor's, and expanded membership to more than a dozen African countries with plans to attract non-African member states by 2011. |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Vision            | To transform Africa into a prime trade and investment destination                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Mission           | To turn African risk into opportunity by providing insurance and financial products, in partnership with the private and public sectors; To promote trade and investments both into and within Africa by supporting the development agendas of our African member state                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Services          | <ul style="list-style-type: none"> <li>- Two main insurance products that cover political and export/trade credit risks. Foreign direct investment risks fall under our political risk insurance.</li> <li>- Reinsurance coverage to insurance companies operating in or supporting business into or out of our African member states.</li> </ul>                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Projects          | <ul style="list-style-type: none"> <li>- Trade credit risk,</li> <li>- Foreign direct investment and political risk insurance</li> </ul>                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Contact           | <p><b>Kenya (HQ)</b><br/> Kenya Re Towers, 5th Floor, Off Ragati Road, Upperhill<br/> Mailing Address: P.O. Box 10620, G.P.O. 00100, Nairobi, Kenya<br/> Tel: +254 (0)20 272 6999 / 271 9727<br/> Fax: +254 (0)20 271 9701<br/> Cell: +254 722 205 007, +254 733 625 511<br/> Email: info@ati-aca.org</p> <p><b>Rwanda</b><br/> Prester House, Umuganda Boulevard de l'Umuganda<br/> Kacyiru, Kigali- Rwanda<br/> Cell +250 786 381 406, +254 728 604 513<br/> Email: rwanda@ati-aca.org</p>                     | <p><b>Tanzania</b><br/> Tanzania Private Sector Foundation<br/> Private Sector House, 1st Floor<br/> Plot: 1288, Mwaya Road<br/> Masaki, Msasani Peninsula<br/> P.O Box 11313<br/> Dar es Salaam, Tanzania<br/> Tel: +255 22 260 1913 / 1938<br/> Cell: +255 764 711 740<br/> Email: tanzania@ati-aca.org</p> <p><b>Uganda</b><br/> Private Sector Foundation Uganda (PSFU)<br/> Plot 43, Nakasero Hill Road<br/> P. O. Box 7683<br/> Kampala, Uganda<br/> Tel: +256 312 261 850<br/> Cell: +256 776 996 999<br/> Email: uganda@ati-aca.org</p> |

|                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                 |
|--------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Organization       | East Africa Development Bank (EADB)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                 |
| Established        | In 1967 under the treaty of the then East African Cooperation. Following the breakup of the community in 1977, the Bank was re-established under its own charter in 1980                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                 |
| Mission            | To promote sustainable socio-economic development in East Africa by providing development finance, support and advisory services                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                 |
| Members            | Owned by the four member states of Kenya, Uganda, Tanzania and Rwanda. Other shareholders include the African Development Bank (AfDB), the Netherlands Development Finance Company (FMO), German Investment and Development Company (DEG), SBIC-Africa Holdings, Commercial Bank of Africa, Nairobi, Nordea Bank of Sweden, Standard Chartered Bank, London and Barclays Bank Plc., London                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                 |
| Activities         | <ul style="list-style-type: none"> <li>- Short-term/mid-term/long-term loan</li> <li>- Trade Finance</li> <li>- Equity Investments</li> <li>- Asset Leasing</li> <li>- Real Estate and Property Development</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                 |
| Project priorities | <ul style="list-style-type: none"> <li>- Food security: by investing in pillars which support availability, access, and proper food use through agriculture support</li> <li>- Skills Development: by directing investment in areas which improve school &amp; learning environment infrastructures</li> <li>- Infrastructure: by investing in projects which build capacity in both urban and rural infrastructure support like water, roads, etc.</li> <li>- Climate Change: by supporting investments in the urban and natural environment</li> <li>- Regional Integration: by addressing economic and social imbalances between regions</li> </ul> |                                                                                                                                                                                                                                                                                                                 |
| Contact            | <p>Kampala, Uganda (HQ)</p> <p>4 Nile Avenue<br/>P.O Box 7128,<br/>(256) 41 420 0021/312 230 000<br/><a href="mailto:admin@eadb.org">admin@eadb.org</a></p> <p>Nairobi, Kenya<br/>2<sup>nd</sup> Fl, Rahimtulla Building<br/>Upper Hill Road, P.O Box 47685<br/>(254) 20 273 1590<br/><a href="mailto:cok@eadb.org">cok@eadb.org</a></p>                                                                                                                                                                                                                                                                                                               | <p>Dar es Salaam, Tanzania<br/>Plot 349, Lugalo Road<br/>P.O Box 9401<br/>(255) 22 211 3195/211 6981<br/><a href="mailto:cot@eadb.org">cot@eadb.org</a></p> <p>Kigali, Rwanda<br/>Ground Fl, Kacyiru, Glory House<br/>B.P 6225<br/>Tel: (250) 788 309446<br/><a href="mailto:cor@eadb.org">cor@eadb.org</a></p> |

## Annex 6. Useful Contacts

### Regional Institutions

#### East African Community Secretariat

EAC Close, off Barabara ya Afrika Mashariki  
P.O. Box 1096, Arusha, Tanzania  
Tel: 255 27 250 4253/8  
Fax Number: +255 27 2162190 OR +255 27 2504255 / 4481  
[eac@eachq.org](mailto:eac@eachq.org)  
[www.eac.int](http://www.eac.int)

#### East African Business Council (EABC)

Olorien House, Perfect Printers Street  
P O Box 2617  
Arusha, Tanzania  
+255 (27)2543047  
<http://eabc.info/>

#### Lake Victoria Basin Commission

East African Community  
6<sup>th</sup> Floor Reinsurance Plaza  
Oginga Odinga Street  
P.O. Box 1510  
Kisumu, KENYA  
  
+254-57-2026344/2023873/2023894  
[lvbc@lvbcom.org](mailto:lvbc@lvbcom.org)

### Burundi

#### Burundi Investment Promotion Authority

Boulevard du 28 Novembre Mutanga Nord,  
Immeuble Asharif  
B.P. 7057  
Bujumbura; Burundi  
+257 222 75 996  
[contact@investburundi.com](mailto:contact@investburundi.com)  
[www.investburundi.com](http://www.investburundi.com)

#### Chamber of Hotel and Tourism Industry of Burundi

CFCIB Building, 1st Floor Office No. 104  
P.O Box. 3457 Bujumbura BURUNDI  
+ 257 22 27 67 00

#### East African Development Bank

4 Nile Avenue  
P O Box 7128  
Kampala  
+256 417 112900/4  
[info@eadb.org](mailto:info@eadb.org)  
[www.eadb.org](http://www.eadb.org)

#### Nairobi

Rahimtulla Tower, 2nd Floor  
P O Box 47685A  
+254-20-340642/340656

#### Dar es Salaam

Plot 349, Lugalo Road Upanga in Ilala Municipality  
+255 22 2113195/2116981

#### Kigali

Kacyiru, Glory House, Ground Floor B.P. 6225,  
+250788309445

#### East African Community Lake Victoria Fisheries Organization Secretariat

P.O. Box 1625, Jinja, Uganda  
+ 256 043 120 205/6  
[lvfo-sec@lvfo.org](mailto:lvfo-sec@lvfo.org)  
[www.lvfo.org](http://www.lvfo.org)

#### Federal Chamber of Commerce and Industry of Burundi

BFCCI's Building, 18th September avenue,  
P.O. Box 313 Bujumbura, Burundi  
+257 22222280 / +257 22228253 / +257 78821335  
[www.cfcib.org](http://www.cfcib.org)

#### Association des et Etablissements Financiers du Burundi (ABEF)

Building Ndmama,  
Chaussée du Prince Louis Rwagasore  
+257 22252282 +257 22257246

**Association des Commerçants du Burundi (ACOBUR)**

PO.BOX 7004  
Bujumbura Burundi  
Tel:+257 77756 819

**Kenya****KenInvest (HQ)**

Kenya Railways Headquarters, Block D, 4th Floor  
Workshop Road, off Haile Selassie Avenue  
P.O. Box 55704 - 00200 City Square  
Nairobi, Kenya.  
+254 (20) 2221401 - 4  
[info@investmentkenya.com](mailto:info@investmentkenya.com)  
[www.investmentkenya.com](http://www.investmentkenya.com)

**Eldoret Regional Office**

National Bank Building 2nd Floor  
P.O. Box 4638, 30100  
Eldoret  
+254 (053) 2060746, 2060774, 2060749  
[eld@investmentkenya.com](mailto:eld@investmentkenya.com)

**Kisumu Regional Office**

Jubilee House, 1st Floor, Angawa Avenue  
P.O. Box 1458-40100  
Kisumu  
+254 (057) 2020746 / (057) 2021040  
[ksm@investmentkenya.com](mailto:ksm@investmentkenya.com)

**Mombasa Regional Office**

Mombasa Trade Centre, South Court S609  
Nkrumah Road,  
P.O. Box 80279-80100 GPO,  
+254 (041) 2315401-2/020  
2651592 [msa@investmentkenya.com](mailto:msa@investmentkenya.com)

**Export Processing Zone Authority (EPZA)**

Athi River EPZ, Viwanda Road off Namanga Highway  
P.O Box 50563 00200 Nairobi, Kenya.  
+254 (45) 6626421/2-6  
[info@epzakenya.com](mailto:info@epzakenya.com)  
<http://www.epzakenya.com/>

**Export Promotion Council**

1st & 16th Floor Anniversary Towers, University Way  
P.O. Box 40247 00100 GPO  
Nairobi, Kenya.  
Tel. +254 20 222 8534-8  
<http://www.epckkenya.org/>

**Vision 2030 Delivery Secretariat**

Kussco Centre, 2nd Floor, Upper Hill  
P.O. Box 52301-00200  
Nairobi, Kenya  
+254 20 272 2030  
[info@vision2030.go.ke](mailto:info@vision2030.go.ke)  
[www.vision2030.go.ke](http://www.vision2030.go.ke)

**KenGen**

Stima Plaza Phase 3, Kolobot Rd, off Limuru Rd,  
Parklands, Nairobi, Kenya  
P.O Box 47936-00100, Nairobi, Kenya  
+254 254 20 248 833  
[www.kengen.co.ke](http://www.kengen.co.ke)

**Kenya Ports Authority (HQ)**

Box 95009-80104 Mombasa  
+254 (41) 2113999/ 2112999  
[micd@kpa.co.ke](mailto:micd@kpa.co.ke)  
[www.kpa.co.ke](http://www.kpa.co.ke)

**African Trade Insurance Agency**

Kenya Re Towers, 5th Floor, Off Ragati Road,  
Upperhill  
P.O. Box 10620, G.P.O. 00100, Nairobi, Kenya  
+254 (20) 272 6999 - 271 9727  
[info@ati-aca.org](mailto:info@ati-aca.org)  
[www.ati-aca.org/](http://www.ati-aca.org/)

**Kenya Association of Manufacturers**

86 Riverside Lane, Riverside off Riverside drive, Next  
to Netherlands Embassy, Riverside  
PO Box 30225 - 00100 GPO Nairobi, Kenya  
+254 020 2324817/8; 020 8155531/2; 020 2166657  
[info@kam.co.ke](mailto:info@kam.co.ke)  
<http://www.kam.co.ke>

**Kenya Private Sector Alliance (KEPSA)**

5th Floor, Shelter Afrique Building, Mamlaka Road  
P.O. Box 3556-00100 GPO Nairobi  
Tel : 254-20-2730371/2 and 2727883/936  
[info@kepsa.or.ke](mailto:info@kepsa.or.ke)  
<http://www.kepsa.or.ke>

**Kenya National Chamber of Commerce and Industry**  
Kaunda Avenue, Mombasa, Kenya  
Box 80635 -00100  
+254 (41) 2316161  
[info@kenyachamber.co.ke](mailto:info@kenyachamber.co.ke)

**Tana&Athi River Development Authority**  
P.O. Box 47309-00100, Nairobi, Kenya  
+254 (20) 34 17 81/2/4/7/8/90  
[tarda@tardakenya.org](mailto:tarda@tardakenya.org)

## **Rwanda**

**Rwanda Development Board (RDB)**  
Boulevard de l'Umuganda,  
Gishushu, Nyarutarama Road.  
P.O. Box 6239  
Kigali, Rwanda  
[info@rdb.rw](mailto:info@rdb.rw)  
[www.rdb.rw](http://www.rdb.rw)

**Rwanda Investment Group Limited (RIG Ltd)**  
Kimihurura  
P.O.BOX: 2876  
Kigali, RWANDA  
+250 (0) 25-250-0288/9  
[rig@rig.co.rw](mailto:rig@rig.co.rw)  
[www.rig.co.rw](http://www.rig.co.rw)

**Rwanda Development Bank (BRD)**  
Boulevard de la Révolution,  
B.P: 1341  
Kigali, Rwanda  
+ 250 252 573558 / 252 575079 / 252 575080  
[brd@brd.rw](mailto:brd@brd.rw)  
[www.brd.rw](http://www.brd.rw)

**Ministry of Infrastructure (MININFRA)**  
24 Kigali  
+250 252 585503  
[info@mininfra.gov.rw](mailto:info@mininfra.gov.rw)  
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**Rwanda Tourism Board**  
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Kilwa Road, P.O. Box 5402  
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IPS Building, Azikiwe Street,  
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### Uganda National Chamber of Commerce and Industry (UNCCI)

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### Uganda Small Scale Industries Association (USSIA)

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### Capital Markets Authority (CMA)

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### Kampala Industrial And Business Park (KIBP)

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### Uganda Manufacturers Association (UMA)

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### National Environment Management Authority

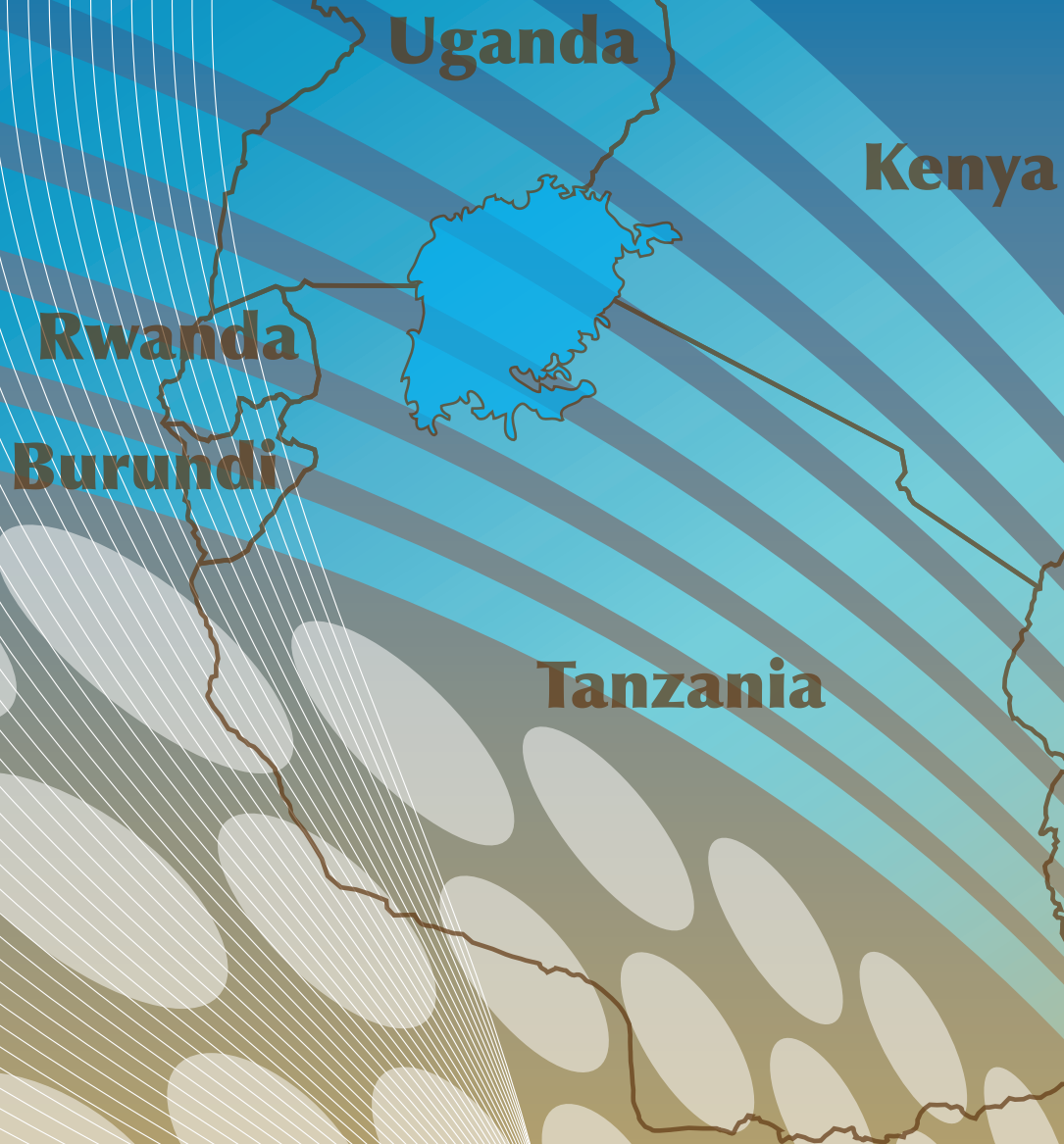
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